

Bangalore Electricity Supply Company Limited

Details of Annual Report for FY 2024-25



INDEPENDENT AUDITORS' REPORT

To the Members of Bangalore Electricity Supply Company Limited

Report on the Audit of the Financial Statements

Adverse Opinion

We have audited the accompanying financial statements of **Bangalore Electricity Supply Company Limited** ('the Company'), which comprise the Balance Sheet as at 31 March 2025, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended and notes to the financial statements, including a summary of the Material Accounting Policies and other explanatory information for the year ended on that date (hereinafter referred to as 'financial statements').

In our opinion and to the best of our information and according to the explanations given to us, because of the significance of the matters described in the **Basis for Adverse Opinion** section of our report, the aforesaid financial statements do not give the information required by the Companies Act, 2013 ('the Act') in the manner so required and do not give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ('Ind AS') and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2025 and its loss (including other comprehensive income), its cash flows and changes in equity for the year ended on that date.

Basis for Adverse Opinion

- i. Attention is drawn to material accounting policy no. 1 of the Company, wherein certain assets released from active use for repairs and maintenance are valued at Written Down Value (WDV). The released assets are brought back to the main block of assets when re-deployed again for active use, and depreciated on the straight-line method as applicable to other normal assets as if there was a fresh installation and revised useful life is not assessed at that stage. Consequently, the released assets are depreciated over a longer period as compared to the main block of assets. Also, the Company does not estimate the cost of dismantling and removing the item and restoring the site for arriving at the cost of capitalisation as required. Some of the assets capitalised during the year include assets that have been completed and commissioned in prior years and prior year depreciation of such assets are charged during the current year. The same is not in accordance with Ind AS 16 'Property, Plant and Equipment'. Consequent impact is not readily quantifiable in the absence of proper details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

Further, as per Ind AS 16 and material accounting policy no. 1, costs directly attributable to bringing an asset to the location and condition necessary for it to be capable of operating in the manner intended by management shall be recognised as part of the cost of such asset. However, the Company is not completely recognising such directly attributable cost in the capital work-in-progress (CWIP) balances and subsequently in the cost of property, plant and equipment. Consequently, this has resulted in understatement of CWIP / property, plant and equipment in the balance sheet and depreciation expense in profit or loss and overstatement of expenses otherwise directly recognised in profit or loss.

Further, as observed in some of the divisions, appropriate identification of different classes of property, plant and equipment and allocation of total contract consideration (purchase price) to such classes of property, plant and equipment are not accurate. Consequently, part of contract consideration has been incorrectly allocated to the asset category 'miscellaneous equipment' (GL 10.685 and GL 10.599) instead of the appropriate asset class impacting the carrying amount of different classes of assets and depreciation recognised on such assets. Resulting impact is not quantifiable.

- ii. Attention is drawn to material accounting policy no. 8 of the Company wherein inventories are valued at Scheduled Standard Rates and the difference between purchase cost and Scheduled Standard Rate is recognised in Statement of Profit & Loss through Material Cost Variance account. However, the Company is not ascertaining net realisable value for items of inventory for the purpose of valuation. The same is not in accordance with Ind AS 2 'Inventories' which requires the inventories to be valued at lower of cost and net realisable value. Consequent impact of the same on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- iii. Attention is drawn to material accounting policy no. 15.4 wherein provision for earned leave encashment including Half-Pay Leave (HPL) is made on the basis of estimates and not on the basis of actuarial valuation. The same is not in accordance with Ind AS 19 'Employee Benefits' and effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- iv. Attention is drawn to material accounting policy no. 15.5 wherein the Company has not carried out actuarial valuation and accounted for expense / liability under 'Family Benefit Fund'. The same is not in accordance with Ind AS 19 and effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- v. The Company contributes to KPTCL & ESCOMs Pension and Gratuity Trust ('KEPGT') towards gratuity & pension liability of its employees who have joined service on or before 31 March 2006 and to KPTCL & ESCOMs Newly Defined Contributory Pension Scheme Family Pension & Gratuity Trust ('KENFPGT') towards gratuity and family pension in respect of employees who have joined the service on or after 1 April 2006, which are defined benefit schemes. Actuarial valuations are got done by the trusts at the end of each financial year. KEPGT / KENFPGT arrives at a percentage for contribution for the subsequent financial year based on actuarial valuation as at the end of March for the previous financial year, which is contributed to the trust by the Company. However, the contributions were based on actuarial valuation as on 31 March 2024 and liability based on actuarial valuation as on 31 March 2025 has not been ascertained and provided for in the financial statements for the year ended 31 March 2025 (contributions were based on actuarial valuation as on 31 March 2023 and liability based on actuarial valuation as on 31 March 2024 has not been ascertained and provided for in the financial statements for the year ended 31 March 2024). To that extent the expenses and liability towards employee benefits are understated. Also, the disclosures required under Ind AS 19 'Employee Benefits' have not been made. The same is not in accordance with Ind AS 19 'Employee Benefits' and consequent impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- vi. The Company has not identified and accounted for lease contracts entered by it as a lessee within the meaning of Ind AS 116 'Leases' and has expensed off rent payable to the Statement of Profit and Loss as per contractual terms. Consequently, the Company has not adopted the principles of recognition, measurement and disclosure as per Ind AS 116 and the impact on the accounts is not quantifiable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- vii. The Company has not provided any documentation as to the evaluation carried out to test for any impairment of assets in compliance with Ind AS 36 'Impairment of Assets'. Consequent impact on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- viii. Attention is drawn to material accounting policy no. 9 of the Company, wherein grants and subsidies received from the government towards capital expenditure, consumer contribution and deposit contribution works are recognised as deferred income under non-current liabilities and subsequently recognised in profit or loss at the proportion equivalent to percent of depreciation charged for plant & machinery / line & cables. However, the Company has been recognising such deferred income in profit or loss at 5.28% of the deferred income in respect of property, plant and equipment commissioned on or before 31 March 2024, but not at the proportion equivalent to depreciation recognised. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter. Further, the Company has been recognising such deferred income in profit or loss at 4.22% of deferred income in respect of property, plant and equipment commissioned on or after 1 April 2024, but not at the proportion equivalent to depreciation recognised. Consequent impact on the financial statements is not ascertainable in the absence of proper workings. Our opinion on the financial statements for the year ended 31 March 2025 is also modified because of the possible effect of this matter.
- ix. The Company has not carried-out any fair valuation as required by Ind AS 109 'Financial Instruments' in respect of all non-current financial assets and liabilities which are receivable / payable beyond a period of 12 months from the date of initial recognition for the purposes of determination of amortised costs and amortisation / recognition of income of the differential between amortised cost and contractual amounts payable / receivable or differential fair value between initial recognition and subsequent recognition. Consequent impact on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- x. The Company has recognised Expected Credit Loss (ECL) at some percentage in respect of its trade and other receivables vide its material accounting policy no. 18. However, the Company has not provided any documentation regarding assessment of credit risk or testing of impairment under life time expected credit loss model as required under Ind AS 109 'Financial Instruments'. Consequential impact on the accounts is not ascertainable. Also, one to one correlation could not be established between Revenue Registration Number (RR) wise trade receivables outstanding and security deposits collected. Hence, we are unable to comment on the classification of trade receivables as secured or unsecured. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xi. Attention is drawn to Note no. 14 wherein an amount of Rs. 1,316.90 crore as at 31 March 2025 (Rs. 1,077.89 crore as at 31 March 2024) are outstanding under 'Other Current Financial Assets' being amounts spent by the Company over and above Rs. 50,000 / Rs. 75,000 ceiling fixed by Govt. of Karnataka for providing infrastructure under Ganga Kalyana Drinking Water Supply Scheme and recoverable from various Corporations controlled by the Govt. of Karnataka. In the absence of confirmations / reconciliation of balances, we are unable to comment on their recoverability / expected credit loss provision, if any, that may be required on the outstanding dues. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xii. Attention is drawn to material accounting policy no. 12 of the Company, wherein revenue from operations includes Fuel & Power Purchase Cost Adjustment (FPPCA) as per the applicable orders from KERC and unbilled revenue is accounted on accrual basis for the last month of the reporting period. However, in the financial statements for the year ended 31 March 2024, the Company has not recognised unbilled revenue that has accrued towards FPPCA charges for the month of March 2024, and also, the revenue from operations for April 2023 includes FPPCA charges for March 2023. Our opinion on those financial statements was modified because of the possible effect of this matter on revenue from operations. FPPCA charges that were accrued during March 2024 are recognised during April 2024 of current year. Our opinion on current year financial statements is also modified because of possible effect of this matter on revenue from operations and on the comparability of current year's figures and corresponding figures.
- xiii. Attention is drawn to material accounting policy no. 16 of the Company, wherein the borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes substantial period of time to get ready for its intended use or sale, are capitalised as part of the cost of such assets. A balance of Rs. 558.17 crore are disclosed under CWIP (including intangible assets under development) as at 31 March 2025 (Rs. 702.47 crore as at 31 March 2024). However, the Company has not considered the balance under CWIP other than intangible asset under development and hardware component of 'Integrated Power Development – IT Phase II' for calculating the borrowing costs to be capitalised as part of cost of such asset. The same is not in accordance with Ind AS 23 'Borrowing Cost' and consequential impact is not readily ascertainable in the absence of required details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter. Further, borrowing cost has been allocated to GL code 14.193 (CWIP – Expenditure incurred under Integrated Power Development – IT Phase II) which consists of both hardware and software components. However, in the financial statements, the entire borrowing cost has been disclosed as part of 'Capital Work in Progress' (Note No.4) and borrowing cost pertaining to software is not disclosed under 'Intangible assets under Development' (Note No. 5). Consequently, the intangible assets under development of Rs. 69.03 crore as at 31 March 2025 (Rs. 52.26 crore as at 31 March 2024) does not include borrowing costs allocated to them. Accordingly, intangible assets under development are understated to the extent of Rs. 5.81 crore as at 31 March 2025 (Rs. 1.93 crore as at 31 March 2024) and Capital Work-in-Progress are overstated to that extent.
- xiv. The Company has obtained loan from Asian Development Bank (ADB) for implementing Bengaluru Smart Energy Efficient Power Distribution Project. As per clause 1 of the indenture agreement between GOK and the Company, the Company shall repay such loan to the GOK to enable the State Government to repay the same to ADB through GOI as the loan would be passed on to the state on back-to-back arrangements from GOI and from GOK to the

Company. Further, as per clause 3 of the indenture agreement, the Company shall be liable to bear the exchange rate fluctuation and any other charges like commitment charges etc. if levied in future date by the GOI / ADB before the completion of the project and payable by the State Government to GOI / ADB. The Company has not recognised foreign exchange differences on translation of forex liability in the financial statements up to the financial years ended 31 March 2024. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter. Further, as disclosed in Note no. 39.19, the cumulative foreign exchange differences of Rs. 57.67 crore up to the financial years ended 31 March 2025 have been recognised during the financial year ended 31 March 2025. Cumulative foreign exchange differences up to financial year ended 31 March 2024 have not been retrospectively recognised by restating the financial statements of prior years as required by Ind AS 8 'Accounting Policies, Changes in Accounting Estimates and Errors'. Our opinion on the current year's financial statements is modified because of possible effect of such departure from Ind AS 8. Further, the entire exchange difference has been classified as finance cost, instead of classifying only those exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to interest costs. Consequential effect of the same is not readily quantifiable in the absence of relevant workings.

- xv. Attention is drawn to Note no. 39.33(M) of General Notes to Financial Statements, wherein it is stated that the Company has RECs worth 15,34,967 MWh as at 31 March 2025 (25,00,793 as at 31 March 2024) and the quantum of RECs approved by NLDC during May 2025 for FY 2021-22 and 2022-23 is 18,73,202 MWh and 9,13,215 MWh respectively and to material accounting policy no. 12 wherein RECs are not valued in books and accounted as income on realisation. Impact of the same on the accounts is not ascertainable in the absence of any valuation methodology framed by the Company. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xvi. Attention is drawn to material accounting policy no. 24 of the Company, wherein the material prior period errors or omissions above the threshold limit of 1% of turnover of the Company for the year are corrected by retrospective restatement. However, prior period errors or omissions accounted during the financial year are above the threshold limit of 1% of turnover of the Company but the Company has not carried out retrospective restatement but carried out the adjustments in the current financial statements. The same is not in accordance with the accounting policy of the Company and Ind AS 8. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xvii. Attention is drawn to Note no. 39.9(a) of the 'General Notes to Financial Statements' wherein the Company has accounted a part of power purchase cost pertaining to prior years as expenditure for the financial year 2023-24 amounting to Rs. 1,021.83 crore and had deferred the expenditure amounting to Rs. 2,043.65 crore to future years vide GOK order dated 03-09-2024 and grouped under 'Other Current Assets'. Also, the interest on delayed payments amounting to Rs. 1,869.76 crore pertaining to years before 2023-24 in respect of Karnataka Power Corporation Limited (KPCL) had been deferred to future years for accounting from financial year 2024-25 in three equal instalments as stated in the GOK order and not recognised in the financial statements for the year ended 31 March 2024. Under provisions of Companies Act, 2013, only the Central Government has authority to issue guidelines or notifications or exempt any Class(es) of Company from complying with any requirements or rules of the Companies Act, 2013. As the expenditure deferred pertain to prior years and there is no future economic benefit by deferring such expenditures, the accounting treatment

followed is not in accordance with the Indian Accounting Standards or Generally Accepted Accounting Principles in India. Consequently, accumulated deficit under other equity and trade payables as at 1 April 2023 are understated by Rs. 4,935.24 crore, expenses and losses for the year ended 31 March 2024 are overstated by Rs. 1,021.83 crore, consequently accumulated deficit as at 31 March 2024 are understated by Rs. 3,913.41 crore, 'Other Current Assets' as at 31 March 2024 are overstated by Rs. 2,043.65 crore and 'Trade Payables' are understated by Rs. 1,869.76 crore. Our opinion on the financial statements for the year ended 31 March 2024 was modified in respect of this matter. Further, the Company has recognised Rs. 1,645.09 crore (Rs. 1,021.83 crore towards power charges and Rs. 623.26 crore towards interest) as expenses for the current financial year instead of retrospectively restating the prior years' financial statements as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 1,645.09 crore, 'Other Current Assets' are overstated by Rs. 2,268.32 crore (Rs. 1,021.82 crore towards power charges and Rs. 1,246.50 crore towards interest) and accumulated deficit is understated by Rs. 2,268.32 crore as at 31 March 2025. Our opinion on the current year's financial statements is also modified because of the effect of this matter due to departure from the requirements of Ind AS 8.

- xviii. Attention is drawn to Note 39.9(b) of the General Notes to Financial Statements wherein the Company has accounted only a part of power purchase cost pertaining to financial years 2020-21 to 2023-24 as expenses for the financial year ended 31 March 2025 amounting to Rs. 250.68 crore and has deferred the recognition of Rs. 501.38 crore to future years vide GOK order dated 28-08-2025. Also, interest on delayed payments amounting to Rs. 1,494.44 crore pertaining to previous years in respect of KPCL have been deferred to future years as stated in the GOK order and have not been recognised in the financial statements. Under provisions of Companies Act, 2013, only Central Government has authority to issue guidelines or notifications or exempt any Class(es) of Company from complying with any requirements or rules of the Companies Act, 2013. As the expenditure deferred pertain to prior years and there is no future economic benefit by deferring such expenditures, the accounting treatment followed is not in accordance with the Indian Accounting Standards or Generally Accepted Accounting Principles in India. The Company has accounted Rs. 250.68 crore as expenditure for the current financial year instead of retrospectively restating the prior years' financial statements as required by Ind AS 8. Consequently, trade payables and accumulated deficit under 'Other Equity' as at and power purchase cost for the year ended 31 March 2024 is understated by Rs. 2,246.50 crore. Current year expenses and losses are overstated by Rs. 250.68 crore, 'Other Current Assets' are overstated by Rs. 501.38 crore as at 31 March 2025 'Trade Payables' are understated by Rs. 1,494.44 crore and accumulated deficit under 'Other Equity' is understated by Rs. 1,995.82 crore. As the Company has not provided year-wise breakup of amounts for the financial years 2020-21 to 2023-24, we are unable to ascertain the effect on financial statements as at 1 April 2023.
- xix. Attention is drawn to Note no. 39.9(c) of the General Notes to Financial Statements wherein the Company has accounted for difference between the actual station heat-rate and station heat-rate as per norms for the financial year 2024-25 amounting to Rs. 451.72 crore (KPCL - Rs. 357.47 crore and RPCL - Rs. 94.25 crore) as an expense for the year though final order in true-up petition filed by KPCL / RPCL before KERC is pending. As the true-up petition with KERC is still pending and since the Company should account for station heat rate claim as per power purchase agreements and has not produced any additional evidence that present obligation exists as at 31 March 2025 for the same, the amount should have been disclosed as contingent liability in accordance with Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets' and should not have been provided for. To the extent of Rs. 451.72 crore,

expenses and losses for the year ended and trade payables and accumulated deficit as at 31 March 2025 are overstated.

Further, the Company has not disclosed the fact that true-up petition filed with KERC by KPCL / RPCL for the prior years is also pending for a claim of Rs. 757.75 crore (KPCL – Rs. 483.14 crore and RPCL – Rs. 274.61 crore). Further, Rs. 757.75 crore were disclosed as contingent liability in the financial statements for the year ended 31 March 2024. During the current financial year, Rs. 483.14 crore have been recognised as trade payables as at 31 March 2025 (Rs. 161.05 crore have been recognised as expenses and Rs. 322.09 crore have been deferred to future years). Furthermore, during the current financial year, Rs. 274.61 crore have been recognised as expense and trade payables during the year ended 31 March 2025. As the true-up petition with KERC is still pending and since the Company should account for station heat rate claim as per power purchase agreements and has not produced any additional evidence that present obligation exists as at 31 March 2025 for the same, the amount should have been disclosed as contingent liability in accordance with Ind AS 37 and should not have been provided for. The financial effect of this matter in respect of claim of KPCL is already included in paragraph xviii and the financial effect in respect of claim of RPCL is overstatement of expenses for the year ended and trade payables and accumulated deficit as at 31 March 2025 and non-disclosure of a contingent liability by Rs. 274.61 crore for the current financial year.

xx. Attention is drawn to Note no. 39.10 of the 'General Notes to Financial Statements' wherein the Government vide GO No. Energy/123/PSR/2022 Bangalore, dated 14-03-2022, had assured extension of financial support subject to condition of writing-off of RE subsidy dues of Rs. 1,938.04 crore pertaining to 2002-03 to 2015-16 after obtaining approval from the Board. Accordingly, the Board of Directors passed a resolution during March 2024 to write-off the dues in a phased manner from the financial year 2023-24. Consequently, the Company has considered for write-off only 50% of the dues amounting to Rs. 969.02 crore and not the entire amount of Rs. 1,938.04 crore. Also, the write-off has been considered as an expense for the financial year ended 31 March 2024 instead of adjusting in the opening accumulated deficit as required under Ind AS 8 as the GOK order was issued during March 2022 and there was reasonable certainty that the write-off will be carried out. Consequently, 'Trade Receivables' are overstated and accumulated deficit under 'Other Equity' are understated as at 1 April 2023 by Rs. 1,938.04 crore and expenses for the financial year ended 31 March 2024 are overstated by Rs. 969.02 crore, accumulated deficit as at 31 March 2024 is understated by Rs. 969.02 crore, trade receivables as at 31 March 2024 are overstated by Rs. 969.02 crore. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. Further, Rs. 581.41 crore have been written-off during the financial year ended 31 March 2025 instead of retrospectively restating the financial statements of prior years as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 581.41 crore, trade receivables as at 31 March 2025 are overstated by Rs. 387.61 crore and accumulated deficit as at that date is understated by Rs. 387.61 crore.

xxi. In the financial statements for the financial year ended 31 March 2024, the Company had not recognised interest on power purchase dues to KPCL and RPCL subject to reconciliation. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter. Further, during the financial year ended 31 March 2025, the Company has recognised Rs. 100.87 crore cumulatively without retrospectively restating the financial statements of prior years in respect of amounts allocable to financial years ended until 31 March 2024, which constitutes a departure from Ind AS 8. To the extent of Rs.

100.87 crore, current year power purchase cost and losses are overstated. Our opinion on the current year financial statements is also modified because of the effect of this matter.

- xxii. As per the KERC O&M order dated 28-12-2023 (OP no's 56, 57, 58, 59 & 60/2020), the Company is liable to pay for the wage revision claim of KPCL amounting to Rs. 1,039.84 crore in 12 equal instalments starting from January 2024 and only Rs. 259.95 crore have been recognised as expense during the financial year ended 31 March 2024. To the extent of Rs. 779.89 crore, expenses for the year ended 31 March 2024 and current liabilities and accumulated deficit as at that date are understated. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. Further, Rs. 779.89 crore have been recognised as expense during the current year instead of retrospectively restating the financial statements for the year ended 31 March 2024 as required by Ind AS 8. To that extent, current year expenses and losses are overstated.
- xxiii. As per the GOK order dated 30-03-2024 the Company has not written-off the receivable (outstanding interest amount) from Gram Panchayat amounting to Rs. 790.03 crore in the financial statements for the year ended 31 March 2024. To that extent, expenses for that year and accumulated deficit as at 31 March 2024 are understated and trade receivables are overstated. Our opinion on those financial statements was modified in respect of this matter. Further, the Company has written-off the amount in the financial statements for the year ended 31 March 2025 instead of retrospectively restating the financial statements as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 790.03 crore.
- xxiv. Power Company of Karnataka Limited (PCKL) had entered into power swapping / power banking arrangement with Uttar Pradesh (UPPCL) and Punjab (PSPCL) on behalf of the Company. The power drawn by the Company is again returned to that entities @ 105% after certain period.

The details of the banking arrangements for the previous years are as below:

Particulars	Financial Year	Energy in KWH	State average rate per unit (in Rs.)	Amount (Rs. in crore)
Jan 2023 – Mar 2023 (Drawn)	2022-23	37,89,51,974	5.47594	207.51
Addl. 5% returnable on energy drawn as above		1,89,47,599	5.47594	10.38
Total		39,78,99,573		217.89
April 2023 (Drawn)	2023-24	35,31,84,987	5.523	195.06
Addl. 5% returnable on energy drawn as above		1,76,59,249	5.523	9.75
Total		37,08,44,236		204.81
June 2023 – Sep 2023 (Energy drawn during Jan 2023 – March 2023 returned @105%)		39,78,99,573	5.47594	217.89

June 2023 – Sep 2023 (Energy drawn during April 2023 returned @105%)		37,08,44,236	5.523	204.81
Oct 2023 – Mar 2024 (Drawn)	2023-24	73,68,76,336	5.523	406.98
Addl. 5% returnable on energy drawn as above		3,68,43,817	5.523	20.35
Total		77,37,20,153		427.33

The details of the banking arrangement for the FY 2024-25 are as below:

Particulars	Energy in KWH	State average rate per unit (in Rs.)	Amount (Rs. in crore)
Energy drawn during the FY 2024-25	54,48,18,241	6.304	343.45
Addl. 5% returnable on energy drawn as above	2,72,40,912	6.304	17.17
Total	57,20,59,153		360.62
Energy drawn during Oct 2023 – Mar 2024 returned at 105% during FY 2024-25	77,37,20,153	5.523	427.33
Energy drawn during the FY 2024-25 partly returned	49,93,82,868	6.304	314.81

As per the matching concept under generally accepted accounting principles, the related revenue should be matched with the corresponding expenditure for earning that revenue in a particular period. However, the Company does not have an accounting policy for recognising the power banking arrangement. Consequently, the Company has not given effect for recognising the cost of power purchase when such banked power is sold to customers nor reversing the power purchase cost when such energy is returned. During the financial years ended 31 March 2023, 2024 and 2025, the Company has drawn / returned power from / to UPPCL & PSPCL as mentioned in the table above, which are not recognised in the financial statements for those years. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. In the absence of accounting policy, considering the state average, net impact on account of the above transactions is understatement of accumulated deficit and current liabilities as at 1 April 2023 by Rs. 217.89 crore; understatement of current liabilities and accumulated deficit as at 31 March 2024 by Rs. 427.33 crore, understatement of net power purchase cost for the year ended 31 March 2024 by Rs. 209.44 crore. For the financial year 2024-25, the cost of power purchase would amount to Rs. 360.62 crore and reversal of power purchase cost on return of banked power would amount to Rs. 742.14 crore. Net impact is overstatement of net power purchase cost for the year ended 31 March 2025 by Rs. 381.52 crore, understatement of current liabilities and accumulated deficit as at 31 March 2025 by Rs. 45.81 crore. The amounts arrived at state average rate are indicative impact as assessed by us in the absence of an accounting policy framed by the Company.

xxv. Attention is drawn to Note no.'s 39.4.4 & 39.4.5 of 'General Notes to Financial Statements' wherein the Company is still in the process of ascertaining the details of location, situation

extent of transfer of titles etc., of certain movable and immovable assets including leased assets transferred from Govt. of Karnataka / Karnataka Power Transmission Corporation Limited (KPTCL) and pending registration of title deeds relating to land & building (including lease hold) assigned to the Company through transfer order and capitalised in the books of the Company and also no provision having been made for the related costs that the Company may incur. Consequential impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xxvi. Attention is drawn to Note no. 39.33(G) of the 'General Notes to Financial Statements' wherein interest has not been charged (not ascertained) on inter ESCOM's receivables for an outstanding balance of Rs. 1,441.72 crore as at 31 March 2025 (Rs. 2,754.36 crore as at 31 March 2024). Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xxvii. Attention is drawn to Note no. 39.8.7 of the 'General Notes to Financial Statements' wherein interest including penal interest of Rs. 117.83 crore as at 31 March 2025 (Rs. 99.03 crore as at 31 March 2024) have not been provided for Part – B borrowing under 'Restructured Accelerated Power Development and Reforms Program' (RAPDRP) pending request for conversion of the same in to grant including waiver of accrued grant. However, we are unable to comment whether the same will be converted into grant in the absence of requisite approvals. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xxviii. Attention is drawn to Note no. 39.8.11 of the 'General Notes to Financial Statements' wherein the refund / adjustments are not revised to net basis against excess electricity tax collected from consumers who have availed 'Time of Day' metering pending reconciliation.

- xxix. Attention is drawn to Note no. 39.12 of the 'General Notes to Financial Statements' wherein inter unit accounts are subject to reconciliation / adjustments to the extent of Rs. 41.03 crore [credit] as at 31 March 2025 (Rs. 40.62 crore [credit] as at 31 March 2024). Consequent impact of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xxx. Attention is drawn to Note no. 39.16 of the 'General Notes to Financial Statements' wherein income tax TDS has not been reconciled with Form 26AS / AIS of the Income Tax Department and consequential effect on the income or other transactions is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xxxi. Attention is drawn to Note no. 8 and note no. 39.16 wherein deferred tax liabilities amounting to Rs. 167.71 crore have been reversed as at 31 March 2024 and their carrying amount as at that date after the reversal is Rs. 263.22 crore. However, certain discrepancies were observed in the calculation of deferred taxes. It is observed that the released assets intended for re-use are considered as deletions for income tax depreciation purpose even though such assets have not been sold as for income tax purposes, only realised values on sale of assets can be reduced from the block of fixed assets. This has resulted in considering incorrect written down value of assets under Income Tax Act for deferred tax calculations. Further, the carry forward unused tax losses had not been considered correctly for the purpose of calculating deferred tax asset. In the absence of proper workings, we are unable to comment on the

correctness of deferred tax accounted for that year and recognised as at 31 March 2024. Our opinion on the financial statements for the financial year ended 31 March 2024 was modified accordingly. Our opinion on the current year financial statements is modified because of the possible effect of this matter on the comparability of the current year's figures and the corresponding figures.

- xxxii. The carrying amount towards provision for income tax of Rs. 152.09 crore under current tax liabilities (note no. 27) are unadjusted and without proper details for a long period. In the absence of sufficient details, we are unable to determine the impact of the same on the financial statements.
- xxxiii. Attention is drawn to Note no. 39.17 of the 'General Notes to Financial Statements' wherein various account balances including balances of trade creditors, receivables including Govt. dues, balances / dues of ESCOMs, KPTCL, KPCL, RPCL, PCKL, Deposits to / from suppliers, Contractors, Govt. Authorities, Other payables, employee dues etc., are subject to confirmation / reconciliation of the respective parties. The ageing provided in respect of trade receivables and trade payables does not flow from the books of account of the Company and has been prepared based on some estimates. Also, some of the amounts are lying outstanding for a very long period without proper details. In the absence of requisite details / documents we are unable to assess and comment on the consequential adjustments / provisions, if any, required on the balances as disclosed in the financial statements. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xxxiv. The Company did not have proper system to track the progress of various capital works under execution in respect of expected date of completion, estimated cost to be incurred for completion and other relevant details. The Capital Work-in-Progress (CWIP) include amounts outstanding for a long period without proper details with regard to status of work being executed. The details of ageing provided in the financials does not flow from the books of account maintained by the Company but based on some estimates. Also, the Company has not provided CWIP and Intangible Assets under Development Completion Schedule in respect of CWIP / Intangible Assets under Development whose completion is overdue or has exceeded its cost when compared to the original plan. CWIP balance also include ready for intended use assets such as vehicles, furniture & fixtures, office equipment that have not been capitalised and depreciated. The same is not in accordance with Ind AS 16 'Property, Plant and Equipment'. The CWIP balances also include tools and tackles that are not recognised and measured as inventories in accordance with Ind AS 2 'Inventories'. The Company did not have a system to ascertain and capitalise assets in a timely manner. Consequent impact of the same on accounts including impairment / depreciation is not ascertainable in the absence of relevant details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter. Further, as per Ind AS 16, for each class of property, plant and equipment, the Company shall disclose a reconciliation of the carrying amount at the beginning and end of the year. As CWIP meet the definition of property, plant and equipment per Ind AS 16, the above requirement of Ind AS 16 shall apply to the CWIP. However, the company has not presented such reconciliation in the notes to financial statements for the current year and previous year.

Capital works amounting to Rs. 11.54 crore relating to construction of some assets like Compound wall, transformer platform, service connections, HVDS, 11 Kv lines, OH lines, transformers, Supply & Installation of Communication Antenna & Support accessories for new

SCADA sites etc., which were ready for their intended use as on 31 March 2025 at some of the divisions have not been categorised. To the extent of Rs. 11.54 crore there is understatement of Property, Plant & Equipment and overstatement of CWIP. Consequent impact of the same on depreciation is not readily quantifiable in the absence of relevant details.

Also, the Company has wrongly categorised building under construction amounting to Rs. 0.82 crore at one of the divisions even though the asset is not ready for its intended use. To that extent, Capital Work-in-Progress is understated and Property, Plant & Equipment are overstated. Consequent effect on net block of property, plant and equipment, depreciation and accumulated deficit is not readily ascertainable.

Further, Property, Plant and Equipment does not include Self-execution / Consumer Contribution works amounting to Rs. 1.03 crore completed during the financial year ended 31 March 2025. To that extent, Property, Plant and Equipment and Deferred Income are understated. Consequent effect on net block of property, plant and equipment, depreciation, net deferred income, amortisation of deferred income, and accumulated deficit is not readily quantifiable.

Furthermore, certain assets amounting to Rs. 4.68 crore pertaining to RAPDRP Part A – Data Centre were declared as obsolete and were ordered to be scrapped by an expert committee on 15 June 2023. However, such assets were not derecognised from Property, Plant and Equipment and classified as scrapped assets as at 31 March 2024 and 31 March 2025 and the Company has not ceased recognising depreciation on such assets for the financial years ended 31 March 2024 and 2025. Consequently, gross block of Property, Plant and Equipment are overstated by Rs. 4.68 crore, and also value of scrapped assets under current assets are understated, depreciation expense is overstated. The financial effect on net block of property, plant and equipment, depreciation and accumulated deficit is not readily quantifiable in the absence of details.

Also, the Company has wrongly categorised software amounting to Rs. 8.32 crore even though the software is not fully developed and available for intended use. To that extent, 'Intangible Assets Under Development' is understated, and 'Other Intangible Assets' is overstated. Consequent effect on net block of 'Other Intangible Assets', amortisation expenses, and accumulated deficit is not readily quantifiable.

xxxv. Attention is drawn to Basis of Preparation for Financial Statements wherein Government grants and subsidies in respect of capital assets are recognised on actual receipt of funds by the Company. The same is not in accordance with Ind AS 20 'Accounting for Government Grants and Disclosure of Government Assistance' which requires government grants to be recognised when there is a reasonable assurance that the entity will comply with the conditions attaching to them and the grant will be received. The consequent effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

xxxvi. 'Advance to Suppliers' under Note no. 9 'Other Non-current Assets' include 'Advance to Suppliers - Interest bearing' as at 31 March 2025 amounting to Rs. 1.18 crore (Rs. 1.18 crore as at 31 March 2024) that pertain to a work which, as informed to us, has been halted. However, the Company is neither collecting the interest nor is recognising the accrued interest in the books. Further, 'Other Non-current Assets' also include 'Advance to Suppliers – Interest

Free' amounting to Rs. 0.70 crore which is outstanding for a long period from previous years. In the absence of required details, we are unable to comment on the recoverability of such amounts and consequential impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

Further, Other Non-current Financial Assets include deposits of Rs. 27.96 crore paid by the Company to Ultra Mega Power Projects as its share for establishing ultra mega power plants. The projects have not been started and the amounts are outstanding for a long period and may not be recoverable. However, the Company has not recognised expected credit loss on the same resulting in overstatement of other non-current financial assets, understatement of expenses for the year and accumulated deficit as at 31 March 2025 by Rs. 27.96 crores.

- xxxvii. Certain unidentified credits amounting to Rs. 200.15 crore as at 31 March 2025 (Rs. 175.78 crore as at 31 March 2024) pertaining to E&S section of the Company have been grouped under 'Deposit Contribution Work' under 'Non-current liabilities' and Rs. 28.63 crore of unidentified credits are adjusted from 'Trade Receivables – Unsecured and considered good' in the financial statements. Further, 'Other Receivables' include unidentified debits by banks pending reconciliation amounting to Rs. 0.88 crore as at 31 March 2025 (Rs. 0.88 crore as at 31 March 2024) and 'Other Current Liabilities' include unidentified credits of Rs. 0.54 crore as at 31 March 2025 (Rs. 0.52 crore as at 31 March 2024) pending reconciliation / rectification. Consequential impact on the accounts is not ascertainable in the absence of relevant details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xxxviii. Other income for the year ended 31 March 2024 (Note no. 30) includes interest subsidy received under NEF Scheme of Rs. 39.69 crore, which was accrued during the financial year ended 31 March 2023 vide REC approval letter dated 07-03-2023. The Company recognised the entire amount during the financial year ended 31 March 2024 instead of retrospectively restating the financial statements as required by Ind AS 8. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. Our opinion on the current year financial statements is also modified because of the effect of this matter on the comparability of current year's figures and corresponding figures.
- xxxix. We were provided with Bank Reconciliation Statements (BRS) prepared by some of the accounting units visited by us in respect of which the concerned bank account has not been reflected in the books of account. Such BRSs disclose as reconciliation items, 'Cheques remitted to the bank in prior period but not yet credited'. However, as per the BRS, the balance as per bank statement is shown as 'Nil'. We were not provided with proper details / bank statements/ account closure certificates from banks. In the absence of requisite details, we are unable to ascertain the impact of the same on the accounts. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xl. As informed to us, the accounting units of the Company operate bank accounts in the name of the respective Exec. Engineers for release of pension and remittance of statutory deductions like Income tax TDS of the pensioners / family pensioners. However, it is observed that the accounting units have not disclosed such bank accounts in the books and neither account the pension amounts released from the KEPGT / KENFPGT to the units nor payment of pension amounts to the retired employees / family pensioners. Also, the Income tax TDS deducted are remitted by the accounting units but not accounted in the books. However, the

TDS remittances are disclosed in the quarterly e-TDS returns filed. To that extent, the funds inflow and outflow are not getting reflected in the books of account of the Company and the e-TDS data captured in the quarterly returns will not match with the books of account of the Company. The initial deposits made with the Banks at the time of account opening are reflected under 'Deposits with Others' under 'Other Non-Current Assets' instead of 'Cash & Cash Equivalents'. To the extent of bank balances available as at the end of the year, 'Cash & Cash Equivalents' are understated. Also, to the extent of unpaid pensions / TDS, the current liabilities are understated. In the absence of complete details, the effect of the same on the accounts could not be readily ascertained. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.

- xli. Vide Note no. 39.8 of the 'General Notes to Financial Statements', the Company has disclosed the details of contingent liabilities to the extent ascertained. However, in the absence of full list with comprehensive details / present status with testing for the probability of the devolvment of such liabilities with appropriate legal advices, we are unable to ascertain the completeness of such contingent liabilities as disclosed and any provision that may be required in this regard. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.
- xlii. The Company was liable to reimburse Rs. 3.70 crore to G.S Management Services Pvt Ltd towards additional ESI expenses vide writ petition no. 15958/2023 dated 11-01-2024. In accordance with DWA amendment dated 22-11-2024, the liability was arrived at Rs. 3.85 crore. However, the entire amount of Rs. 3.85 crore were disclosed as a contingent liability instead of being recognised as a current liability in the financial statements for the year ended 31 March 2024. To that extent, expenses and current financial liabilities and accumulated deficit for that year are understated. Our opinion on the financial statements for that year was modified because of this matter. Further, the Company recognised entire amount during the current year instead of retrospectively restating the financial statements as required by Ind AS 8. To the extent of Rs. 3.85 crore, current year expenses and losses are overstated.
- xliii. As per material accounting policy 11, regulatory deferral account balances are recognised when it is probable that the future economic benefits associated with them will flow the Company as a result of actual or expected actions of the regulator (KERC) and the amount can be measured reliably. However, as disclosed in note 39.33(O), the Company has not recognised any regulatory deferral account balances for the reasons stated therein. The same is not in compliance with accounting policy of the Company and Ind AS 114 'Regulatory Deferral Accounts' resulting in understatement of regulatory deferral asset as at 31 March 2025 and net movement in regulatory deferral account balances for the year ended as of that date by Rs. 506.30 crore and overstatement of accumulated deficit as at 31 March 2025 to that extent.
- xliv. As per Ind AS 7 'Statement of Cash Flows', the Company shall disclose a statement that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes and other disclosures like the amount of undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments (indicating any restrictions on the use of these facilities), the aggregate amount of cash flows arising from the operating capacity separately from those cash flows that are required to maintain operating capacity. However, the Company has not disclosed such information as required by Ind AS 7. Further, the Company shall also report major classes of gross cash receipts and gross cash payments

arising from investing and financing activities. However, the Company has reported cash inflows from borrowings made and cash outflows from borrowings repaid on net basis. Furthermore, under the cash flows from financing activities, the Company has reported cash inflow as a result of increase in contributions from consumer assets (deferred income in the balance sheet). However, such cash inflows also include increase in deferred income due to non-cash transactions, which should have been offset with 'Capital Expenditures on Property, Plant & Equipment & Intangible Assets [Net of disposals / adjustments]' under cash flows from investing activities. Consequently, net cash from investing activities and net cash from financing activities are not correctly reported the amount of which is not readily quantifiable.

- xliv. As per Ind AS 1 and accrual system of accounting, a Company shall prepare its financial statements, except for cash flow information, using the accrual basis of accounting. However, as observed during the audit of few divisions, certain expenses such as building rent, remuneration to contract agencies that had accrued during the current financial year have not been provided for at the end of that financial year and such expenses pertaining to previous financial year have been accounted during this financial year.

As identified in some of the divisions, service charges towards total revenue management software amounting to Rs. 7.20 crore payable to *IDEA Infinity IT Solutions Pvt Ltd.* for February 2025 and March 2025 have not been recognised. To that extent, current liabilities as at and other expenses for the year ended 31 March 2025 are understated. Also, amount of Rs. 0.44 crore payable to *Apco Worldwide (India) Pvt Ltd* for engaging a Public Relation Agency has not been recognised. To that extent, current liabilities and expenses are understated. Further, the Company has not recognised claims payable to *Bharthi Airtel Ltd.* and *Reliance Communications Ltd.* towards primary and secondary network bandwidth service, the amount of which could not be quantified in the absence of necessary details. Furthermore, the Company has not recognised Rs. 0.69 crore payable to *Sun Edison Solar Power India Pvt Ltd.* towards repairs and maintenance of irrigation pump sets. To that extent, trade payables as at 31 March 2025 and 'Other Operating Expenses' for the year ended as on that date and accumulated deficit as at that date are understated.

- xlvi. The liability for payment of interest on consumer security deposits as at 31 March 2025 is Rs. 312.52 crore. However, the interest expense recognised during the financial year ended 31 March 2025 is Rs. 367.93 crore. Accordingly, Rs. 55.41 crore of interest of previous year is recognised during the current financial year without retrospectively restating the financial statements of previous year as required by Ind AS 8. Consequently, to the extent of Rs. 55.41 crore, liability for such interest and accumulated deficit as at 31 March 2024 and interest expense for the year ended as of that date are understated, interest expense for the year ended 31 March 2025 are overstated.

- xlvii. As per clause 3.2 of the KERC (Interest on Security Deposit) Regulations 2005, the accrued interest on security deposit for each financial year shall be credited to the consumer's account during the first quarter of the subsequent financial year and be adjusted against the consumption charges. As Ind AS 32, a financial asset and a financial liability shall be offset and the net amount presented in the balance sheet when, and only when an entity currently has a legally enforceable right to set off the recognised amounts, and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously. As the Company settles such interest payable on consumer deposits on net basis by reducing it from the consumer charges, the interest payable on consumer security deposit should have been offset with trade receivables in the balance sheet. However, the Company has not offset such

amounts, but has separately classified such interest as other current liabilities in the balance sheet. Consequently, to the extent of Rs. 312.52 crore as at 31 March 2025 (Rs. 319.95 as at 31 March 2024 after considering the effect of our modification in paragraph xlvii), other current liabilities and trade receivables are overstated.

- xlvi. As per clause 'FA' of General Instructions for Preparation of Balance Sheet under Division II of Schedule III, the Company shall disclose following information relating to micro, small, and medium enterprises (MSME) in the notes: (a) *the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;* (b) *the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;* (c) *the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;* (d) *the amount of interest accrued and remaining unpaid at the end of each accounting year;* and (e) *the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.* However, the Company has not disclosed this information. Further, in the absence of sufficient details, we are unable to comment on the accuracy of classification of dues to MSME and other than MSME in the balance sheet.
- xlv. During the current financial year, the Company had reclassified an item of Land amounting to Rs. 0.53 crore as Land & Rights. However, such reclassification is made only in the current year's financial statements and not retrospectively in the previous year's financial statements, which is not in accordance with Ind AS 8. Consequently, this has impacted the comparison of current year and corresponding figures to that extent in Note no. 2.
- i. The Company has not recognised power purchase cost amounting to Rs. 27.73 crore from Udupi Power Corporation Ltd. in respect of revised compensation towards partial loading for the financial year ended 31 March 2025 even though the invoice was received before the financial statements for the that financial year were approved for issue. The Company has not adjusted the financial statements for this amount as required under Ind AS 10 'Events after the Reporting Period'. To the extent of Rs. 27.73 crore, power purchase cost for the year ended 31 March 2025 and current trade payables and accumulated deficit as at that date are understated.
- ii. Billing data captured at consumer-level are pushed to centralised database under Total Revenue Management (TRM) system. 'Demand, Collection and Balance' (DCB) Reports are generated from the TRM system. Trade receivables, revenue and other adjustments are recognised in the books of account based on such MIS DCB Reports. However, arithmetical discrepancies during the generation of MIS DCB Reports have resulted in differences between carrying amounts of trade receivables as per the MIS DCB Reports and the books. Vide note no. 39.33(C), an amount of Rs. 80.64 crore [debit] as at 31 March 2025 (Rs. 78.21 crore [debit] as at 31 March 2024) is identified and accounted under GL Code 23.898 (Pending for reconciliation of Sundry Debtors – Revenue) pending reconciliation for the reasons stated therein. In the absence of corroborating evidence, we are unable to verify the assertion made by the management and its effect on the financial statements.

- lii. As per Company's material accounting policy no. 18, the Company calculates expected credit losses at 3% in respect of receivables other than trade receivables. However, while calculating the expected credit losses, the Company has considered incorrect other receivables balances resulting in recognition of excess expected credit loss of Rs. 19.94 crore. Consequently, expenses and losses for the year are overstated to that extent. Further, the impairment allowance for expected credit losses of other receivables as at 31 March 2025 and as at 31 March 2024 are entirely reduced from 'Other Current Receivables' in Note 14, and the receivables and account balances in respect of which such allowance was calculated and recognised are presented in different notes without netting-off of impairment losses.
- liii. During the financial year ended 31 March 2025, the Company has accounted as income being reversal of write-off of receivable on account of theft of power accounted in prior year amounting to Rs. 8.00 crore. However, in the absence of virtual certainty of the recoverability of the amount, the accounting of the same as income for the year is not appropriate. Consequently, trade receivables under current asset and revenue from operations are overstated to that extent.
- liv. Trade Receivables (Note no. 11) includes Rs. 1.61 crore receivable from Bruhat Bengaluru Mahanagara Palike (BBMP) towards expenses incurred by the Company for establishing and operating a COVID-19 Helpline facility on behalf of BBMP during 2021. Despite repeated correspondences, BBMP has not reimbursed the amount and has informed that the expenditure may be met by BESCOM out of their funds. Hence, the amount may not be recoverable and should have been fully provided for. However, the Company has not recognised expected credit loss on the same resulting in overstatement of trade receivables, understatement of other expenses for the year ended and accumulated deficit as at 31 March 2025 to the extent of Rs.1.61 crore.
- lv. 'Other Current Financial Assets' (Note 14) include Rs. 21.87 crore interest subsidy receivable from National Electricity Fund. However, the Company has already received the amount through adjustment of interest payable during the financial year ended 31 March 2018. Non-recognition of interest so adjusted has resulted in overstatement of other current financial assets and understatement of accumulated deficit as at 31 March 2025, 31 March 2024, and 1 April 2023 respectively to that extent.
- lvi. The Company has not recognised Rs. 1.26 crore recoverable from *Idea Infinity IT Solutions Pvt. Ltd.* towards 10% Liquidated damages and 10% penalty (Rs. 0.84 crore) and non-supply of licensed antivirus and Microsoft 365 software (Rs. 0.42 crore). To that extent, 'Other Current Financial Assets' as at 31 March 2025 and income for the year ended as on that date are understated and accumulated deficit is overstated.
- lvii. The Company awarded a Detailed Work Award to *Innovari Technologies Private Limited* during February 2016 for implementing 5 MW Automated Demand Side Management (ADSM) at a contract price of Rs. 18.40 crore. However, the contractor failed to execute the project and the project was short closed. Accordingly, the Company derecognised the capital work in progress as at 31 March 2024. Further, the Company has encashed the bank guarantee amounting to Rs. 1.57 crore, which has been classified as a liability, and has retained the security deposit of Rs. 0.27 crore, which is not refundable to the contractor. However, while derecognising the capital work in progress, the bank guarantee and security deposit were not adjusted. Consequently, 'Other Non-current Liabilities' (Note 23) is overstated by Rs. 1.57

crore, 'Other Current Financial Liabilities' (Note 25) is overstated by Rs. 0.27 crore, and accumulated deficit is overstated by Rs. 1.84 crore as at 31 March 2025.

- lviii. The Company has not, in accordance with Ind AS 37 'Provisions, Contingent Liabilities and Contingents Assets', estimated and accounted for revisions that may arise to power purchase bills after the end of the financial year but pertaining to the financial year 2024-25. Subsequent to 31 March 2025, the Company has received additional demands from KPCL / RPCL amounting to Rs. 59.11 crore, credit notes amounting to Rs. 1.69 crore and Rs. 66.72 crore in respect of power purchased during the financial year 2024-25. Consequently, trade payables as at the end of financial year and power purchase cost for the financial year and accumulated deficit as at 31 March 2025 are overstated to the extent of Rs. 9.30 crores.
- lix. In accordance with GOK order Energy 140 PSR 2024 Bengaluru dated 21-03-2025, the Company has an obligation to pay guarantee commission of Rs. 30.61 crore on loans borrowed by PCKL. However, the Company has not recognised such guarantee commission payable and expenses during the financial year ended 31 March 2025. To that extent, 'Finance Cost' for the year ended 31 March 2025 are understated. Further, in accordance with GOK order EN3 PSR 2016/ P3 dated 31-03-2017, the Company has an obligation to pay guarantee commission in respect of loans borrowed by PCKL in earlier years which has not been provided for. To the extent of Rs. 9.23 crore, 'Finance Cost' for the year ended 31 March 2024 is understated. Further, guarantee commission to the extent of Rs. 34.57 crore pertaining to the financial years 2017-18, 2019-20, and 2022-23 have not been provided for resulting in understatement of Guarantee commission payable and accumulated deficit as at 1 April 2023. Cumulatively, guarantee commission payable is understated by Rs. 74.41 crore as at 31 March 2025 (Rs. 43.80 crore as at 31 March 2024), and accumulated deficit is also understated to that extent. Further, in the absence of sufficient details, guarantee commission payable in respect of financial years 2018-19, 2020-21, and 2021-22 could not be quantified.
- lx. During the year, the Ministry of Power has issued Electricity Distribution (Accounts and Additional Disclosure) Rules 2024 ('the Rules'). These Rules lay down the minimum provisioning requirement for trade receivables excluding Government Consumers. However, the Company has not disclosed the applicability of such rules to them and whether the ECL on trade receivables comply with the minimum prescribed provisioning requirements as per the rules.

Consequential net effect of our modifications mentioned above, wherever quantified (negative amounts represent overstatement, which should be reduced from the respective line item presented in the financial statements and positive amounts represent understatement, which should be added to the respective line item presented in the financial statements):

Line item	Financial statement	As at or for the year ended 31 March 2025 (Rs. in crore)	As at or for the year ended 31 March 2024 (Rs. in crore)
Gross Property, Plant and Equipment	Balance sheet	7.07	-
Capital Work-in-Progress		(16.53)	(1.93)
Gross Other Intangible Assets		(8.32)	-
Intangible Assets under Development		14.13	1.93
Other Non-current Financial Assets		(27.96)	-

Trade Receivables		(709.74)	(2,079.00)
Other Current Financial Assets		(20.61)	(21.87)
Other Current Assets		(2,765.02)	(2,043.65)
Regulatory Deferral Account Debit Balance		506.30	-
Other Equity (Accumulated Deficit)		3,622.44	9,351.98
Gross Deferred Income		1.03	-
Other Non-current Liabilities		(1.57)	-
Trade Payables		787.23	4,997.02
Other Current Financial Liabilities		74.14	47.65
Other Current Liabilities		(259.07)	162.79
Revenue from Operations	Statement of Profit and Loss	(8.00)	-
Other Income		3.10	(39.69)
Purchase of Power		(3,242.69)	820.43
Other Operating Expenses		0.69	-
Finance Costs		(24.80)	64.64
Other Expenses		(589.90)	1,498.29
Exceptional Items		(1,371.44)	(178.99)
Net Movement in Regulatory Deferral Account Balances related to Profit or Loss		506.30	-

We conducted our audit in accordance with Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the code of ethics issued by the Institute of Chartered Accountants of India (ICAI) together with ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and rules there under, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's code of ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse opinion.

Material Uncertainty related to Going Concern

We draw attention to Note no. 39.11 of the 'General Notes to Financial Statements' which indicates that the Company has accumulated losses eroding its net worth as on 31 March 2025, the Company's current liabilities exceeded its current assets. These conditions, along with other matters as set forth in the said note, indicate the existence of a material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern. For the reasons stated therein by the management, the financial statements have been prepared on going concern basis.

Our opinion is not modified in respect of the above matter.

Emphasis of Matter

We draw attention to the following matters in the notes to the financial statements:

- i. Attention is drawn to note no. 39.4.9 wherein property, plant and equipment commissioned on or after 1 April 2024 are depreciated at revised rates prescribed under the CERC order L-1/268/2022/CERC dated 15-03-2024 (in respect of new projects), and the property, plant and equipment commissioned on or before 31 March 2024 are depreciated at rates adopted on and before 31 March 2024.
- ii. Attention is drawn to note no. 39.34, wherein it is stated that though the Company holds 20% of Equity Shareholding in Power Company of Karnataka (PCKL), in the absence of participation by the Company in financial and operating policy decisions of PCKL, the Company does not have significant influence on PCKL and hence not considered an associate of the Company in accordance with Ind AS 28 'Investments in Associates and Joint Ventures'.

Our opinion is not modified in respect of the above matters.

Other Matter

This report supersedes our audit report dated 15 October 2025 on the financial statements of the Company dated 28 August, 2025 for the financial year ended 31 March 2025 pursuant to observations made by the Comptroller & Auditor General of India during their supplementary audit under section 143(6)(b) of the Act. The Company has expressed its inability to revise the financial statements for the financial year ended 31 March 2025 approved by the Board of Directors on 28 August 2025 and this report is issued to incorporate the modifications and comments as required.

However, our adverse opinion expressed earlier on the financial statements of the Company for the financial year 2024-25 in our report dated 15 October 2025 remains unchanged.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's management and Board of Directors are responsible for the preparation of other information. The other information comprises the Director's Report including Annexures, Management Discussion and Analysis, Progress Report of Projects and other company-related information, but does not include the financial statements and our auditor's report thereon, which are expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

When we read the other information, if, we conclude that there is a material misstatement of this other information, we are required to report that fact to those charged with governance and take necessary actions, as applicable under the relevant laws and regulations.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the

financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015 as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going

concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ('the Order') issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013 we give in the **Annexure 1** a statement on the matters specified in the paragraph 3 and 4 of the said Order, to the extent applicable.
2. As required under Section 143(5) of the Act, based on such checks of the books and records of the Company as we considered appropriate and according to the information and explanations given to us, we give in **Annexure 2**, a statement on the directions issued by the Comptroller & Auditor General of India.
3. As required by Section 143(3) of the Act, we report, to the extent applicable, that:
 - a. We have sought and obtained all the information and explanations except for the effects / possible effects of the matters described in the **Basis for Adverse Opinion** section above, which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matter stated in paragraph 3(i)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
 - c. The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this report are in agreement with the books of account;
 - d. Except for the effects / possible effects of the matters described in the **Basis for Adverse Opinion** section, in our opinion, the aforesaid financial statements dealt with by this report comply with the Indian Accounting Standards specified under section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015 as amended;

- e. The Company being a Government Company, the provision of Section 164(2) of the Act, regarding disqualification of Directors does not apply in terms of Notification G.S.R. 463 (E) dated 5th June, 2015.
- f. The adverse remarks relating to the maintenance of accounts and other matters connected therewith are as stated in the **Basis for Adverse Opinion** section above and refer to our comment in paragraph 3(i)(vi).
- g. With respect to the adequacy of the internal financial controls with reference to financial statements the Company and the operating effectiveness of such controls, refer to our separate report in **Annexure A**.
- h. As per Notification No. GSR 463(E) dated 5 June 2015 issued by the Ministry of Corporate Affairs, Government of India, section 197 of the Act is not applicable to the Government companies. Accordingly, reporting in accordance with requirement of provisions of Section 197(16) of the Act is not applicable on the Company.
- i. With respect to other matters to be included in the Auditors Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rule 2014, as amended, in our opinion and to the best of our information and according to explanations given to us:
 - i. The Company has disclosed the impact of pending litigation on its financial position (to the extent ascertained) in its financial statements (refer note no. 39.8 of the 'General Notes to Financial Statements');
 - ii. Except for the matter described in the **Basis for Adverse Opinion** section, the Company has made provision as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts, if any.
 - iii. As per books of accounts and based on information and explanation provided to us, there were no amounts which were required to be transferred to Investor's Education and Protection Fund by the Company and hence commenting on delay in transferring amounts required to be transferred to the Investors Education & Protection Fund does not arise.
- iv.
 - a. The management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries (refer note no. 39.36(14)(a) of 'General Notes to Financial Statements');
 - b. The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing

or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries (refer note no. 39.36(14)(b) of 'General Notes to Financial Statements'); and

- c. Based on such audit procedures that we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.
- v. The Company has not declared or paid any dividend during the year and hence the provisions of section 123 of the Companies Act, 2013 are not applicable.
- vi. Based on our examination which included test checks, the Company has used accounting software systems for maintaining its books of account which did not have a feature of recording audit trail (edit log) that cannot be disabled as required under proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 and commenting on whether the audit trail is enabled throughout the year does not arise.

In the absence of feature of recording audit trail that cannot be disabled, the question of commenting whether audit trail had been tampered with or the audit trail has been preserved by the Company as per the statutory requirements for record retention does not arise.

For Manian & Rao
Chartered Accountants
Firm Registration No: 001983S

Srikanth R.
Partner
Membership No: 203138
UDIN: 25203138BMOJID3060

Place: Bengaluru

Date: 18 December 2025

ANNEXURE 'A' TO THE INDEPENDENT AUDITORS' REPORT

Referred to in paragraph 3(g) under **Report on Other Legal and Regulatory Requirements** section of our report of even date to the members of **Bangalore Electricity Supply Company Limited** on the financial statements for the year ended 31 March 2025.

Report on the Internal Financial Controls with reference to Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

We have audited the internal financial controls with reference to financial statements of **Bangalore Electricity Supply Company Limited** ('the Company') as of 31 March 2025 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the criteria for internal financial control with reference to financial statements established by the Company considering the essential components of internal control stated in the *Guidance Note on Audit of Internal Financial Controls Over Financial Reporting* (the "Guidance Note") issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing issued by the ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls and, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our

adverse audit opinion on the Company's internal financial control with reference to financial statements.

Meaning of Internal Financial Controls with reference to Financial Statements

A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Adverse Opinion

In our opinion and according to the information and explanations given to us and based on our audit, the following material weaknesses have been identified in the adequacy and operative effectiveness of the company's internal financial controls with reference to financial statements as at 31 March 2025:

- i. The Company does not have an appropriate system for testing / assessing the operating effectiveness of internal financial controls and taking timely corrective measures to ensure strict adherence to the Company's policies and procedures, prevention and detection of fraud or errors, accuracy and completeness of accounting records and timely preparation of reliable financial information.
- ii. The Company does not have appropriate internal control mechanism for obtaining balance confirmation and reconciliation in respect of various receivables, payables including payable on account of power purchases, advances, deposits including deposits made with various regulatory authorities, amounts due from / to Government and Government Agencies / Companies & other sundry liabilities. This could result in the Company materially misstating the balances of assets or liabilities and income or expenses in the financial statements.

- iii. There was no regular programme for physical verification of tangible assets other than assets like office equipment, furniture & fixtures etc., which could potentially result in the Company materially misstating the value of tangible assets in the financial statements.
- iv. The Company did not have a system of tracking the progress of various capital works with details like their expected date of completion, additional cost required to complete the work and other related details. Also, the Company did not have a system to ascertain and capitalise the works in a timely manner. This could result in the Company materially misstating the value of CWIP, Property, Plant & Equipment and depreciation.
- v. The system of appropriate identification of different classes of property, plant and equipment and allocation of total contract consideration to such classes of property, plant and equipment are not operating effectively. Consequently, part of contract consideration has been incorrectly allocated to 'miscellaneous equipment' instead of the appropriate asset class.
- vi. The Company does not have appropriate internal controls for identifying impairment of assets which could potentially result in the Company materially misstating the carrying amount of property, plant and equipment in the financial statements of the Company.
- vii. Register for Property, Plant and Equipment in the proper format by including details like sufficient description of assets, situation of assets, month of commissioning etc., have not been maintained which could potentially result in the Company materially misstating the carrying amount of its property, plant and equipment in the financial statements. An effective procedure and internal financial control may be evolved to ensure that the Register for Property, Plant and Equipment is being maintained and updated regularly for each individual asset.
- viii. The Company does not have an effective system for monitoring and timely adjustment of capital and other advances and there are many long outstanding advances as at the end of the year which may potentially result in misstatement in the financial statements.
- ix. The system of obtaining periodic confirmations in respect of the Bank accounts operated by the Company to ensure correctness of the bank balances was not operating in the Company.
- x. Certain unidentified credits amounting to Rs. 200.15 crores as at 31 March 2025 have been grouped under 'Deposit Contribution Work' under 'Non-current liabilities' and Rs. 28.63 crores of unidentified credits are adjusted from 'Trade Receivables – Unsecured and considered good' in the financial statements. Further, 'Other Receivables' include unidentified debits by banks pending reconciliation amounting to Rs. 0.88 crores & 'Other Current Liabilities' include unidentified credits of Rs. 0.54 crores by banks pending reconciliation / rectification. Non-identification of the nature of receipt / payment and unreconciled items in bank accounts could potentially result in misstatement of assets & liabilities, income & expenses & Bank balances. The system of bank reconciliation is carried out manually and not through the accounting software used. Hence, we are unable to comment or confirm whether the reconciliations have been carried out properly considering all the bank entries.

- xi. The system of timely reversal of stale cheques and declined NEFT payments was not operating effectively which may potentially misstate the bank balances and payables.
- xii. The system of reconciling Income tax TDS as per books with that of reflected in Income tax form 26AS / Annual Information Statement (AIS) was not operating in the Company which may potentially misstate the TDS receivable / income for the financial year.
- xiii. The system of reconciling the entries towards inter unit adjustment / transactions between the accounting units at regular intervals and as at the end of the financial year was not operating effectively which has resulted in misstating the inter unit balances and concerned asset or liability and income or expense.
- xiv. The Company has an in-house Internal Audit department to carry out internal audit functions. In our opinion, the scope and coverage of internal audit is not commensurate with the size and nature of the Company's business as the internal audit department is not adequately manned with professionally qualified persons and the scope of the internal audit continues to be limited and not sufficiently risk-focused. It is also observed that the scope of the internal audit had not been defined / vetted by the Audit Committee of the Board (ACB). Further, the internal audit system does not review and comment on the financial accounts, IT systems, risk management practices or governance processes of the Company. The internal audit head reports to the Managing Director of the Company, which may affect the independence of the function. The deficiencies discussed above impact the effectiveness of financial oversight and internal controls, leading to potential inaccuracies or misstatements in financial records and financial reporting.
- xv. The Company did not have a proper system to ensure that all active connections are being billed as we had observed from the DCB Reports on test check basis, some installations though under 'Active' state, the demand for such connections are shown as 'Zero' potentially impacting the trade receivables and operating revenues of the Company.
- xvi. Internal controls relating to the accuracy and reliability of TRM system-generated reports, and their reconciliation with the accounting records, were not operating effectively as arithmetical discrepancies during the generation of MIS DCB Reports have resulted in differences between the carrying amounts of trade receivables as per the MIS DCB Reports and the books.
- xvii. Closing balance of previous year is not carried forward to current financial year automatically in the accounting software resulting in Company recording a journal entry to account for the same in the current financial year. The manual process may potentially lead to mistakes affecting the opening balances of assets and liabilities being brought forward.
- xviii. The Company is operating an accounting software 'Be Quick Accounts' for recording the accounting transactions. Master data is created in the software for suppliers, employees & other vendors. Schedules are created in the software for all transactions relating to the entries made and are recorded in the concerned control ledger account like Receivables, Salary Payable, Contractors Control Account, etc. However, it is observed that underlying schedules are not being updated properly like identifying the correct vendor's name with income tax PAN resulting in such schedules showing incorrect balances including adverse balances for some vendors when such

is not the case. As informed to us, during migration of account balances from manual system to computerized system during financial year 2017-18, some of the ledgers having incorrect or adverse balances were captured as it is in the computerized system and carried forward. Hence, the underlying schedules extracted from the Software does not disclose correct balances and not reliable. This potentially misstates the closing balance of such schedules like Contractor Control A/c, Salary Payable etc., It was also observed that many users (makers of accounting entries) are operating through single login user ID which is not a correct practice. Also, the accounting software does not have audit trail feature. Hence, tracing a particular accounting entry to the maker of that entry is not possible. Also, ageing of balances cannot be extracted from the software which is an inherent limitation of the accounting software.

- xix. The Company follows a system of recording journal entries (JEs) by clubbing multiple transactions while accounting in the software instead of recording separate JEs for each and every transaction. This potentially leads to difficulty in identifying and verifying any particular transaction. Also, the Company follows a system of accounting multiple accounts / borrowings pertaining to a single Bank / Lender under one GL head resulting in individual account / loan balances not getting identified separately in the books of account or trial balance. This may potentially lead to mistakes or omissions in a particular loan / bank account that may not get identified.
- xx. All payments of Rs. 5 lakhs and above are made by Cash Management Section (CMS) directly to contractors / parties, but CMS and accounting units account for the same as fund transferred to accounting units and funds received from CMS respectively. Further, accounting units pass bank entries for payment to contractor / creditor though payments are done from the Bank account of CMS. These entries are also reflected in cash books and Bank Reconciliation Statements (BRS) of the accounting units. This system of accounting creates notional bank entries in at accounting units-level and not an accepted practice of accounting.
- xxi. As per the Company's internal policy, all payments above Rs. 5 lakhs must be made at the CMS to ensure appropriate oversight over those payments. However, few vendors / suppliers have been submitting multiple invoices just below Rs. 5 lakhs in respect of a distinctly identifiable service or transaction, which in aggregate, exceed the policy threshold. These multiple invoices are processed at the accounting unit-level even though, when aggregated, are to be processed at the CMS. This practice effectively circumvents the internal control policy for payments above Rs. 5 lakhs.
- xxii. It is observed that the accounting units have not disclosed bank accounts used for pension & NDCPS payments in the books and accounted neither the pension amounts released from the KEPGT / KENFPGT to the units nor payment of pension amounts to the retired employees / family pensioners even though such bank accounts are operated by the respective accounting units. The initial deposits made with the Banks at the time of account opening are reflected under 'Deposits with Others' under 'Other Non-Current Assets' instead of 'Cash & Cash Equivalents'. Also, the Bank accounts used for statutory tax payments are not disclosed in the financial statements. The procedure followed by the Company potentially misstates the bank balances, liability for unpaid pension and statutory dues at year end.

- xxiii. Some of the material accounting policies selected by the Company are not applied – non-ascertainment of fair values for financial instruments, non-recognition of right-of-use assets (leases), non-recognition of regulatory deferral account balances, not retrospectively restating the financial statements, are not in compliance with applicable Ind AS and may potentially result in misstatement in the financial statements. Also, the Company does not have an accounting policy for recognising power banking / swapping arrangements carried with power supply entities in other states.
- xxiv. The system of accounting for imprest balances is inappropriate as amounts utilised out of imprest balances are being recognised in disbursement bank account ledgers rather than adjusting through imprest ledgers. Also, recoupment of imprest balances is not being adjusted through imprest ledgers.
- xxv. Certain items of small sizes that require individual or batch counting are kept in loose quantities at stores of the Company. This makes the counting of such items difficult during the annual stock count and may result in recording inaccurate physical count results and consequently may affect the valuation of materials.
- xxvi. 'Delegation of Powers' is not strictly being adhered to. As per the 'Delegation of Powers' of the Company, the CEE office is authorised to invite tenders only up to Rs. 2 crores each. However, in respect of some tenders invited during the financial year, CEE office (Chitradurga) had invited and awarded tenders above Rs. 2 crores each.
- xxvii. The system of proper documentation in cases of power theft and recovery of energy charges including penalty was not operating effectively in the Company. The Company has a vigilance section for detecting power theft and recovering energy charges along with penalty as and when such theft is identified. However, the Company could not produce sufficient documentation for our verification to ascertain relevant details as regards the number of cases of power theft detected, ageing of the cases, cases under appeal, the quantum of pending recoveries, cases that have been closed without any recovery etc.,
- xxviii. The Company did not have a proper system to accrue and account for all known liabilities and expenses such as building rent, remuneration to contract agencies. Further, the Company did not have a system to estimate and account for revisions that may arise to power purchase bills after the end of the financial year but pertaining to the financial year.
- xxix. The Company did not have a proper system or records for tracking the bank guarantees received as security, name of the parties from whom received, amount and purpose, validity, and decision for renewal / encashment of bank guarantees as and when required.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial controls with reference to financial statements, such that there is a reasonable possibility that a material misstatement of the Company's annual or interim financial statements will not be prevented or detected on a timely basis.

In our opinion, because of the effects / possible effects of the material weakness(es) described above on the achievement of the objectives of the control criteria, the Company has not maintained in all material

respects, adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were not operating effectively as of 31 March 2025, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal controls stated in the Guidance Note issued by the Institute of Chartered Accountants of India.

We have considered the material weakness identified and reported above in determining the nature, timing and extent of audit tests applied in our audit of the 31 March 2025 financial statements of the Company, and these material weaknesses have affected our opinion on the financial statements of the Company and we have issued an adverse opinion on the financial statements.

For Manian & Rao

Chartered Accountants

Firm Registration No: 001983S

Srikanth R.

Partner

Membership No: 203138

UDIN: 25203138BMOJID3060

Place: Bangalore

Date: 18 December 2025

ANNEXURE '1' TO THE INDEPENDENT AUDITORS' REPORT

(Referred to in paragraph 1 under **Report on Other Legal and Regulatory Requirements** our report of even date to the members of **Bangalore Electricity Supply Company Limited** ('the Company') for the year ended 31 March 2025).

We report that:

i. **Property Plant and Equipment**

- a. (A) Based on our audit and according the information and explanations given to us, the Company has not maintained proper records with respect to property, plant and equipment (including right-of-use assets) across its various accounting units containing, inter alia, details like sufficient description, location and situation of assets, quantitative details etc.

(B) The intangible assets held by the Company are software. Even though separate register has not been maintained, adequate details are available with the Company for the cost incurred on the software.

- b. We were informed that the Company has carried out physical verification of assets under the category of office equipment, furniture & fixtures, vehicles at regular intervals. However, no physical verification reports or records were provided to us for our verification, and accordingly we are unable to comment on whether the physical verification was actually carried out, and if so, whether any material discrepancies were noticed and properly dealt with in the books of account. The Company has not carried out physical verification of assets under category of land, buildings, line cable networks, transformers, plant & machinery etc., including released assets during the year. Hence, the question of reporting on discrepancies and adjustment in the books of account does not arise with respect to these property, plant and equipment.
- c. We are unable to report on whether the title deeds of all the immovable properties (other than properties where the company is the lessee) disclosed in the financial statements are held in the name of the company, as sufficient details or records were not provided for our verification.

Vide Note no. 39.4.4 and 39.4.5 to the 'General Notes to Financial Statements', the Company is still in the process of obtaining details of the identification, location, situation, description and extent of transfer of titles in its favour in respect of moveable, immovable and leased assets transferred from Govt. of Karnataka / M/s. KPTCL and out of the assets assigned and transferred to the Company by KPTCL through notification in the transfer order, title deeds relating to the land (including lease hold) are not available / transferred in favour of the Company.

- d. The Company has not revalued its property, plant and equipment (including right of use assets) or intangible assets during the year and hence reporting under paragraph 3(i)(d) of this Order is not applicable to the Company.

- e. Based on the information and explanations furnished to us, no proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder and therefore the question of our commenting on whether the Company has appropriately disclosed the details in its financial statements does not arise.

ii. Inventories and working capital funding

- a. As explained to us, the inventories comprising of stores, spares, tools, plants lying in the stores of the Company have been physically verified during the year by the management. The physical verification reports do not mention the quantities as per records but only states the quantities physically available and states there are no discrepancies. However, the procedure needs to be strengthened with proper identification & tagging of inventory items, comparison of actuals with those available on records. In the absence of adequate details in the physical verification reports, we are unable to comment on the material discrepancies in inventory items.
- b. The Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets (trade receivable and inventories). The quarterly statements of trade receivables and inventory filed by the Company with the banks for working capital purposes are not in agreement with the books of accounts. As informed to us, amounts provided in quarterly statements include subsidy receivable, true-up subsidy and other receivables from the Government and other ESCOMs along with trade receivables and inventory. As informed to us, the differences are also due to provisional figures provided in the quarterly statements which may undergo changes subsequently. However, detailed analysis of differences could not be provided by the Company. The differences are detailed below:

(Rs. in crores)

Quarter	Amount as per quarterly returns submitted	Value of trade receivables and inventory as per books of account	Difference
	(A)	(B)	(C = A – B)
1	14,586.48	7,648.95	6,937.53
2	12,190.39	8,313.81	3,876.58
3	11,657.01	7,732.50	3,924.51
4	10,338.54	8,524.87	1,813.67

iii. Loans & Advances

In our opinion and according to information and explanations given to us, during the year the Company has not made investments in, provided any guarantee or security or granted any loan or advances in the nature of loans, secured or unsecured to companies, firms, limited liability

partnerships or any other parties. Accordingly, provisions of paragraph 3(iii) of the Order are not applicable to the Company.

iv. Loans, Investments and Guarantees

In our opinion and according to information and explanations given to us, the company has not made any loans or any investments or provided any guarantees or security to the parties covered under section 185 and 186 of the Companies Act 2013. Therefore, the provisions of paragraph 3(iv) of the said Order are not applicable to the Company.

v. In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits from the public within the meaning of section 73, 74, 75 & 76 of the Companies Act, 2013 and the rules made thereunder and to the extent notified. Therefore, provisions of paragraph 3(v) of the Order are not applicable to the Company.

vi. The maintenance of cost records in respect of electricity (Distribution of Power) has been prescribed by the Central Government under section 148(1) of the Act. As per the information and explanation provided to us, the Company has maintained such records as detailed in the Cost Audit Report for the financial year 2023-24. However, cost audit for the current financial year is yet to be conducted and as informed, updating of cost records is under process.

vii. Statutory dues

a. As informed to us, the Company, according to its records, is regular in depositing with appropriate authorities undisputed applicable statutory dues including Goods and Service Tax, Provident Fund, Income tax, Sales tax, Customs duty, VAT, Service tax, Cess and other statutory dues. As informed to us, there are no undisputed statutory dues outstanding for a period exceeding six months from the date they became payable as on the last day of the current financial year. However, we are unable to verify such assertion made by the management as the details of statutory dues and payment could not be collated by the Company and ageing schedule could not be extracted from the accounting software. Also, it has been observed that there was misappropriation of funds in one of the divisions due for remittance under 'Workers Welfare Cess' amounting to Rs. 0.26 crore (as provisionally ascertained) pertaining to financial year 2022-23. However, the amount is yet to be remitted and as informed, the misappropriation was identified during the financial year 2024-25 and investigation is still under progress. However, the amount recovered from the concerned employee has not been disclosed under statutory dues payable pending completion of enquiry.

b. In our opinion and according to information and explanations given to us, there are no statutory dues referred to in sub clause (a) as at 31 March 2025 which have not been deposited on account of any dispute other than the following disputed tax demands:

Sl. No	Name of the Statute	Nature of the dues	Amount	Period to which the	Forum where the	Amount deposited on
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			(Rs. in crores)	amount relates	dispute is pending	account of the dispute (Rs. in crores)
1	Income Tax Act, 1961	Income Tax	51.61	AY 2017-18	ITAT, Bengaluru	15.86*
2	Income Tax Act, 1961	Income Tax	58.29	AY 2018-19	CIT (Appeals), Bengaluru	Nil
3	Goods and Services Tax Act	Goods and Services Tax	1.00	FY 2018-19	Appellate Tribunal	0.09
4	Goods and Services Tax Act	Goods and Services Tax	2.04	FY 2019-20	Hon'ble High Court of Karnataka	Nil
5	Goods and Services Tax Act	Goods and Services Tax	0.61	FY 2017-18	GST Appellate Authority	0.03

*Rs. 5.54 crores have been adjusted against refunds received.

viii. According to the information and explanations given to us and the records of the Company examined by us, the Company has not surrendered or disclosed as income, any transaction not recorded in the books of account during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961). Accordingly, reporting under paragraph 3(viii) of the Order is not applicable to the Company.

ix. Repayment of Loans and Interest

- According to the information and explanations given to us and the records of the Company examined by us, the Company has not defaulted in repayments of loans or other borrowings or in the payment of interest thereon to any lender.
- According to the information and explanations given to us, and based on our audit procedures, we report that the Company has not been declared wilful defaulter by any bank or financial institution or other lender or government or any government authority.
- According to the information and explanations given to us, the loans to the extent utilised have been applied for the purposes for which the loans were obtained. On an overall examination of the financial statements of the Company and based on our audit procedures nothing has come to our notice to infer that the term loans have not been applied for the purpose for which the loans were obtained.
- According to the information and explanations given to us and the procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

- e. According to the information and explanations given to us and on an overall examination of the financial statements of the Company, we report that the Company does not have subsidiaries, associates or joint ventures and hence reporting under paragraph 3(ix)(e) of the Order is not applicable to the Company.
- f. According to the information and explanations given to us and on an overall examination of the financial statements of the Company, we report that the Company does not have subsidiaries, associates or joint ventures and hence reporting under paragraph 3(ix)(f) of the Order is not applicable to the Company.

x. Funds Raised by way of IPO/FPO/Preferential Allotment

- a. According to the information and explanation given to us and procedures performed by us, the Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year. Hence, provisions of paragraph 3(x)(a) of the Order are not applicable to the Company.
- b. According to the information and explanations given to us and records of the Company, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year. Accordingly, provisions of the paragraph 3(x)(b) of the Order are not applicable to the Company.

xi. Identification and reporting of frauds

- a. As per the information and explanations provided to us, no material fraud by or on the Company has been noticed or reported during the year, nor have we been informed of any such case by the management. However, as informed, in respect of identified cases of theft of power, proceedings for recovery of applicable charges are being initiated. In respect of departmental enquiry initiated against a few employees relating to alleged irregularities, we are informed that the nature and amount can be finally determined only on completion of enquiry.

During the year the management had identified misappropriation of funds belonging to the Company pertaining to the FY 2022-23 amounting to Rs. 0.26 crore carried out by a Junior Assistant (Cashier) in Magadi Division. As informed, an amount of Rs. 0.26 crore has been returned to the Company by the employee involved. Also, the management is in the process of identifying the role of other employees involved. Some of the suspected employees are under suspension and disciplinary proceedings against the employees have been initiated and are in progress.

- b. According to the information and explanations given to us, no report under sub-section (12) of section 143 of the Act has been filed in Form ADT 4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 (as amended from time to time) with the Central Government, during the year and up to the date of this report.

- c. As per the documents provided to us and as represented to us by the management, there are no whistle blower complaints received by the Company during the year.
- xii.** In our opinion and according the information and explanations provided to us, the Company is not a Nidhi Company. Hence, reporting under paragraph 3(xii) of the Order is not applicable to the Company.
- xiii.** The Company being a Government Company is exempted from the provisions of section 177 and section 188 of the Companies Act, 2013 relating to transactions with related parties in terms of MCA Notification No. GSR 463 (E) dt. 5 June 2015. Hence, reporting under paragraph 3(xiii) of the Order is not applicable to the Company.
- xiv. Internal Audit System**
- a. The Company has an in-house Internal Audit department to carry out internal audit functions. In our opinion, the scope and coverage of internal audit is not commensurate with the size and nature of the Company's business as the internal audit department is not adequately manned with professionally qualified persons and the scope of the internal audit continues to be limited and not sufficiently risk-focused. It is also observed that the scope of the internal audit had not been defined / vetted by the Audit Committee of the Board (ACB). Further, the internal audit system does not review and comment on the financial accounts, IT systems, risk management practices or governance processes of the Company. The internal audit head reports to the Managing Director of the Company, which may affect the independence of the function. The deficiencies discussed above impact the effectiveness of financial oversight and internal controls, leading to potential inaccuracies or misstatements in financial records and financial reporting.
- b. We were not provided with internal audit reports of the Company for the year though an 'Annual Performance Report of Internal Audit' for the financial year was provided to us. For the reasons stated under paragraph 3(xiv)(a) of the Order, we have not considered the same in determining the nature, timing and extent of our audit procedures.
- xv.** According to the information and explanations given to us, the Company has not entered into any non-cash transactions with directors or persons connected with him and therefore reporting on compliance with section 192 of the Act under paragraph 3(xv) of the Order is not applicable to the Company.
- xvi. Registration under RBI Regulations**
- a. The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, reporting under paragraph 3(xvi)(a) of the Order is not applicable to the Company.
- b. The Company has not conducted non-banking financial or housing finance activities during the year. Accordingly, the reporting under paragraph 3(xvi)(b) of the Order is not applicable to the Company.

- c. The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Thus, reporting under paragraph 3(xvi)(c) of the Order is not applicable to the Company.
- d. As informed by management and according to the information and explanations provided to us, the Group does not have any CICs. Accordingly, the reporting under paragraph 3(xvi)(d) of the Order is not applicable.
- xvii.** After considering the effects of modifications in the **Basis for Adverse Opinion** section of our report, the Company has not incurred cash losses during the current financial year ended 31 March 2025 but has incurred cash losses of Rs. 5,210.76 crore during the immediately preceding financial year ended 31 March 2024. For calculating the cash losses, we have not considered unquantified modifications in the **Basis for Adverse Opinion** section of our report.
- xviii.** There has been no resignation of the statutory auditors during the year. Hence, reporting under clause 3(xviii) of the Order is not applicable to the Company.
- xix.** According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and considering the fact as stated in Note no. 39.11 of 'General Notes to Financial Statements', the Company, being fully owned by Govt. of Karnataka is the only power distribution licensee catering to all consumers covering 8 districts of Karnataka including Bengaluru Urban & Rural and supply of power being an essential service needs to be supplied on a continuous basis and it is the responsibility of the State Government to ensure that there is no disruption in power supply. The energy billing by the Company is based on the tariff approved by KERC on cost plus basis and the Company has been consistent in meeting its liabilities and has not defaulted in any loan obligations. The Company's management has also confirmed that the Company is capable of meeting all its day-to-day obligations including loan liabilities as and when they fall due. Considering the above, nothing has come to our attention, which causes us to believe that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give a guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due. Attention is also drawn to **Material Uncertainty relating to Going Concern** section of our report of even date regarding existence of material uncertainty and preparation of financial statements on going concern basis.
- xx.** According to the information and explanations given to us, the Company has not made net profit in the three preceding financial years and hence not required to spend any amount for Corporate Social Responsibility (CSR) activities as required under subsection (5) of Section 135 of the Act. Also, there are no ongoing projects undertaken by the Company for CSR activity. Accordingly, reporting under clause 3(xx) of the Order is not applicable to the Company.

- xxi.** Preparation of consolidated financial statements are not applicable to the Company and hence reporting under paragraph 3(xxi) of the Order is not applicable.

For Manian & Rao

Chartered Accountants

Firm Registration No: 001983S

Srikanth R.

Partner

Membership No: 203138

UDIN: 25203138BMOJID3060

Place: Bangalore

Date: 18 December 2025

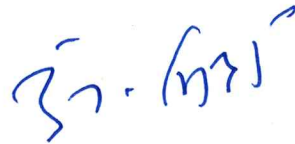
**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6) (b) OF THE COMPANIES ACT, 2013 ON THE
FINANCIAL STATEMENTS OF BANGALORE ELECTRICITY SUPPLY
COMPANY LIMITED, BENGALURU FOR THE YEAR ENDED 31 MARCH 2025**

The preparation of financial statements of **Bangalore Electricity Supply Company Limited, Bengaluru** for the year ended **31 March 2025** in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) of the Act are responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the Standards on Auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Revised Audit Report dated **18 December 2025** which supersedes their earlier Audit Report dated **15 October 2025**.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of **Bangalore Electricity Supply Company Limited, Bengaluru** for the year ended **31 March 2025** under section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

In view of the **revisions made in the Statutory Auditors' Report**, to give effect to some of my audit observations raised during supplementary audit, I have no further comments to offer upon or supplement to the statutory auditors' report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller and Auditor General of India**



**(ASHOK SINHA)
Pr. ACCOUNTANT GENERAL (AUDIT II)
KARNATAKA, BENGALURU**

**Bengaluru
Date: 24.12.2025**



Bangalore Electricity Supply Company Limited

(Wholly owned Government of Karnataka Undertaking)

Company Identification Number (C.I.N): U04010 KA2002 SGC 030438

Corporate Office, K.R. Circle, Bangalore – 560 001.

website: <https://bescom.karnataka.gov.in>

e-mail address: cgm_accts@bescom.co.in

No: BESCOM/BC-43/F- 4/2025-26/634

Date: 19-12-2025

The Senior Deputy Accountant General, AMC-II
O/o. The Principal Accountant General / Audit-II,
Audit Bhavan, Dr. B.R.Ambedkar Veedhi,
Vidhanasoudha,
Bangalore-560001.

Sir/Madam,

Sub:- Submission of Management replies to Provisional Comments 1 to 21 on
the financial statements of BESCOM for the year ended 31st March 2025 – Reg.

The Management replies to the Provisional Comments 1 to 21 on the financial
statements of BESCOM for the year ended 31st March 2025 are enclosed along with
the Statutory Auditor's reply and revised Independent Auditors' Report for kind
perusal and needful.

Thanking you,

Yours faithfully,

Chief General Manager (A & R)
BESCOM

ADDENDUM TO DIRECTORS REPORT for the year FY 2024-25

Replies offered on the observation/ comments of the Statutory Auditors on the Accounts of the Company for the year 24-25 are as follows:

Sl. No.	Adverse Opinion	Management Reply
i)	Attention is drawn to material accounting policy no. 1 of the Company, wherein certain assets released from active use for repairs and maintenance are valued at Written Down Value (WDV). The released assets are brought back to the main block of assets when re-deployed again for active use, and depreciated on the straight-line method as applicable to other normal assets as if there was a fresh installation and revised useful life is not assessed at that stage. Consequently, the released assets are depreciated over a longer period as compared to the main block of assets. Also, the Company does not estimate the cost of dismantling and removing the item and restoring the site for arriving at the cost of capitalisation as required. Some of the assets capitalised during the year include assets that have been completed and commissioned in prior years and prior year depreciation of such assets are charged during the current year. The same is not in accordance with Ind AS 16 'Property, Plant and Equipment'. Consequent impact is not readily quantifiable in the absence of proper details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter. Further, as per Ind AS 16 and material accounting policy no. 1, costs directly attributable to bringing an asset to the location and condition necessary for it to be capable of operating in the manner intended by management shall be recognised as part of the cost of such asset. However, the Company is not completely recognising such directly attributable cost in the capital work-in-progress (CWIP) balances and subsequently in the cost of property, plant and equipment. Consequently, this has resulted in understatement of CWIP / property, plant and equipment in the balance sheet and depreciation expense in profit or loss and overstatement of expenses otherwise directly recognised in profit or loss.	Estimating the notional cost for dismantling of PPE for inclusion of the said value against a Work to be sanctioned and executed is not possible because of the nature of the sector. Activity is voluminous and dynamic. Also, the absence of system legacy data for arriving at such cost component which is distinctively involved for dismantling of PPE is made readily available under different instances has hindered the recognition while estimating the plan of works. In BESCOM exclusive sections are created for Monitoring, Implementation and Execution of the Projects. The Employee cost, A&G expenses of such sections and Finance cost related to the project are considered as Costs directly attributable to bringing an asset to the location and such costs are recognised in the Capital work in progress (CWIP) and on completion of the Project the same is capitalised as Cost of Asset. If any such cost are not capitalised, the same will be verified and suitable action will be taken. The assets not falling under any specified category of

	Further, as observed in some of the divisions, appropriate identification of different classes of property, plant and equipment and allocation of total contract consideration (purchase price) to such classes of property, plant and equipment are not accurate. Consequently, part of contract consideration has been incorrectly allocated to the asset category 'miscellaneous equipment' (GL 10.685 and GL 10.599) instead of the appropriate asset class impacting the carrying amount of different classes of assets and depreciation recognised on such assets. Resulting impact is not quantifiable. Attention is drawn to material accounting policy no. 8 of the Company wherein inventories are valued at Scheduled Standard Rates and the difference between purchase cost and Scheduled Standard Rate is recognised in Statement of Profit & Loss through Material Cost Variance account. However, the Company is not ascertaining net realisable value for items of inventory for the purpose of valuation. The same is not in accordance with Ind AS 2 'Inventories' which requires the inventories to be valued at lower of cost and net realisable value. Consequent impact of the same on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	assets have been classified under the account codes- 10.685 and 10.599. This balance exists from a long period of time and the depreciation on the same has been charged periodically. However, the legacy data under this account code will be scrutinized to reclassify the asset wherever required in the next FY.
ii)	As per prudent practice, the Company values its inventory as per Standard rate (SR) arrived by taking present market rate and Standard rates are determined by an exclusive committee which revises the SR periodically on regular basis. The required accounting treatment for the difference in purchase value and Standard value is dealt in the Books (Material Cost Variance) as per stipulated procedure. Net realizable value of each item cannot be arrived due to largeness in the volume and diversity of items receipted and issued in the store house. The Company is having a robust system of accounting of difference between Purchase and Standard rate in the books of accounts. Hence, implementation of INDAS 2 may not be possible due to volume of work involved in day-to-day receipt and issue which is very high and also involves individual items of different nature like Insulators, Pot Heads, bolts, Nuts, structural, etc., anyhow Company is contemplating for implementation of ERP solutions and deployment is in pilot status. Once the ERP is deployed in full covering sub modules of Inventory/Project and Financial activity, implementation of AS 2 will be envisaged among one of the methods provisioned in AS2 i.e. Weighted average method along with recasting of Net realisable value of inventory arrived at each year end.	

iii)	Attention is drawn to material accounting policy no. 15.4 wherein provision for earned leave encashment including Half-Pay Leave (HPL) is made on the basis of estimates and not on the basis of actuarial valuation. The same is not in accordance with Ind AS 19 'Employee Benefits' and effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	As prudence practice, expenses outflow towards ELS is provisioned based on three years' average basis. However, HPL doesn't involve any kind of encashment to the employees, such being the case, provision for liability (expenditure) towards HPL does warrant for creation. Action is taken for availing support from professionals for arriving Actuarial provision for ELS in the books of the company and the same will be incorporated in FY 2025-26.
iv)	Attention is drawn to material accounting policy no. 15.5 wherein the Company has not carried out actuarial valuation and accounted for expense / liability under 'Family Benefit Fund'. The same is not in accordance with Ind AS 19 and effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	As per prudent practice, the Company disburses the FBF set by parent organisation KPTCL as and when the case arises.
v)	The Company contributes to KPTCL & ESCOMs Pension and Gratuity Trust ('KEPFGT') towards gratuity & pension liability of its employees who have joined service on or before 31 March 2006 and to KPTCL & ESCOMs Newly Defined Contributory Pension Scheme Family Pension & Gratuity Trust ('KENFPFGT') towards gratuity and family pension in respect of employees who have joined the service on or after 1 April 2006, which are defined benefit schemes. Actuarial valuations are got done by the trusts at the end of each financial year. KEPGT / KENFPFGT arrives at a percentage for contribution for the subsequent financial year based on actuarial valuation as at the end of March for the previous financial year, which is contributed to the trust by the Company. However, the contributions were based on actuarial valuation as on 31 March 2024 and liability based on actuarial valuation as on 31 March 2025 has not been ascertained and provided for in the financial statements for the year ended 31 March 2025 (contributions were based on actuarial valuation as on 31 March 2023 and liability based on actuarial valuation as on 31 March 2024 has not been ascertained and provided for in the financial statements for the year ended 31 March 2024). To that extent the expenses and liability towards employee benefits are understated. Also, the disclosures required	The rates of Contribution to KPTCL & ESCOMs Pension and Gratuity Trust were issued for FY 2023-24 on 03.10.2024 and hence the provision for FY 2023-24 was not made in the books of accounts. However, the same will be prospectively accounted based on P&G Trust notification for the concerned in all concerned periods.

	under Ind AS 19 'Employee Benefits' have not been made. The same is not in accordance with Ind AS 19 'Employee Benefits' and consequent impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	
vi)	The Company has not identified and accounted for lease contracts entered by it as a lessee within the meaning of Ind AS 116 'Leases' and has expensed off rent payable to the Statement of Profit and Loss as per contractual terms. Consequently, the Company has not adopted the principles of recognition, measurement and disclosure as per Ind AS 116 and the impact on the accounts is not quantifiable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	The value of Leases for certain cases are initially transferred and accounted from the date of corporatisation of the company (Distribution business bifurcated) and amortisation is done proportionately over the agreed tenure of agreement period as per prudence. The criteria required for adoption of IND AS 116 will be done once ERP is in place.
vii)	The Company has not provided any documentation as to the evaluation carried out to test for any impairment of assets in compliance with Ind AS 36 'Impairment of Assets'. Consequent impact on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	As the nature of the sector by itself, is so devised, the redundancy will not remain in the structure to warrant for assessment of impairment asset value at the end of each reporting period. The activity is so versatile and demands for replacement of failed equipment concurrently to maintain the continuity in the supply. As an interim measure, the values of such failed equipment get withdrawn/reclassified from asset base to Released inventory grouping.
viii)	Attention is drawn to material accounting policy no. 9 of the Company, wherein grants and subsidies received from the government towards capital expenditure, consumer contribution and deposit contribution works are recognised as deferred income under non-current liabilities and subsequently recognised in profit or loss at the proportion equivalent to percent of depreciation charged for plant & machinery / line & cables. However, the Company has been recognising such deferred income in profit or loss at 5.28% of the deferred income in respect of property, plant and equipment commissioned on or before 31 March 2024, but not at the proportion equivalent to depreciation recognised. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter. Further, the Company has been recognising such deferred income in profit or loss at 4.22% of deferred income in respect of property, plant and equipment commissioned	Depreciation expenses charged against BESCOM funded assets are carried on SLM as per CERC guidelines. Classification of the assets made out of grants majorly belongs to Plant and machinery, Lines and conductors and applicable slab for such classification is 5.28% as per CERC guidelines. This apart, 95% of companies Asset base are falling under 5.28% slab (for old assets) and 4.22% (for new project assets); as such the write back of depreciation for the assets made out of grant assets including government grant is also maintained at 5.28% (for old

	on or after 1 April 2024, but not at the proportion equivalent to depreciation recognised. Consequent impact on the financial statements is not ascertainable in the absence of proper workings. Our opinion on the financial statements for the year ended 31 March 2025 is also modified because of the possible effect of this matter.	assets) and 4.22% (for new project assets) only because majorly it is funded for power infrastructure development related equipment.
ix)	The Company has not carried-out any fair valuation as required by Ind AS 109 'Financial Instruments' in respect of all non-current financial assets and liabilities which are receivable / payable beyond a period of 12 months from the date of initial recognition for the purposes of determination of amortised costs and amortisation / recognition of income of the differential between amortised cost and contractual amounts payable / receivable or differential fair value between initial recognition and subsequent recognition. Consequent impact on accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Financial Assets/ liabilities is measured at fair value through comprehensive income/ carried at amortized cost/ through Profit and loss if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financials asset given rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. However, the receivables/ payables mostly comprise of Inter- ESCOMs/ KPTCL receivables or payables which needs reconciliation from the time of unbundling of the KPTCL and ESCOMs. Hence, the fair valuation of such receivables is un-determinable due to non-occurrence of any cash flows from this. Although, provision is made wholly on the Receivables/ Payables as per the Policy of the Company.
x)	The Company has recognised Expected Credit Loss (ECL) at some percentage in respect of its trade and other receivables vide its material accounting policy no. 18. However, the Company has not provided any documentation regarding assessment of credit risk or testing of impairment under life time expected credit loss model as required under Ind AS 109 'Financial Instruments'. Consequential impact on the accounts is not ascertainable. Also, one to one correlation could not be established between Revenue Registration Number (RR) wise trade receivables outstanding and security deposits collected. Hence, we are unable to comment on the classification of trade receivables as secured or unsecured. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	In the absence of system, RR wise extraction for segregation is not available, company classifies the quantum equivalent Securities collected as per code of distribution regulations against individual RR number gets classified under "Secured" and remaining balance under sundry receivable gets classified under "Unsecured". As also, in line with Accounting policy, company maintains 4% of Sundry debtors plus permanently disconnected debtor dues plus 75% of IP frozen balance gets recognized under Expected Credit Loss (ECL).

xi)	Attention is drawn to Note no. 14 wherein an amount of Rs. 1,316.90 crore as at 31 March 2025 (Rs. 1,077.89 crore as at 31 March 2024) are outstanding under 'Other Current Financial Assets' being amounts spent by the Company over and above Rs. 50,000 / Rs. 75,000 ceiling fixed by Govt. of Karnataka for providing infrastructure under Ganga Kalyana Drinking Water Supply Scheme and recoverable from various Corporations controlled by the Govt. of Karnataka. In the absence of confirmations / reconciliation of balances, we are unable to comment on their recoverability / expected credit loss provision, if any, that may be required on the outstanding dues. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	The amount treated on accrual basis against various Corporations for providing basic infrastructure to beneficiaries as welfare measures of Government schemes along with the quantum spent over and above the ceiling limit by BESCOM are treated as Receivable from respective corporations pending reconciliation from each corporation. The release is based on the Govt. budget and norms. The issue is perused in the joint meeting of Corporations and GOK. Correspondences for reconciliation as well for release from corporation is done regularly and also it will be contemplated for treating the expenses over and above the agreed norms with concerned corporation as BESCOM own resources (Capex)
xii)	Attention is drawn to material accounting policy no. 12 of the Company, wherein revenue from operations includes Fuel & Power Purchase Cost Adjustment (FPPCA) as per the applicable orders from KERC and unbilled revenue is accounted on accrual basis for the last month of the reporting period. However, in the financial statements for the year ended 31 March 2024, the Company has not recognised unbilled revenue that has accrued towards FPPCA charges for the month of March 2024, and also, the revenue from operations for April 2023 includes FPPCA charges for March 2023. Our opinion on those financial statements was modified because of the possible effect of this matter on revenue from operations. FPPCA charges that were accrued during March 2024 are recognised during April 2024 of current year. Our opinion on current year financial statements is also modified because of possible effect of this matter on revenue from operations and on the comparability of current year's figures and corresponding figures.	The quantum of March-24 FPPCA are crystallised and accounted in the May-24 of FY 2024-25 and in FY 2024-25 FPPCA quantum pertaining for the month of Feb-25 & March-25 are accounted under unbilled provision in FY 2024-25.
xiii)	Attention is drawn to material accounting policy no. 16 of the Company, wherein the borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes substantial period of time to get ready for its intended use or sale, are capitalised as part of the cost of such assets. A balance of Rs. 558.17 crore are disclosed under CWIP (including intangible assets under development) as at	Certain borrowings earmarked against specialised project; the loan gets transferred only upon completion of certification process by empanelled agency of GoI. The set procedure stipulated by central lending agency for such evolution gets only after commissioning and Loan gets released much later and, in the meantime,

	31 March 2025 (Rs. 702.47 crore as at 31 March 2024). However, the Company has not considered the balance under CWIP other than intangible asset under development and hardware component of 'Integrated Power Development – IT Phase II' for calculating the borrowing costs to be capitalised as part of cost of such asset. The same is not in accordance with Ind AS 23 'Borrowing Cost' and consequential impact is not readily ascertainable in the absence of required details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter. Further, borrowing cost has been allocated to GL code 14.193 (CWIP – Expenditure incurred under Integrated Power Development – IT Phase II) which consists of both hardware and software components. However, in the financial statements, the entire borrowing cost has been disclosed as part of 'Capital Work in Progress' (Note No.4) and borrowing cost pertaining to software is not disclosed under 'Intangible assets under Development' (Note No. 5). Consequently, the intangible assets under development of Rs. 69.03 crore as at 31 March 2025 (Rs. 52.26 crore as at 31 March 2024) does not include borrowing costs allocated to them. Accordingly, intangible assets under development are understated to the extent of Rs. 5.81 crore as at 31 March 2025 (Rs. 1.93 crore as at 31 March 2024) and Capital Work-in-Progress are overstated to that extent.	company pays the interest expense for such quantum out of its own resources which amounts to capital borrowings. In certain cases, a project gets completed status, only when all the sub packages integrated to envisaged project, as such the interest against borrowing cost stands segregated beyond a particular financial year and demands for capitalisation. Hence, the valuation of interest outflow for such timing difference is not ascertainable, thus as a prudence, the company capitalises the interest expenses against borrowing cost until the project is commissioned and put into use status is attained.
xiv)	The Company has obtained loan from Asian Development Bank (ADB) for implementing Bengaluru Smart Energy Efficient Power Distribution Project. As per clause 1 of the indenture agreement between GOK and the Company, the Company shall repay such loan to the GOK to enable the State Government to repay the same to ADB through GOI as the loan would be passed on to the state on back-to-back arrangements from GOI and from GOK to the Company. Further, as per clause 3 of the indenture agreement, the Company shall be liable to bear the exchange rate fluctuation and any other charges like commitment charges etc. if levied in future date by the GOI / ADB before the completion of the project and payable by the State Government to GOI / ADB. The Company has not recognised foreign exchange differences on translation of forex liability in the financial statements up to the financial years ended 31 March 2024. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter.	The transactions in foreign currencies are recorded at exchange rate prevailing on the date of transaction. Foreign currency denominated monetary assets and liabilities are translated into the functional currency at exchange rate in effect at the end of reporting period. Non-monetary assets and non-monetary liabilities denominated in foreign currency are measured at historical cost and translated at the exchange rate prevailing at the date of transaction. The gain and losses resulting from such transaction or settlement are recognized in the Statement of Profit/Loss. The cumulative foreign exchange differences of

	Further, as disclosed in Note no. 39.19, the cumulative foreign exchange differences of Rs. 57.67 crore up to the financial years ended 31 March 2025 have been recognised during the financial year ended 31 March 2025. Cumulative foreign exchange differences up to financial year ended 31 March 2024 have not been retrospectively recognised by restating the financial statements of prior years as required by Ind AS 8 'Accounting Policies, Changes in Accounting Estimates and Errors'. Our opinion on the current year's financial statements is modified because of possible effect of such departure from Ind AS 8. Further, the entire exchange difference has been classified as finance cost, instead of classifying only those exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to interest costs. Consequential effect of the same is not readily quantifiable in the absence of relevant workings.	Rs. 57.67 crore up to the financial years ended 31 March 2025 have been recognised during the financial year ended 31 March 2025 and the same is not restated to prior years as per the Accounting policy.
xv)	Attention is drawn to Note no. 39.33(M) of General Notes to Financial Statements, wherein it is stated that the Company has RECs worth 15,34,967 MWh as at 31 March 2025 (25,00,793 as at 31 March 2024) and the quantum of RECs approved by NLDC during May 2025 for FY 2021-22 and 2022-23 is 18,73,202 MWh and 9,13,215 MWh respectively and to material accounting policy no. 12 wherein RECs are not valued in books and accounted as income on realisation. Impact of the same on the accounts is not ascertainable in the absence of any valuation methodology framed by the Company. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	CAG vide its letter dt 18.1.2024 has directed ESCOMs to formulate Accounting Policy for unsold RECs obtaining guidance from ICAI through Chartered Accountant in line with applicable financial reporting framework to ensure fair and true presentation. Accordingly, opinion is sought from ICAI with the assistance of Chartered Accountant, based on the opinion/guidance suitable accounting entry will be passed.
xvi)	Attention is drawn to material accounting policy no. 24 of the Company, wherein the material prior period errors or omissions above the threshold limit of 1% of turnover of the Company for the year are corrected by retrospective restatement. However, prior period errors or omissions accounted during the financial year are above the threshold limit of 1% of turnover of the Company but the Company has not carried out retrospective restatement but carried out the adjustments in the current financial statements. The same is not in accordance with the accounting policy of the Company and Ind AS 8. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Certain adjustments are based on the crystallisation of orders/directions and ascertaining of prior period expenditure is having bearing on various GoK orders / ERC implications and the occurrence of such expenditure is necessary to be booked in the year of receipt of such order by the stakeholder. Hence Financials are not restated.

xvii)	Attention is drawn to Note no. 39.9(a) of the 'General Notes to Financial Statements' wherein the Company has accounted a part of power purchase cost pertaining to prior years as expenditure for the financial year 2023-24 amounting to Rs. 1,021.83 crore and had deferred the expenditure amounting to Rs. 2,043.65 crore to future years vide GOK order dated 03-09-2024 and grouped under 'Other Current Assets'. Also, the interest on delayed payments amounting to Rs. 1,869.76 crore pertaining to years before 2023-24 in respect of Karnataka Power Corporation Limited (KPCL) had been deferred to future years for accounting from financial year 2024-25 in three equal instalments as stated in the GOK order and not recognised in the financial statements for the year ended 31 March 2024. Under provisions of Companies Act, 2013, only the Central Government has authority to issue guidelines or notifications or exempt any Class(es) of Company from complying with any requirements or rules of the Companies Act, 2013. As the expenditure deferred pertain to prior years and there is no future economic benefit by deferring such expenditures, the accounting treatment followed is not in accordance with the Indian Accounting Standards or Generally Accepted Accounting Principles in India. Consequently, accumulated deficit under other equity and trade payables as at 1 April 2023 are understated by Rs. 4,935.24 crore, expenses and losses for the year ended 31 March 2024 are overstated by Rs. 1,021.83 crore, consequently accumulated deficit as at 31 March 2024 are understated by Rs. 3,913.41 crore, 'Other Current Assets' as at 31 March 2024 are overstated by Rs. 2,043.65 crore and 'Trade Payables' are understated by Rs. 1,869.76 crore. Our opinion on the financial statements for the year ended 31 March 2024 was modified in respect of this matter. Further, the Company has recognised Rs. 1,645.09 crore (Rs. 1,021.83 crore towards power charges and Rs. 623.26 crore towards interest) as expenses for the current financial year instead of retrospectively restating the prior years' financial statements as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 1,645.09 crore, 'Other Current Assets' are overstated by Rs. 2,268.32 crore (Rs. 1,021.82 crore towards power charges and Rs. 1,246.50 crore towards interest) and accumulated deficit is understated by Rs. 2,268.32 crore as at 31 March 2025. Our opinion on the current year's financial statements is also modified because of the effect of this matter due to departure from the requirements of Ind AS 8.	M/s Ramraj & Co, Chartered Accountant submitted the final reconciliation report during March 2024 regarding the billing issues and arrears to be accounted by ESCOMs in respect of KPCL upto 2019-20. Based on the report, GOK vide order dated 03.09.2024 has approved the accounting of principal and interest in deferment manner for a period of three years. As the arrears [principal and interest] to be accounted by BESCOM was finalized only during 2023-24, the same is accounted in staged manner from 2023-24 as approved by GOK. Further based on the verification of bills by M/s Ramraj & Co upto 2019-20, the bills for further period i.e., from 2020-21 to 2023-24 is reconciled and the amount to be accounted is worked out to Rs 752.75 Crore and interest is Rs 1494 Crore. GOK vide order dated 28.08.2025 has approved for staged accounting of the above amount upto three years. As the difference amount to be accounted is quantified and approved for staged accounting during 2024-25, the same is accounted in deferment manner from 2024-25.
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xviii)	Attention is drawn to Note 39.9(b) of the General Notes to Financial Statements wherein the Company has accounted only a part of power purchase cost pertaining to financial years 2020-21 to 2023-24 as expenses for the financial year ended 31 March 2025 amounting to Rs. 250.68 crore and has deferred the recognition of Rs. 501.38 crore to future years vide GOK order dated 28-08-2025. Also, interest on delayed payments amounting to Rs. 1,494.44 crore pertaining to previous years in respect of KPCL have been deferred to future years as stated in the GOK order and have not been recognised in the financial statements. Under provisions of Companies Act, 2013, only Central Government has authority to issue guidelines or notifications or exempt any Class(es) of Company from complying with any requirements or rules of the Companies Act, 2013. As the expenditure deferred pertain to prior years and there is no future economic benefit by deferring such expenditures, the accounting treatment followed is not in accordance with the Indian Accounting Standards or Generally Accepted Accounting Principles in India. The Company has accounted Rs. 250.68 crore as expenditure for the current financial year instead of retrospectively restating the prior years' financial statements as required by Ind AS 8. Consequently, trade payables and accumulated deficit under 'Other Equity' as at and power purchase cost for the year ended 31 March 2024 is understated by Rs. 2,246.50 crore. Current year expenses and losses are overstated by Rs. 250.68 crore, 'Other Current Assets' are overstated by Rs. 501.38 crore as at 31 March 2025 'Trade Payables' are understated by Rs. 1,494.44 crore and accumulated deficit under 'Other Equity' is understated by Rs. 1,995.82 crore. As the Company has not provided year-wise breakup of amounts for the financial years 2020-21 to 2023-24, we are unable to ascertain the effect on financial statements as at 1 April 2023.	M/s Ramraj & Co, Chartered Accountant submitted the final reconciliation report during March 2024 regarding the billing issues and arrears to be accounted by ESCOMs in respect of KPCL upto 2019-20. Based on the report, GOK vide order dated 03-09-2024 has approved the accounting of principal and interest in deferment manner for a period of three years. As the arrears [principal and interest] to be accounted by BESCOM was finalized only during 2023-24, the same is accounted in staged manner from 2023-24 as approved by GOK. Further based on the verification of bills by M/s Ramraj & Co upto 2019-20, the bills for further period ie., from 2020-21 to 2023-24 is reconciled and the amount to be accounted is worked out to Rs 752.75 Crore and interest is Rs 1494 Crore. GOK vide order dated 28.08.2025 has approved for staged accounting of the above amount upto three years. As the difference amount to be accounted is quantified and approved for staged accounting during 2024-25, the same is accounted in deferment manner from 2024-25.
xix)	Attention is drawn to Note no. 39.9(c) of the General Notes to Financial Statements wherein the Company has accounted for difference between the actual station heat-rate and station heat-rate as per norms for the financial year 2024-25 amounting to Rs. 451.72 crore (KPCL - Rs. 357.47 crore and RPCL - Rs. 94.25 crore) as an expense for the year though final order in true-up petition filed by KPCL / RPCL before KERC is pending. As the true-up petition with KERC is still pending and since the Company should account for station heat rate claim as per power purchase	True up Petition filed by KPCL/RPCL is pending before KERC. But as per the directions of GOK vide proceedings of the meeting held on 07.07.2025 it was directed to make provision of the claims of KPCL towards SHR in the books of ESCOMs until a final order on the truing up Petition is issued by KERC. Hence same is provisioned subject to the outcome of the Petition pending before KERC.

	agreements and has not produced any additional evidence that present obligation exists as at 31 March 2025 for the same, the amount should have been disclosed as contingent liability in accordance with Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets' and should not have been provided for. To the extent of Rs. 451.72 crore, expenses and losses for the year ended and trade payables and accumulated deficit as at 31 March 2025 are overstated. Further, the Company has not disclosed the fact that true-up petition filed with KERC by KPCL / RPCL for the prior years is also pending for a claim of Rs. 757.75 crore (KPCL – Rs. 483.14 crore and RPCL – Rs. 274.61 crore). Further, Rs. 757.75 crore were disclosed as contingent liability in the financial statements for the year ended 31 March 2024. During the current financial year, Rs. 483.14 crore have been recognised as trade payables as at 31 March 2025 (Rs. 161.05 crore have been recognised as expenses and Rs. 322.09 crore have been deferred to future years). Furthermore, during the current financial year, Rs. 274.61 crore have been recognised as expense and trade payables during the year ended 31 March 2025. As the true-up petition with KERC is still pending and since the Company should account for station heat rate claim as per power purchase agreements and has not produced any additional evidence that present obligation exists as at 31 March 2025 for the same, the amount should have been disclosed as contingent liability in accordance with Ind AS 37 and should not have been provided for. The financial effect of this matter in respect of claim of KPCL is already included in paragraph 0 and the financial effect in respect of claim of RPCL is overstatement of expenses for the year ended and trade payables and accumulated deficit as at 31 March 2025 and non-disclosure of a contingent liability by Rs. 274.61 crore for the current financial year.	
xx)	Attention is drawn to Note no. 39.10 of the 'General Notes to Financial Statements' wherein the Government vide GO No. Energy/123/PSR/2022 Bangalore, dated 14-03-2022, had assured extension of financial support subject to condition of writing-off of RE subsidy dues of Rs. 1,938.04 crore pertaining to 2002-03 to 2015-16 after obtaining approval from the Board. Accordingly, the Board of Directors passed a resolution during March 2024 to write-off the dues in a phased manner from the financial year 2023-24. Consequently, the Company has considered for write-off only 50% of the dues amounting to Rs. 969.02 crore and not the entire amount of Rs.	Based on the Board order for write off of the said quantum deferring for next three quantum of subsidy to be written off is Rs. 581.41 crores out of the total of Rs. 1938.04 crores in FY 2024-25 which is considered in the books of Accounts, balance will be done in FY25-26

	1,938.04 crore. Also, the write-off has been considered as an expense for the financial year ended 31 March 2024 instead of adjusting in the opening accumulated deficit as required under Ind AS 8 as the GOK order was issued during March 2022 and there was reasonable certainty that the write-off will be carried out. Consequently, 'Trade Receivables' are overstated and accumulated deficit under 'Other Equity' are understated as at 1 April 2023 by Rs. 1,938.04 crore and expenses for the financial year ended 31 March 2024 are overstated by Rs. 969.02 crore, accumulated deficit as at 31 March 2024 is understated by Rs. 969.02 crore, trade receivables as at 31 March 2024 are overstated by Rs. 969.02 crore. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. Further, Rs. 581.41 crore have been written-off during the financial year ended 31 March 2025 instead of retrospectively restating the financial statements of prior years as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 581.41 crore, trade receivables as at 31 March 2025 are overstated by Rs. 387.61 crore and accumulated deficit as at that date is understated by Rs. 387.61 crore.	
xxi)	In the financial statements for the financial year ended 31 March 2024, the Company had not recognised interest on power purchase dues to KPCL and RPCL subject to reconciliation. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the possible effect of this matter. Further, during the financial year ended 31 March 2025, the Company has recognised Rs. 100.87 crore cumulatively without retrospectively restating the financial statements of prior years in respect of amounts allocable to financial years ended until 31 March 2024, which constitutes a departure from Ind AS 8. To the extent of Rs. 100.87 crore, current year power purchase cost and losses are overstated. Our opinion on the current year financial statements is also modified because of the effect of this matter.	The quantum accounted during FY 2024-25 amounting to Rs. 100.87 crores is within the threshold of 1% of turnover of the Company which is line with the Accounting Policy no. 24 laid down by the Company and hence no restatement of previous Financial Statements is made.
xxii)	As per the KERC O&M order dated 28-12-2023 (OP no's 56, 57, 58, 59 & 60/2020), the Company is liable to pay for the wage revision claim of KPCL amounting to Rs. 1,039.84 crore in 12 equal instalments starting from January 2024 and only Rs. 259.95 crore have been recognised as expense during the financial year ended 31	The bills for the balance amount of Rs 779.89 Crore towards revision of O & M Expenses as per KERC order are received from KPCL only during 2024-25. Hence the O & M revision cost at KPCL is accounted in the books of BESCOM as and when the bills are

	March 2024. To the extent of Rs. 779.89 crore, expenses for the year ended 31 March 2024 and current liabilities and accumulated deficit as at that date are understated. Our opinion on the financial statements for the year ended 31 March 2024 was modified because of the effect of this matter. Further, Rs. 779.89 crore have been recognised as expense during the current year instead of retrospectively restating the financial statements for the year ended 31 March 2024 as required by Ind AS 8. To that extent, current year expenses and losses are overstated.	received from KPCL.															
xxiii)	As per the GOK order dated 30-03-2024 the Company has not written-off the receivable (outstanding interest amount) from Gram Panchayat amounting to Rs. 790.03 crore in the financial statements for the year ended 31 March 2024. To that extent, expenses for that year and accumulated deficit as at 31 March 2024 are understated and trade receivables are overstated. Our opinion on those financial statements was modified in respect of this matter. Further, the Company has written-off the amount in the financial statements for the year ended 31 March 2025 instead of retrospectively restating the financial statements as required by Ind AS 8. Consequently, current year expenses and losses are overstated by Rs. 790.03 crore.	The write off of the Interest portion on the arrears to the extent of Rs. 790.03 crores from Gram Panchayats as per GoK order dated: 30.03.2024 needs to be implemented at the RR No. level. As the order was issued at the end of the Financial Year, the implementation at RR No. Level needs accurate analysis and time for the same. Hence, the amount is written off in FY 2024-25.															
xxiv)	Power Company of Karnataka Limited (PCKL) had entered into power swapping / power banking arrangement with Uttiar Pradesh (UPPCL) and Punjab (PSPCL) on behalf of the Company. The power drawn by the Company is again returned to that entities @ 105% after certain period. The details of the banking arrangements for the previous years are as below: <table><tr><th>Particulars</th><th>Financial Year</th><th>Energy in KWH</th><th>State average rate per unit (in Rs.)</th><th>Amount (Rs. in crore)</th></tr><tr><td>Jan 2023 – Mar 2023 (Drawn)</td><td>2022-23</td><td>37,89,51,974</td><td>5.47594</td><td>207.51</td></tr><tr><td>Addl. 5% returnable on</td><td></td><td>1,89,47,599</td><td>5.47594</td><td>10.38</td></tr></table>	Particulars	Financial Year	Energy in KWH	State average rate per unit (in Rs.)	Amount (Rs. in crore)	Jan 2023 – Mar 2023 (Drawn)	2022-23	37,89,51,974	5.47594	207.51	Addl. 5% returnable on		1,89,47,599	5.47594	10.38	As no cost was involved in barter arrangement, accounting policy is not formulated. Formulation of Accounting Policy for power swapping is in process in consultation with PCKL and other ESCOMs due approval of BESCOM Management. Upon concurrence, the same will be incorporated consequentially.
Particulars	Financial Year	Energy in KWH	State average rate per unit (in Rs.)	Amount (Rs. in crore)													
Jan 2023 – Mar 2023 (Drawn)	2022-23	37,89,51,974	5.47594	207.51													
Addl. 5% returnable on		1,89,47,599	5.47594	10.38													

	energy drawn as above								
	Total			39,78,99,573				217.89	
	April 2023 (Drawn)	2023-24		35,31,84,987		5.523		195.06	
	Addl. 5% returnable on energy drawn as above			1,76,59,249		5.523		9.75	
	Total			37,08,44,236				204.81	
	June 2023 – Sep 2023 (Energy drawn during Jan 2023 – March 2023 returned @105%)			39,78,99,573		5.47594		217.89	
	June 2023 – Sep 2023 (Energy drawn during April 2023 returned @105%)			37,08,44,236		5.523		204.81	
	Oct 2023 – Mar 2024 (Drawn)	2023-24		73,68,76,336		5.523		406.98	
	Addl. 5% returnable on energy drawn as above			3,68,43,817		5.523		20.35	
	Total			77,37,20,153				427.33	
The details of the banking arrangement for the FY 2024-25 are as below:									
	Particulars	Energy in KWH	State average rate per unit	Amount (Rs. in					

	by Rs. 381.52 crore, understatement of current liabilities and accumulated deficit as at 31 March 2025 by Rs. 45.81 crore. The amounts arrived at state average rate are indicative impact as assessed by us in the absence of an accounting policy framed by the Company.	
xxv)	Attention is drawn to Note no.'s 39.4.4 & 39.4.5 of 'General Notes to Financial Statements' wherein the Company is still in the process of ascertaining the details of location, situation extent of transfer of titles etc., of certain movable and immovable assets including leased assets transferred from Govt. of Karnataka / Karnataka Power Transmission Corporation Limited (KPTCL) and pending registration of title deeds relating to land & building (including lease hold) assigned to the Company through transfer order and capitalised in the books of the Company and also no provision having been made for the related costs that the Company may incur. Consequential impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	As the Company is carved out of KPTCL, several assets are taken to the books based bifurcation orders of GOK /KPTCL and continued in the books but physically held and maintained from the company. As per the directions of the GOK, ownership belongs to BESCOM but transfer process with concerned government authority is pending for want of directions from KPTCL/ED. The details of Land and land lease details existing in the books of Accounting units is sought from the Civil Section and updated. The details have been updated folio wise in the Accounting units as per reconciliation taken up in FY 2024-25. For the remaining accounting units the details which are untraceable due to bifurcation of Accounting units needs to be reconciled and some of the details are to be sought from the local Municipal offices. Hence the process of reconciliation is under progress and the same will be updated in the next FY.
xxvi)	Attention is drawn to Note no. 39.33(G) of the 'General Notes to Financial Statements' wherein interest has not been charged (not ascertained) on inter ESCOM's receivables for an outstanding balance of Rs. 1,441.72 crore as at 31 March 2025 (Rs. 2,754.36 crore as at 31 March 2024). Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	BESCOM one among other ESCOMs being a wholly owned PSU and the GoK having a major stake in the companies thus formed as a result of unbundling, no interest on the receivables is recognized in the books of Accounts. However, reconciliation of receivables from ESCOMs/ KPTCL is in progress and action with regard to the same will be undertaken in the next FY.
xxvii)	Attention is drawn to Note no. 39.8.7 of the 'General Notes to Financial Statements' wherein interest including penal interest of Rs. 117.83 crore as at 31 March 2025 (Rs. 99.03 crore as at 31 March 2024) have not been provided for Part – B borrowing under 'Restructured Accelerated Power Development and Reforms Program'	As per RAPDRP Guidelines for Conversion of RAPDRP PART-B Loan into grant, this office has submitted required details/certificates to M/s CPRI on 23.03.2022.

	(RAPDRP) pending request for conversion of the same in to grant including waiver of accrued grant. However, we are unable to comment whether the same will be converted into grant in the absence of requisite approvals. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Further, this office has requested M/s PFC for Conversion of RAPDRP PART-B Loan into grant vide letters dated: 28.04.2022, 09.01.2023, 16.03.2023, 18.10.2023 & 11.07.2024. As per the direction of M/s PFC, this office has re-submitted required documents/details vide letter No.1745 & 3261 Dated:09.10.2024 & 20.02.2025 to M/s CPRI, subsequently M/s CPRI has submitted the details to M/s PFC for Conversion of RAPDRP PART-B Loan into grant which is still under process with M/s PFC / MOP. However, BESCOM has disclosed vide General notes.no.39.8.7 that Interest liability including penal interest on borrowing pertaining to RAPDRP –part B to the extent of Rs. 117.83 crores is not provided for the reasons that is convertible loan to Grant needs to be finalised by MoP. On receipt of confirmation for conversion of loan to grant from MoP, suitable action will be taken.
xxviii)	Attention is drawn to Note no. 39.8.11 of the 'General Notes to Financial Statements' wherein the refund / adjustments are not revised to net basis against excess electricity tax collected from consumers who have availed 'Time of Day' metering pending reconciliation.	As per the instruction of the Chief Electrical Inspectorate of the Government, the refund of excess tax collected needs to be revised to net basis. The details pertaining to refund/ adjustment against excess electricity tax collected duly audited by Internal Audit from Zones is under progress.
xxix)	Attention is drawn to Note no. 39.12 of the 'General Notes to Financial Statements' wherein inter unit accounts are subject to reconciliation / adjustments to the extent of Rs. 41.03 crore [credit] as at 31 March 2025 (Rs. 40.62 crore [credit] as at 31 March 2024). Consequent impact of the same on the accounts is not ascertainable. Our	The inter unit account balances existing in the books due to migration will be taken up for reconciliation for timely classification of balance against its nature. Upon reconciliation process is completed, the action for un

	opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	reconciled balance will be dealt with proposal to Board for write back or write off as the case may be.
xxx)	Attention is drawn to Note no. 39.16 of the 'General Notes to Financial Statements' wherein income tax TDS has not been reconciled with Form 26AS / AIS of the Income Tax Department and consequential effect on the income or other transactions is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Reconciliation process will be taken and required accounting treatment will be dealt.
xxxi)	Attention is drawn to Note no. 8 and note no. 39.16 wherein deferred tax liabilities amounting to Rs. 167.71 crore have been reversed as at 31 March 2024 and their carrying amount as at that date after the reversal is Rs. 263.22 crore. However, certain discrepancies were observed in the calculation of deferred taxes. It is observed that the released assets intended for re-use are considered as deletions for income tax depreciation purpose even though such assets have not been sold as for income tax purposes, only realised values on sale of assets can be reduced from the block of fixed assets. This has resulted in considering incorrect written down value of assets under Income Tax Act for deferred tax calculations. Further, the carry forward unused tax losses had not been considered correctly for the purpose of calculating deferred tax asset. In the absence of proper workings, we are unable to comment on the correctness of deferred tax accounted for that year and recognised as at 31 March 2024. Our opinion on the financial statements for the financial year ended 31 March 2024 was modified accordingly. Our opinion on the current year financial statements is modified because of the possible effect of this matter on the comparability of the current year's figures and the corresponding figures.	In FY 2024-25 as per the Tax auditor's working Rs.263.22 crores deferred tax liability is reversed in FY 2024-25 and deferred tax liability shows nil balance.
xxxii)	The carrying amount towards provision for income tax of Rs. 152.09 crore under current tax liabilities (note no. 27) are unadjusted and without proper details for a long period. In the absence of sufficient details, we are unable to determine the impact of the same on the financial statements.	The income tax provision of Rs.152.09 crores will be reviewed with the year wise income tax assessment order and required income tax provision will be retained and suitable action will be dealt in FY 2025-26 for the remaining provision.
xxxiii)	Attention is drawn to Note no. 39.17 of the 'General Notes to Financial Statements' wherein various account balances including balances of trade creditors, receivables	BESCOM one among other ESCOMs being a wholly owned PSU and the GoK having a major stake in the

	including Govt. dues, balances / dues of ESCOMs, KPTCL, KPCL, RPCL, PCKL, Deposits to / from suppliers, Contractors, Govt. Authorities, Other payables, employee dues etc., are subject to confirmation / reconciliation of the respective parties. The ageing provided in respect of trade receivables and trade payables does not flow from the books of account of the Company and has been prepared based on some estimates. Also, some of the amounts are lying outstanding for a very long period without proper details. In the absence of requisite details / documents we are unable to assess and comment on the consequential adjustments / provisions, if any, required on the balances as disclosed in the financial statements. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	companies thus formed as a result of unbundling, needs are subject to confirmation / reconciliation of the respective parties for receivables and payables to account in the books of Accounts. However, reconciliation of receivables and payables from ESCOMs/ KPTCL/KPCL/RPCL, PCKL is in progress and action with regard to the same will be undertaken in the next FY.
xxxiv)	The Company did not have proper system to track the progress of various capital works under execution in respect of expected date of completion, estimated cost to be incurred for completion and other relevant details. The Capital Work-in-Progress (CWIP) include amounts outstanding for a long period without proper details with regard to status of work being executed. The details of ageing provided in the financials does not flow from the books of account maintained by the Company but based on some estimates. Also, the Company has not provided CWIP and Intangible Assets under Development Completion Schedule in respect of CWIP / Intangible Assets under Development whose completion is overdue or has exceeded its cost when compared to the original plan. CWIP balance also include ready for intended use assets such as vehicles, furniture & fixtures, office equipment that have not been capitalised and depreciated. The same is not in accordance with Ind AS 16 'Property, Plant and Equipment'. The CWIP balances also include tools and tackles that are not recognised and measured as inventories in accordance with Ind AS 2 'Inventories'. The Company did not have a system to ascertain and capitalise assets in a timely manner. Consequent impact of the same on accounts including impairment / depreciation is not ascertainable in the absence of relevant details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter. Further, as per Ind AS 16, for each class of property, plant and	Presently, the Work order wise details of CWIP is maintained at Accounting units manually under "C" Register and the same is reviewed periodically by officers of the concerned office/ higher offices with regards to the progress of the works carried out. Accordingly, status of the works is periodically discussed to ensure timely completion. Further, on completion of the works, the Assets are categorized on receipt of Completion certificates from concerned field officers. With regard to the balance CWIP, continuous correspondences along with suitable action initiated against field staff to ensure the completion of work is done by Accounting units The age wise balances of CWIP are arrived manually from work order wise details available in the accounting units. The balance of CWIP will be pursued by Accounting units in the next FY. On full deployment of ERP/Inventory/Project modules, required impacts will be known for each reporting period

	equipment, the Company shall disclose a reconciliation of the carrying amount at the beginning and end of the year. As CWIP meet the definition of property, plant and equipment per Ind AS 16, the above requirement of Ind AS 16 shall apply to the CWIP. However, the company has not presented such reconciliation in the notes to financial statements for the current year and previous year. Capital works amounting to Rs. 11.54 crore relating to construction of some assets like Compound wall, transformer platform, service connections, HVDS, 11 Kv lines, OH lines, transformers, Supply & Installation of Communication Antenna & Support accessories for new SCADA sites etc., which were ready for their intended use as on 31 March 2025 at some of the divisions have not been categorised. To the extent of Rs. 11.54 crore there is understatement of Property, Plant & Equipment and overstatement of CWIP. Consequent impact of the same on depreciation is not readily quantifiable in the absence of relevant details. Also, the Company has wrongly categorised building under construction amounting to Rs. 0.82 crore at one of the divisions even though the asset is not ready for its intended use. To that extent, Capital Work-in-Progress is understated and Property, Plant & Equipment are overstated. Consequent effect on net block of property, plant and equipment, depreciation and accumulated deficit is not readily ascertainable. Further, Property, Plant and Equipment does not include Self-execution / Consumer Contribution works amounting to Rs. 1.03 crore completed during the financial year ended 31 March 2025. To that extent, Property, Plant and Equipment and Deferred Income are understated. Consequent effect on net block of property, plant and equipment, depreciation, net deferred income, amortisation of deferred income, and accumulated deficit is not readily quantifiable. Furthermore, certain assets amounting to Rs. 4.68 crore pertaining to RAPDRP Part A – Data Centre were declared as obsolete and were ordered to be scrapped by an expert committee on 15 June 2023. However, such assets were not derecognised from Property, Plant and Equipment and classified as scrapped assets as at 31 March 2024 and 31 March 2025 and the Company has not ceased recognising depreciation on such assets for the financial years ended 31 March 2024 and 2025. Consequently, gross block of Property, Plant and Equipment are overstated by Rs. 4.68 crore, and	On obtaining the completion report for the works specified, suitable action will be taken for categorisation of the same in FY 2025-26 Dismantling / Scrapping of the asset specified will be taken in FY 2025-26
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	also value of scrapped assets under current assets are understated, depreciation expense is overstated. The financial effect on net block of property, plant and equipment, depreciation and accumulated deficit is not readily quantifiable in the absence of details. Also, the Company has wrongly categorised software amounting to Rs. 8.32 crore even though the software is not fully developed and available for intended use. To that extent, 'Intangible Assets Under Development' is understated, and 'Other Intangible Assets' is overstated. Consequent effect on net block of 'Other Intangible Assets', amortisation expenses, and accumulated deficit is not readily quantifiable.	Categorisation and amortisation was done on the milestone work completion. Hence the same will be reviewed in accordance with the observation and suitable action will be taken in FY 2025-26
xxxv)	Attention is drawn to Basis of Preparation for Financial Statements wherein Government grants and subsidies in respect of capital assets are recognised on actual receipt of funds by the Company. The same is not in accordance with Ind AS 20 'Accounting for Government Grants and Disclosure of Government Assistance' which requires government grants to be recognised when there is a reasonable assurance that the entity will comply with the conditions attaching to them and the grant will be received. The consequent effect of the same on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	As the grants are dependent on GOK orders and released from Government, the certainty of the quantum receivable is not ascertainable by the ESCOM. Also, as the GOK is having full stake in the Company, the receipt of grants is taken up by the Government on periodical basis based on budgetary provision and allocation /Release. However, the assets created through Capital grants are categorized on receipt of Completion certificates/ Technical Certificates by field officers
xxxvi)	'Advance to Suppliers' under Note no. 9 'Other Non-current Assets' include 'Advance to Suppliers - Interest bearing' as at 31 March 2025 amounting to Rs. 1.18 crore (Rs. 1.18 crore as at 31 March 2024) that pertain to a work which, as informed to us, has been halted. However, the Company is neither collecting the interest nor is recognising the accrued interest in the books. Further, 'Other Non-current Assets' also include 'Advance to Suppliers - Interest Free' amounting to Rs. 0.70 crore which is outstanding for a long period from previous years. In the absence of required details, we are unable to comment on the recoverability of such amounts and consequential impact on the accounts is not ascertainable. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	The amount claimed by the vendor is disputed and finality of the payment is yet to be reached. Hence, the needful action will be initiated on reaching finality in the matter.

	Further, Other Non-current Financial Assets include deposits of Rs. 27.96 crore paid by the Company to Ultra Mega Power Projects as its share for establishing ultra-mega power plants. The projects have not been started and the amounts are outstanding for a long period and may not be recoverable. However, the Company has not recognised expected credit loss on the same resulting in overstatement of other non-current financial assets, understatement of expenses for the year and accumulated deficit as at 31 March 2025 by Rs. 27.96 crores.	Correspondence with PFC regarding refund of advance along with interest by UMPP projects is being done by PCKL on behalf of ESCOMs. It is learnt from PCKL that the reconciliation and refund of advance and interest by UMPP Projects is under process and will be completed at the earliest. As such, the difference if any in advance amount paid to UMPP and interest will be accounted after reconciliation and confirmation by PCKL in FY 2025-26. As no certainty exists for accounting the interest pending reconciliation and adjustment, interest has not been accounted during FY 2024-25 considering prudence.
xxxvii)	Certain unidentified credits amounting to Rs. 200.15 crore as at 31 March 2025 (Rs. 175.78 crore as at 31 March 2024) pertaining to E&S section of the Company have been grouped under 'Deposit Contribution Work' under 'Non-current liabilities' and Rs. 28.63 crore of unidentified credits are adjusted from 'Trade Receivables - Unsecured and considered good' in the financial statements. Further, 'Other Receivables' include unidentified debits by banks pending reconciliation amounting to Rs. 0.88 crore as at 31 March 2025 (Rs. 0.88 crore as at 31 March 2024) and 'Other Current Liabilities' include unidentified credits of Rs. 0.54 crore as at 31 March 2025 (Rs. 0.52 crore as at 31 March 2024) pending reconciliation / rectification. Consequential impact on the accounts is not ascertainable in the absence of relevant details. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	The details pertaining to reclassification of the amount received through NEFT/ RTGS platform is accounted which amounts to Rs. 200.15 crores., the posting of such collection requires the details of remitter and purpose of the settlement. The process of recognition is taken up routinely based on UTR/Party. This will be speeded up for rigorous progress and a reconciliation of such amounts is taken up with the bank from concerned nodal sections of Corporate office for identification of the amounts and thereby posting to the relevant head of account on procuring the details will subsequently happen cyclically and gets covered in FY 2025-26 also.
xxxviii)	Other income for the year ended 31 March 2024 (Note no. 30) includes interest subsidy received under NEF Scheme of Rs. 39.69 crore, which was accrued during the financial year ended 31 March 2023 vide REC approval letter dated 07-03-2023. The Company recognised the entire amount during the financial year ended 31 March 2024 instead of retrospectively restating the financial statements as required by Ind AS 8. Our opinion on the financial statements for the year ended 31 March 2024 was	The quantum accounted during FY 2024-25 amounting to Rs. 39.69 crores is within the threshold of 1% of turnover of the Company which is line with the Accounting Policy no. 24 laid down by the Company and hence no restatement of previous Financial Statements is made.

xxxix)	modified because of the effect of this matter. Our opinion on the current year financial statements is also modified because of the effect of this matter on the comparability of current year's figures and corresponding figures. We were provided with Bank Reconciliation Statements (BRS) prepared by some of the accounting units visited by us in respect of which the concerned bank account has not been reflected in the books of account. Such BRSs disclose as reconciliation items, 'Cheques remitted to the bank in prior period but not yet credited'. However, as per the BRS, the balance as per bank statements is shown as 'Nil'. We were not provided with proper details / bank statements/ account closure certificates from banks. In the absence of requisite details, we are unable to ascertain the impact of the same on the accounts. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	The BRS prepared in the accounting units and counter verified and certified by the Internal Auditors. The BRS and other related statements are available in respective Accounting units for verification which will be made available to the Statutory Audit henceforth.
xl)	As informed to us, the accounting units of the Company operate bank accounts in the name of the respective Exec. Engineers for release of pension and remittance of statutory deductions like Income tax TDS of the pensioners / family pensioners. However, it is observed that the accounting units have not disclosed such bank accounts in the books and neither account the pension amounts released from the KEPGT / KENFPGT to the units nor payment of pension amounts to the retired employees / family pensioners. Also, the Income tax TDS deducted are remitted by the accounting units but not accounted in the books. However, the TDS remittances are disclosed in the quarterly e-TDS returns filed. To that extent, the funds inflow and outflow are not getting reflected in the books of account of the Company and the e-TDS data captured in the quarterly returns will not match with the books of account of the Company. The initial deposits made with the Banks at the time of account opening are reflected under 'Deposits with Others' under 'Other Non-Current Assets' instead of 'Cash & Cash Equivalents'. To the extent of bank balances available as at the end of the year, 'Cash & Cash Equivalents' are understated. Also, to the extent of unpaid pensions / TDS, the current liabilities are understated. In the absence of complete details, the effect of the same on the accounts could not be readily ascertained. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Under the instruction of KPTCL and ESCOMs Pension and Gratuity Trust, the accounting units are operating with such arrangements since inception (2002-03) and accounts are not getting reflected on the books of BESCOM, correspondence will be made with KENFPGT for modality of accounting the same.

xli)	Vide Note no. 39.8 of the 'General Notes to Financial Statements', the Company has disclosed the details of contingent liabilities to the extent ascertained. However, in the absence of full list with comprehensive details / present status with testing for the probability of the devolvement of such liabilities with appropriate legal advices, we are unable to ascertain the completeness of such contingent liabilities as disclosed and any provision that may be required in this regard. Our opinion on the financial statements for the year ended 31 March 2024 was also modified in respect of this matter.	Contingency liability mainly revolves on PP dues, probability of the same is based on various external statutory agencies /GOK order/Legal case disposals and directions of such agencies from time to time. Further to, on crystallisation of such orders liability gets recognised specifically and taken to books
xlii)	The Company was liable to reimburse Rs. 3.70 crore to G.S Management Services Pvt Ltd towards additional ESI expenses vide writ petition no. 15958/2023 dated 11-01-2024. In accordance with DWA amendment dated 22-11-2024, the liability was arrived at Rs. 3.85 crore. However, the entire amount of Rs. 3.85 crore were disclosed as a contingent liability instead of being recognised as a current liability in the financial statements for the year ended 31 March 2024. To that extent, expenses and current financial liabilities and accumulated deficit for that year are understated. Our opinion on the financial statements for that year was modified because of this matter. Further, the Company recognised entire amount during the current year instead of retrospectively restating the financial statements as required by Ind AS 8. To the extent of Rs. 3.85 crore, current year expenses and losses are overstated.	The quantum accounted during FY 2024-25 amounting to Rs. 3.85 crores is within the threshold of 1% of turnover of the Company which is line with the Accounting Policy no. 24 laid down by the Company and hence no restatement of previous Financial Statements is made.
xliii)	As per material accounting policy 11, regulatory deferral account balances are recognised when it is probable that the future economic benefits associated with them will flow the Company as a result of actual or expected actions of the regulator (KERC) and the amount can be measured reliably. However, as disclosed in note 39.33(O), the Company has not recognised any regulatory deferral account balances for the reasons stated therein. The same is not in compliance with accounting policy of the Company and Ind AS 114 'Regulatory Deferral Accounts' resulting in understatement of regulatory deferral asset as at 31 March 2025 and net movement in regulatory deferral account balances for the year ended as of that date by Rs. 506.30 crore and overstatement of accumulated deficit as at 31 March 2025 to that extent.	As per Ind AS 114, paragraph 9 states that an entity that has rate regulated activities and that is within the scope may elect to apply the accounting policy for recognition, measurement, impairment and de-recognition of regulatory deferral account balances. Further, paragraph 13 allows an entity to recognize, measure, impair and de-recognize regulatory deferral account balances if, the change makes the financial statements more relevant to the economic decision-making needs of users and no less reliable or more reliable and no less relevant to those needs. This Standard permits the entity to judge relevance and

		reliability for accounting of the regulatory deferral account balances.
xiv)	As per Ind AS 7 'Statement of Cash Flows', the Company shall disclose a statement that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes and other disclosures like the amount of undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments (indicating any restrictions on the use of these facilities), the aggregate amount of cash flows arising from the operating capacity separately from those cash flows that are required to maintain operating capacity. However, the Company has not disclosed such information as required by Ind AS 7. Further, the Company shall also report major classes of gross cash receipts and gross cash payments arising from investing and financing activities. However, the Company has reported cash inflows from borrowings made and cash outflows from borrowings repaid on net basis. Furthermore, under the cash flows from financing activities, the Company has reported cash inflow as a result of increase in contributions from consumer assets (deferred income in the balance sheet). However, such cash inflows also include increase in deferred income due to non-cash transactions, which should have been offset with 'Capital Expenditures on Property, Plant & Equipment & Intangible Assets [Net of disposals / adjustments]' under cash flows from investing activities. Consequently, net cash from investing activities and net cash from financing activities are not correctly reported the amount of which is not readily quantifiable.	The changes suggested in Statement of Cash Flows will be incorporated with guidance of the Statutory auditors.
xiv)	As per Ind AS 1 and accrual system of accounting, a Company shall prepare its financial statements, except for cash flow information, using the accrual basis of accounting. However, as observed during the audit of few divisions, certain expenses such as building rent, remuneration to contract agencies that had accrued during the current financial year have not been provided for at the end of that financial year and such expenses pertaining to previous financial year have been accounted during this financial year.	The provision for the rent and remuneration to contract agencies is provided for in all cases where the amount is determinable and for bills on hand cases. In some cases, the agreement for contract agencies had expired and the new rates were communicated later. In such cases the quantum was not determinable and the provision was not made. Subsequently, the bills are passed as soon as the agreement was extended and communicated.

	As identified in some of the divisions, service charges towards total revenue management software amounting to Rs. 7.20 crore payable to IDEA Infinity IT Solutions Pvt Ltd. for February 2025 and March 2025 have not been recognised. To that extent, current liabilities as at and other expenses for the year ended 31 March 2025 are understated. Also, amount of Rs. 0.44 crore payable to Apco Worldwide (India) Pvt Ltd for engaging a Public Relation Agency has not been recognised. To that extent, current liabilities and expenses are understated. Further, the Company has not recognised claims payable to Bharthi Airtel Ltd. and Reliance Communications Ltd. towards primary and secondary network bandwidth service, the amount of which could not be quantified in the absence of necessary details. Furthermore, the Company has not recognised Rs. 0.69 crore payable to Sun Edison Solar Power India Pvt Ltd. towards repairs and maintenance of irrigation pump sets. To that extent, trade payables as at 31 March 2025 and 'Other Operating Expenses' for the year ended as on that date and accumulated deficit as at that date are understated.	Further, this quantum falls well within the threshold of 1% of turnover of the Company. Hence, the quantum may be accounted in next FY. Suitable action for accounting of the said expenditure will be taken in FY 2025-26.
xlvi)	The liability for payment of interest on consumer security deposits as at 31 March 2025 is Rs. 312.52 crore. However, the interest expense recognised during the financial year ended 31 March 2025 is Rs. 367.93 crore. Accordingly, Rs. 55.41 crore of interest of previous year is recognised during the current financial year without retrospectively restating the financial statements of previous year as required by Ind AS 8. Consequently, to the extent of Rs. 55.41 crore, liability for such interest and accumulated deficit as at 31 March 2024 and interest expense for the year ended as of that date are understated, interest expense for the year ended 31 March 2025 are overstated.	The quantum accounted during FY 2024-25 amounting to Rs. 55.41 crores is within the threshold of 1% of turnover of the Company which is line with the Accounting Policy no. 24 laid down by the Company and hence no restatement of previous Financial Statements is made.
xlvii)	As per clause 3.2 of the KERC (Interest on Security Deposit) Regulations 2005, the accrued interest on security deposit for each financial year shall be credited to the consumer's account during the first quarter of the subsequent financial year and be adjusted against the consumption charges. As Ind AS 32, a financial asset and a financial liability shall be offset and the net amount presented in the balance sheet	Depiction of provision for the interest payable on consumer security deposit will be reviewed and suitable action will be taken in FY 2025-26.

	when, and only when an entity currently has a legally enforceable right to set off the recognised amounts, and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously. As the Company settles such interest payable on consumer deposits on net basis by reducing it from the consumer charges, the interest payable on consumer security deposit should have been offset with trade receivables in the balance sheet. However, the Company has not offset such amounts, but has separately classified such interest as other current liabilities in the balance sheet. Consequently, to the extent of Rs. 312.52 crore as at 31 March 2025 (Rs. 319.95 as at 31 March 2024 after considering the effect of our modification in paragraph 0), other current liabilities and trade receivables are overstated.	
xlvi)	As per clause 'FA' of General Instructions for Preparation of Balance Sheet under Division II of Schedule III, the Company shall disclose following information relating to micro, small, and medium enterprises (MSME) in the notes: (a) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year; (b) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year; (c) the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006; (d) the amount of interest accrued and remaining unpaid at the end of each accounting year; and (e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006. However, the Company has not disclosed this information. Further, in the absence of sufficient details, we are unable to comment on the accuracy of classification of dues to MSME and other than MSME in the balance sheet.	In BESCOM, huge volume of transactions are handled, tracking of MSME details through manual mode is difficult and consumes more time. Once ERP is implemented the details for the said disclosure will be made available.

xlix.	During the current financial year, the Company had reclassified an item of Land amounting to Rs. 0.53 crore as Land & Rights. However, such reclassification is made only in the current year's financial statements and not retrospectively in the previous year's financial statements, which is not in accordance with Ind AS 8. Consequently, this has impacted the comparison of current year and corresponding figures to that extent in Note no. 2.	Factual, the same will be reviewed and necessary action will be dealt.
1	The Company has not recognised power purchase cost amounting to Rs. 27.73 crore from Udupi Power Corporation Ltd. in respect of revised compensation towards partial loading for the financial year ended 31 March 2025 even though the invoice was received before the financial statements for the that financial year were approved for issue. The Company has not adjusted the financial statements for this amount as required under Ind AS 10 'Events after the Reporting Period'. To the extent of Rs. 27.73 crore, power purchase cost for the year ended 31 March 2025 and current trade payables and accumulated deficit as at that date are understated.	Suitable action for accounting of the said expenditure will be taken in FY 2025-26.
li	Billing data captured at consumer-level are pushed to centralised database under Total Revenue Management (TRM) system. 'Demand, Collection and Balance' (DCB) Reports are generated from the TRM system. Trade receivables, revenue and other adjustments are recognised in the books of account based on such MIS DCB Reports. However, arithmetical discrepancies during the generation of MIS DCB Reports have resulted in differences between carrying amounts of trade receivables as per the MIS DCB Reports and the books. Vide note no. 39.33(C), an amount of Rs. 80.64 crore [debit] as at 31 March 2025 (Rs. 78.21 crore [debit] as at 31 March 2024) is identified and accounted under GL Code 23.898 (Pending for reconciliation of Sundry Debtors – Revenue) pending reconciliation for the reasons stated therein. In the absence of corroborating evidence, we are unable to verify the assertion made by the management and its effect on the financial statements.	Reconciliation are under process to resolve the arithmetical discrepancies in MIS DCB. On resolution the difference accounted under GL Code 23.898 (Pending for reconciliation of Sundry Debtors – Revenue) will be minimized.

Lii	As per Company's material accounting policy no. 18, the Company calculates expected credit losses at 3% in respect of receivables other than trade receivables. However, the impairment allowance for expected credit losses of other receivables as at 31 March 2025 and as at 31 March 2024 are entirely reduced from 'Other Current Receivables' in Note 14, and the receivables and account balances in respect of which such allowance was calculated and recognised are presented in different notes without netting-off of impairment losses.	Factual, action will be taken to change the presentation in different note without netting-off of impairment losses.
Liii	During the financial year ended 31 March 2025, the Company has accounted as income being reversal of write-off of receivable on account of theft of power accounted in prior year amounting to Rs. 8.00 crore. However, in the absence of virtual certainty of the recoverability of the amount, the accounting of the same as income for the year is not appropriate. Consequently, trade receivables under current asset and revenue from operations are overstated to that extent.	Reconciliation of receivable related to theft of power accounted in prior year will be carried in FY 2025-26
Liv	Trade Receivables (Note no. 11) includes Rs. 1.61 crore receivable from Bruhat Bengaluru Mahanagara Palike (BBMP) towards expenses incurred by the Company for establishing and operating a COVID-19 Helpline facility on behalf of BBMP during 2021. Despite repeated correspondences, BBMP has not reimbursed the amount and has informed that the expenditure may be met by BESCOM out of their funds. Hence, the amount may not be recoverable and should have been fully provided for. However, the Company has not recognised expected credit loss on the same resulting in overstatement of trade receivables, understatement of other expenses for the year ended and accumulated deficit as at 31 March 2025 to the extent of Rs.1.61 crore.	BBMP vide letter dated 04/03/2025 has communicated to meet expenses incurred by the Company for establishing and operating a COVID-19 Helpline facility on behalf of BBMP during 2021 out of own resources. Hence to treat it has expenditure approval needs to be obtained from the Management. On approval the said receivable from BBMP will be treated as Expenditure.
Lv	'Other Current Financial Assets' (Note 14) include Rs. 21.87 crore interest subsidy receivable from National Electricity Fund. However, the Company has already received the amount through adjustment of interest payable during the financial year ended 31 March 2018. Non-recognition of interest so adjusted has resulted in overstatement of other current financial assets and understatement of accumulated deficit as at 31 March 2025, 31 March 2024, and 1 April 2023 respectively to that extent.	Suitable action for accounting of the said expenditure will be taken in FY 2025-26.

Lvi	The Company has not recognised Rs. 1.26 crore recoverable from Idea Infinity IT Solutions Pvt. Ltd. towards 10% Liquidated damages and 10% penalty (Rs. 0.84 crore) and non-supply of licensed antivirus and Microsoft 365 software (Rs. 0.42 crore). To that extent, 'Other Current Financial Assets' as at 31 March 2025 and income for the year ended as on that date are understated and accumulated deficit is overstated.	Suitable action for accounting will be taken in FY 2025-26.
Lvii	The Company awarded a Detailed Work Award to Innovari Technologies Private Limited during February 2016 for implementing 5 MW Automated Demand Side Management (ADSM) at a contract price of Rs. 18.40 crore. However, the contractor failed to execute the project and the project was short closed. Accordingly, the Company derecognised the capital work in progress as at 31 March 2024. Further, the Company has encashed the bank guarantee amounting to Rs. 1.57 crore, which has been classified as a liability, and has retained the security deposit of Rs. 0.27 crore, which is not refundable to the contractor. However, while derecognising the capital work in progress, the bank guarantee and security deposit were not adjusted. Consequently, 'Other Non-current Liabilities' (Note 23) is overstated by Rs. 1.57 crore, 'Other Current Financial Liabilities' (Note 25) is overstated by Rs. 0.27 crore, and accumulated deficit is overstated by Rs. 1.84 crore as at 31 March 2025.	On approval of the Management suitable accounting will be taken in FY 2025-26.
Lviii	The Company has not, in accordance with Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets', estimated and accounted for revisions that may arise to power purchase bills after the end of the financial year but pertaining to the financial year 2024-25. Subsequent to 31 March 2025, the Company has received additional demands from KPCL / RPCL amounting to Rs. 59.11 crore, credit notes amounting to Rs. 1.69 crore and Rs. 66.72 crore in respect of power purchased during the financial year 2024-25. Consequently, trade payables as at the end of financial year and power purchase cost for the financial year and accumulated deficit as at 31 March 2025 are overstated to the extent of Rs. 9.30 crores.	The invoices are received after the Board approval Financial statement for FY 2024-25. Hence the same will be accounted in FY 2025-26.
Lix	In accordance with GOK order Energy 140 PSR 2024 Bengaluru dated 21-03-2025, the Company has an obligation to pay guarantee commission of Rs. 30.61 crore on	Correspondence will be taken up with GoK related to the obligation to pay Guarantee Commission for the

	loans borrowed by PCKL. However, the Company has not recognised such guarantee commission payable and expenses during the financial year ended 31 March 2025. To that extent, 'Finance Cost' for the year ended 31 March 2025 are understated. Further, in accordance with GOK order EN3 PSR 2016/ P3 dated 31-03-2017, the Company has an obligation to pay guarantee commission in respect of loans borrowed by PCKL in earlier years which has not been provided for. To the extent of Rs. 9.23 crore, 'Finance Cost' for the year ended 31 March 2024 is understated. Further, guarantee commission to the extent of Rs. 34.57 crore pertaining to the financial years 2017-18, 2019-20, and 2022-23 have not been provided for resulting in understatement of Guarantee commission payable and accumulated deficit as at 1 April 2023. Cumulatively, guarantee commission payable is understated by Rs. 74.41 crore as at 31 March 2025 (Rs. 43.80 crore as at 31 March 2024), and accumulated deficit is also understated to that extent. Further, in the absence of sufficient details, guarantee commission payable in respect of financial years 2018-19, 2020-21, and 2021-22 could not be quantified.	loan availed by PCKL through securization of RLB dues.
Lx	During the year, the Ministry of Power has issued Electricity Distribution (Accounts and Additional Disclosure) Rules 2024 ('the Rules'). These Rules lay down the minimum provisioning requirement for trade receivables excluding Government Consumers. However, the Company has not disclosed the applicability of such rules to them and whether the ECL on trade receivables comply with the minimum prescribed provisioning requirements as per the rules.	Minimum provisioning requirement for trade receivables excluding Government Consumers as per The Electricity Distribution (Accounts and Additional Disclosure) Rules 2024 ('the Rules') will be implemented with suitable amendment to accounting policy in FY 2025-26.

Replies offered on the observation/ comments of the Statutory Auditors on the Internal Financial Controls of the Company for FY 2024-25 are as follows:

Observations of the Statutory Auditors	Management's Reply
i. The Company does not have an appropriate system for testing / assessing the operating effectiveness of internal financial controls and taking timely corrective measures to ensure strict adherence to the Company's policies and procedures, prevention and detection of fraud or errors, accuracy and completeness of accounting records and timely preparation of reliable financial information.	Company has a robust system of review and control of all the transactions having financial propriety. Since inception, it has prescribed Rules/ Regulations/ Policies/ Guidelines/ Manuals and procedures. It functions under the norms of all Statutory acts/ ERC directives/ GOK/ GOI guidelines. Manual is prescribed containing the process for each of the activity for proper review and accountability. All the processes and sanctions are subjected to the Internal Audit review and certifications. Since the activity is manually done on day to day basis, reporting mechanism is not available. However, MIS will be strengthened and measures for concurrent review and check mechanism will be in place once ERP gets crystalized.
ii. The Company does not have appropriate internal control mechanism for obtaining balance confirmation and reconciliation in respect of various receivables, payables including payable on account of power purchases, advances, deposits including deposits made with various regulatory authorities, amounts due from / to Government and Government Agencies / Companies & other sundry liabilities. This could result in the Company materially misstating the balances of assets or liabilities and income or expenses in the financial statements.	Transactions pertaining to ESCOMS, KPTCL and PCKL are taken to the books by the Company as a prudent practice based on notifications, orders and letters from notified authorities for the said purposes. Obtaining of confirmation for all the transactions involves certain things that are clearly outside the control of the Company. However, the Company is making consistent effort to obtain the confirmation. In relation to others i.e., sundry creditors, advances, deposits from/ to suppliers/ contractors/ government authorities/ consumers/ employees, loans and other receivables from various parties, transactions are taken to books based on orders, awards, notification for which correctness is authenticated, checked and counter checked by all the competent authorities. Also, it may not be physically be possible to obtain the confirmation for such transactions as it is voluminous.
iii. There was no regular programme for physical verification of tangible assets other than assets like office equipment, furniture & fixtures etc., which could potentially result in the Company materially misstating the value of tangible assets in the financial statements.	The major asset base consists of dissimilar types of transformers (different capacities) conductors, cables & Structural addition to the existing infrastructure. There is tracking of additions made in the year. Due to vast area coverage and routine work, it needs consideration across length and breadth involving vast Sq.K.ms. hence, physical verification is not taken up.

iv. The Company did not have a system of tracking the progress of various capital works with details like their expected date of completion, additional cost required to complete the work and other related details. Also, the Company did not have a system to ascertain and capitalize the works in a timely manner. This could result in the Company materially misstating the value of CWIP, Property, Plant & Equipment and depreciation.	Capitalisation is not done periodically due to voluminous task involved in creating fixed assets. Majority of assets are resultant of assemblage done and classified against Transformer and lines; other classifications such as Building, Vehicles and Office equipment contributing little and the capitalisation process involves rugged administrative process manually i.e., categorisation depends on Technical certificate/ Completion Report/ final bill based on measurement book etc. Significant fixed asset accounting also was undertaken at the time of corporatisation (bifurcation of DISCOMs from parent entity KPTCL) with book adjustment as per GOK notification. IFC will be strengthened on ERP implementation since, reconciliation and verification for prospective categorisation of assets will have concurrently a check and review mechanism in place which will assist to have those aspects accounted parallel to the books.
v. The system of appropriate identification of different classes of property, plant and equipment are not operating effectively. Consequently, part of contract consideration has been incorrectly allocated to 'miscellaneous equipment' instead of the appropriate asset class.	The assets not falling under any specified category of assets have been classified under the 'miscellaneous equipment'. This balances exists from a long period of time and the depreciation on the same has been charged periodically. However, the legacy data under the 'miscellaneous equipment' will be scrutinized to reclassify the asset wherever required.
vi. The Company does not have appropriate internal controls for identifying impairment of assets which could potentially result in the Company materially misstating the value of 'Property, Plant and Equipment' in the financial statements of the Company.	As the nature of the sector by itself, is so devised, the redundancy will not remain in the structure to warrant for assessment of impairment asset value at the end of each reporting period. The activity is so versatile and demands for replacement of failed equipment concurrently to maintain the continuity in the supply. As an interim measure, the values of such failed equipment will get withdrawn/ reclassified from asset base to released inventory grouping.
vii. Register for Property, Plant & Equipment in the proper format by including details like sufficient description of asset, situation of asset, useful life, residual value, rate and basis of depreciation, accumulated depreciation, depreciation for the current year etc., have not been maintained which could potentially result in the Company materially misstating its fixed assets in the financial statements. An effective procedure and internal financial control may be evolved to ensure that the fixed asset register is being	Company is deploying ERP in phases covering HRMS, Inventory, Financial and Accounts module covering Account Receivable, Accounts Payable, Fixed Asset, General Ledger, Cash Management, Loans Management, Procurement, Projects, Power Purchase, etc under GOI IPDS scheme. Once it is deployed the said aspect will be covered end to end.

maintained and updated regularly for each individual asset.	
viii. The Company does not have an effective system for monitoring and timely adjustment of capital and other advances and there are many long outstanding advances as at the end of the year which may potentially result in misstatement in the financial statements.	The advances pertaining to Employees and vendors are adjusted based on periodical bills presented for salaries and work expenditure payment respectively. Hence, a lag in the adjustment and payment of liability is due to the availability of funds from the Head office and payment is done thereafter. The bills pertaining to all works/ employees are reviewed by the Internal Audit team in every accounting unit. Control mechanism will be strengthened on ERP implementation since, reconciliation and verification for such adjustments have concurrent check and review mechanism in place which will assist to have those aspects covered.
ix. The system of obtaining periodic confirmations in respect of the Bank accounts operated by the Company to ensure correctness of the bank balances was not operating in the Company.	The Bank Reconciliation statements are being prepared by all the Accounting units by considering the pass sheets of the active bank accounts in that jurisdiction. Consequently, the Internal Audit reviews and audits the BRS monthly and concurrent action is initiated for regularisation invariably on periodical basis. This apart, Bank balances confirmation is obtained as at the end of March, 2025 and action will be initiated to take up the same on periodical basis. Efforts will be made to obtain balance confirmations for each reporting period well in time.
x. Certain unidentified credits amounting to Rs. 200.15 crores have been grouped under 'Deposit Contribution Work' under 'Non-current liabilities' and Rs. 28.63 crores of unidentified credits are adjusted from 'Trade Receivables – Unsecured and considered good' in the financials. Further, 'Other Receivables' include unidentified debits by banks pending reconciliation amounting to Rs. 0.88 crores & 'Other Current Liabilities' include unidentified credits of Rs. 0.54 crores by Banks pending reconciliation / rectification. Non-identification of the nature of receipt / payment and unreconciled items in bank accounts could potentially result in misstatement of assets & liabilities, income & expenses & Bank balances. The system of Bank reconciliation is carried out manually and not through the accounting software used. Hence, we are unable to comment or confirm whether the reconciliations have been carried out properly considering all the bank entries.	Most of the transactions accounted under this head is comprising of payments received through NEFT/ RTGS mode of payment. Hence, on fetching details for such payments with UTR based information obtained from Bank, the payments get posted against respective debit heads cyclically with Internal Audit review of the activity periodically.

xi.	The system of timely reversal of stale cheques and declined NEFT payments was not operating effectively which may potentially misstate the bank balances and payables.	As per procedure, the unrealised returned instrument is moved to stale nature and stale cheques existing in the books for more than three years gets reversed. Very few instances are declined; efforts are made to identify the case with concerned Banks for effective implementation as per procedure. Action will be initiated to have timely measures for such cases.
xii.	The system of reconciling Income tax TDS as per books with that of reflected in Income tax form 26AS / Annual Information Statement (AIS) was not operating in the Company which may potentially misstate the TDS receivable / income for the financial year.	Action will be initiated to set the same concurrently by having concurrent reconciliation.
xiii.	The system of reconciling the entries towards inter unit adjustment / transactions between the accounting units at regular intervals and as at the end of the financial year was not operating effectively which has resulted in misstating the inter unit balances and concerned asset or liability and income or expense.	Action will be initiated for reconciliation of Inter Unit Accounts on timely basis and the same will be reviewed and audited by the Internal Audit team in the accounting units on periodical basis to monitor and avoid non-accounting of any inter unit transaction.
xiv.	The Company has an in-house Internal Audit department to carry out internal audit functions. In our opinion, the scope and coverage of internal audit is not commensurate with the size and nature of the Company's business as the internal audit department is not adequately is not adequately manned with professionally qualified persons and the scope of the Internal Audit continues to be limited and not sufficiently risk-focused. It is also observed that the scope of the internal audit had not been defined / vetted by the Audit Committee of the Board (ACB). Further, the internal audit system does not review and comment on the financial accounts, IT systems, risk management practices or governance processes of the Company. The internal audit head reports to the Managing Director of the Company, which may affect the independence of the function. The deficiencies discussed above impact the effectiveness of financial oversight and internal controls, leading to potential inaccuracies or misstatements in financial records and financial reporting.	IFC will be strengthened on ERP implementation since, reconciliation and verification for prospective transactions and will have concurrently a check and review mechanism in the form of ERP in place which will assist to have all aspects accounted parallel to the books and thereby effectively reduce the potential inaccuracies or misstatements in future. Efforts will be made to have quarterly reporting in line with the requirement.

xv.	The Company did not have a proper system to ensure that all active connections are being billed as we had observed from the DCB Reports on test check basis, some installations though under “Active” state, the demand for such connections are shown as ‘Zero’ potentially impacting the operating revenues of the Company.	The MIS generated DCB report shows a break up of active installations and billed installations as well. The MIS generated DCB report being a static report, has an effect to it on completion of the Billing cycle of an installation by the end of the month while triggering the process of generation of DCB report. Some installations which cannot be read due to reasons such as Vacant, will be billed subsequently when the premises gets occupied/ accessible. Hence, due to these reasons the demand for such installations are “zero”. However, measures will be initiated to have all the breakup of DCB report are being supported with ancillary report co-relating the data supplemented with DCB containing the reason and purpose behind such reporting.
xvi.	Internal controls relating to the accuracy and reliability of TRM system-generated reports, and their reconciliation with the accounting records, were not operating effectively as arithmetical discrepancies during the generation of MIS DCB Reports have resulted in differences between the carrying amounts of trade receivables as per the MIS DCB Reports and the books.	On change of the vendors operating the TRM software, the data and other operations of the system needs to be transferred from the old vendor to the new vendor for conducting operations. As this process took place in between the current FY, the migration and the errors of operations were persisting which have been resolved on an immediate basis by the vendors and suitable rectifications have been made in the generated MIS DCB report for FY 2024-25. The migration of data and understanding of the operations of the Company to adhere to the requirements of the Company needed sometime. Hence, this issue has been addressed and taken off note by the TRM vendors for non- occurrence of such errors in the future.
xvii.	Closing balance of previous year is not carried forward to current financial year automatically in the accounting software resulting in Company recording a Journal entry to account for the same in the current financial year. The manual process may potentially lead to mistakes affecting the opening balances of assets and liabilities being brought forward.	Due to various reasons such as bifurcation of Sub divisions/ Change in Revenue management systems and Consumer level reporting and MIS reporting are different, in the intervening accounting period, certain installations indexation gets distorted and balance gets corrected subsequently and such corrections are taken to books to depict the end balance. Efforts will be made to have concurrent sync of data to avoid such discrepancy and measures to have ERP identify and correct on parallel basis with all review mechanism in place.
xviii.	The Company is operating an accounting software ‘Be Quick Accounts’ for recording the accounting transactions. Master data is created in the software for suppliers, employees & other vendors. Schedules are created in the software for all transactions relating to the entries made and are recorded in the concerned control ledger account like Receivables, Salary Payable, Contractors Control Account, etc. However, it is observed that underlying schedules are not being updated properly like identifying the correct vendor’s	Till the roll over happened in the system, company had the manual system and contained many balances transferred from KPTCL during bifurcation and also due to bifurcation of Division, the balance carried in the manual system is migrated to tiny software and further, data is captured with debits and credits as the case may be. The adverse balance for various reasons remaining the manually carried to the tiny software system. The software in use is majorly meant to account every transaction JV wise and

name with income tax PAN resulting in such schedules showing incorrect balances including adverse balances for some vendors when such is not the case. As informed to us, during migration of account balances from manual system to computerized system during FY: 2017-2018, some of the ledgers having incorrect or adverse balances were captured as it is in the computerized system and carried forward. Hence, the underlying schedules extracted from the Software does not disclose correct balances and not reliable. This potentially misstates the closing balance of such schedules like Contractor Control A/c, Salary Payable etc., It was also observed that many users (makers of accounting entries) are operating through single login user Id which is not a correct practice. Also, the accounting software does not have audit trail feature. Hence, tracing a particular accounting entry to the maker of that entry is not possible. Also, ageing of balances cannot be extracted from the software which is an inherent limitation of the accounting software.	duly posted to General Ledgers and Trial balances in Accounting units. Consequently, the software provides for consolidation of Trial balances. The schedule portion of the software at the time of migration of party wise details needs to be reconciled and updated accordingly. Hence, the same will be reconciled and monitored by Internal Audit to update the same accordingly. All the measures to have receivable and payable balances reconciled account code wise and Accounting unit wise and required action will be dealt. Also, ERP is deployed in phases, once it is deployed all the required action will be dealt for ensuring correctness in all aspects.
xix. The Company follows a system of passing Journal entries (JEs) by clubbing multiple payments / receipts while accounting in the software instead of passing separate JE for each and every payment or receipt. This potentially leads to difficulty in identifying and verifying any particular payment / receipt to a particular vendor or party. Also, the Company follows a system of accounting multiple accounts / borrowings pertaining to a single Bank / Lender under one GL head resulting in individual account / loan balances not getting identified separately in the books of account or trial balance. This may potentially lead to mistakes or omissions in a particular loan / bank account that may not get identified.	The Accounting units on receiving bills pertaining to a certain work, passes JV for that particular work in a single JV. As the transactions are voluminous in nature, the accounting of every payment and receipt becomes tedious with the routine work in Accounting units. The ERP will be equipped to capture individually or reporting such instances individually.
xx. All payments of Rs. 5 lakhs and above are done by Cash Management Section (CMS) directly to contractors / parties, but CMS and accounting units account for the same as fund transferred to accounting units and funds received from CMS respectively. Further, accounting units pass bank entries for payment to contractor / creditor though payments are done from the Bank account of CMS. These entries are also reflected in cash books and Bank Reconciliation Statements (BRS) of the accounting units. This	In order to account all transactions pertaining to an accounting unit, although the payment powers are vested with the HO, the transaction accountability is pertaining to that accounting unit. This enables the unit to track the payment to the party. Development of ERP is under progress action shall be taken to address this accounting treatment.

system of accounting creates notional bank entries in at accounting units level and not an accepted practice of accounting.	
xxi. As per the Company's internal policy, all payments above Rs. 5 lakhs must be made at the CMS to ensure appropriate oversight over those payments. However, few vendors / suppliers have been submitting multiple invoices just below Rs. 5 lakhs in respect of a distinctly identifiable service or transaction, which in aggregate, exceed the policy threshold. These multiple invoices are processed at the accounting unit-level even though, when aggregated, are to be processed at the CMS. This practice effectively circumvents the internal control policy for payments above Rs. 5 lakhs.	Instances of few vendors / suppliers been submitting multiple invoices just below Rs. 5 lakhs in respect of a distinctly identifiable service or transaction, which in aggregate, exceed the policy threshold will be verified and suitable action will be taken to fix.
xxii. It is observed that the accounting units have not disclosed bank accounts used for pension & NDCPS payments in the books and accounted neither the pension amounts released from the KEPGT / KENFPGT to the units nor payment of pension amounts to the retired employee's / family pensioners even though such bank accounts are operated by the respective accounting units. The initial deposits made with the Banks at the time of account opening are reflected under "Deposits with others" under 'Other Non-Current Assets' instead of 'Cash & Cash Equivalents'. Also, the Bank accounts used for statutory tax payments are not disclosed in the financial statements. The procedure followed by the Company potentially misstates the bank balances, liability for unpaid pension and statutory dues at year end.	As per the prudence practice since inception, based on the pension amounts released from the KEPGT / KENFPGT to the accounting units, the activity of disbursement of such amount to the concerned retired employee's / family pensioners are carried by the respective accounting units and such transactions are recorded in separate cash book and the same is verified periodically. However, correspondence will be made with KENPGT/ KPTCL/ GOK to set the procedure for accounting such payments made by ESCOMS.
xxiii. Some of the material accounting policies selected by the Company are not applied – non-ascertainment of fair values for financial instruments, non-recognition of right-of-use assets (leases), non-recognition of regulatory deferral account balances, not retrospectively restating the financial statements, are not in compliance with applicable Ind AS and may potentially result in misstatement in the financial statements. Also, the Company does not have an accounting policy for recognising power banking / swapping arrangements carried with power supply entities in other states.	As the nature of the sector by itself, is so devised, the redundancy will not remain in the structure to warrant for assessment of impairment asset value at the end of each reporting period. The activity is so versatile and demands for replacement of failed equipment's concurrently to maintain the continuity in the supply. As an interim measure, the values of such failed equipment get withdrawn/ reclassified from asset base to Released inventory grouping. As no cost was involved in barter arrangement, accounting policy is not formulated.

	Formulation of Accounting Policy for power swapping is in process in consultation with PCKL and other ESCOMs due approval of BESCOM Management. Upon concurrence, the same will be incorporated consequentially.	
xxiv.	The system of accounting for imprest balances is inappropriate as amounts utilised out of imprest balances are being recognised in disbursement bank account ledgers rather than adjusting through imprest ledgers. Also, recoupment of imprest balances is not being adjusted through imprest ledgers. Certain items of small sizes that require individual or batch counting are kept in loose quantities at stores of the Company. This makes the counting of such items difficult during the annual stock count and may result in recording inaccurate physical count results and consequently may affect the valuation of materials.	The existing procedure for accounting of imprest is in line with accounting principle. However, non-adjustment to imprest ledger will be reviewed and suitable action will be taken in FY 2025-26
xxv.	Certain items of small sizes that require individual or batch counting are kept in loose quantities at stores of the Company. This makes the counting of such items difficult during the annual stock count and may result in recording inaccurate physical count results and consequently may affect the valuation of materials.	The Company is deploying ERP in phases which includes “Material Management and Inventory” module and on implementation of the same, the Inventory in the stores will be arranged in ways for unique identification.
xxvi.	‘Delegation of Powers’ is not strictly being adhered to. As per the ‘Delegation of Powers’ of the Company, the CEE office is authorised to invite tenders only up to Rs. 2 crores each. However, in respect of some tenders invited during the financial year, CEE office (Chitradurga) had invited and awarded tenders above Rs. 2 Crores each.	Review of such tenders will be taken up and necessary checks will be taken to fix the issues.
xxvii.	The system of proper documentation in cases of power theft and recovery of energy charges including penalty was not operating effectively in the Company. The Company has a vigilance section for detecting power theft and recovering energy charges along with penalty as and when such theft is identified. However, the Company could not produce sufficient documentation for our verification to ascertain relevant details as regards the number of cases of power theft detected, ageing of the cases, cases under appeal, the quantum of pending recoveries, cases that have been closed without any recovery etc.,	All the details with regard to the cases booked for theft of electricity is maintained in the Vigilance section. The status of these cases, ageing of the balances and its recovery are available at the Vigilance section for verification.
xxviii.	The Company did not have a proper system to accrue and account for all known liabilities and expenses such as building rent, remuneration to contract agencies. Further, the Company did not have a system to estimate and account for revisions that may arise	All the known liabilities in terms of regular expenditure such as rent is provided for in the books of the accounting units. In cases where the vendor has changed or the DWA period is lapsed, the provision for such expenditure is not made in books until the extended DWA or the bill is communicated to the Accounting unit. This non- accountability, due to variation in the timing of communication. Necessary

	to power purchase bills after the end of the financial year but pertaining to the financial year.	action will be taken for accounting of such liabilities ion the same Financial year.
xxix.	The Company did not have a proper system or records for tracking the bank guarantees received as security, name of the parties from whom received, amount and purpose, validity, and decision for renewal / encashment of bank guarantees as and when required.	Bank guarantees received as per the conditions of DWA as security are maintained in the concerned section. The monitoring of validity, renewal and encashment of Bank guarantees are carried in the concerned section.



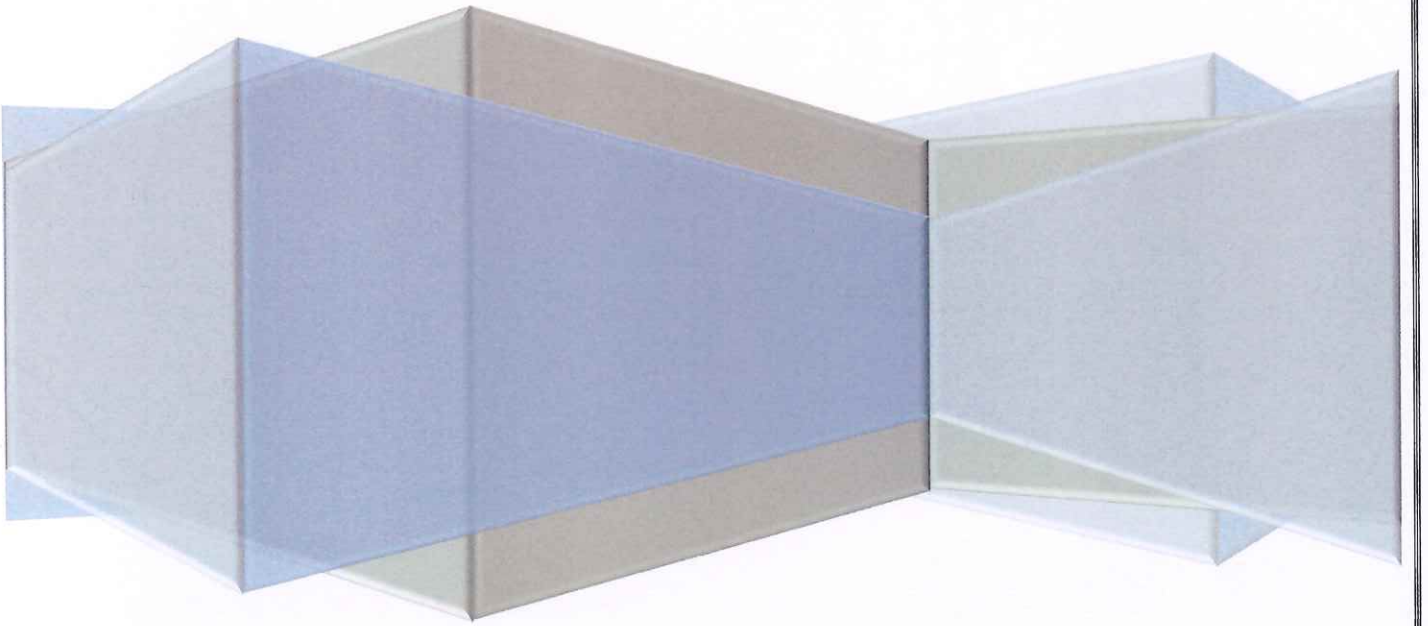
Bangalore Electricity Supply Company Limited

BESCOM

(Government of Karnataka Undertaking)



ANNUAL ACCOUNTS FY 2024-25



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Bangalore Electricity Supply Company Limited

Note 1: Company Information and Material Accounting Policy Information

A. Corporate and General Information

Bangalore Electricity Supply Company Limited ('BESCOM' or 'the company') is a company registered under the Companies Act, 1956 incorporated on 30.04.2002 and commenced its operations from 01.06.2002. The company is responsible for power distribution in eight districts of Karnataka, namely Bangalore Urban, Bangalore Rural, Ramanagara, Chickkaballapura, Kolar, Tumkur, Chitradurga and Davanagere.

The Karnataka Electricity Regulatory Commission (KERC) vide letter dated 30.09.2008 has intimated that as per first provision of section 14 of the Electricity Act 2003, the company has become a Deemed Licensee valid for a period of 25 years from 10.06.2004.

The Government of Karnataka published vide their order No. DE 14 PSR 2002 dated 31.05.2002, the 2nd Transfer Scheme called Karnataka Electricity Reform (Transfer of Undertakings of KPTCL and its Personnel to Electricity Distribution and Retail Supply Companies Rules, 2002) giving effect to the approval of distribution undertakings, assets and liabilities and provisional opening Balance Sheet of KPTCL and BESCOM based on the Annual Accounts of KPTCL as on 31.03.2001. As per the provisions of 2nd Transfer Scheme, after the stipulated period of one year i.e., by 31.05.2003, the same became final. Opening Balance Sheet earlier approved and published vide G.O. and Government notification dated 31.05.2002 read above were provisional and thereafter Government had approved and issued final opening Balance Sheet of BESCOM as at 01.06.2002 vide their order No. DE 48 PSR 2003 dated 31.05.2003/No.DE 48 PSR 2003, dated 07.10.2004. This has been notified and published as final. The changes effected after the audit by KPTCL in the "transfer scheme" have been incorporated in the accounts of the Company as per Annexure - 2 to Government Order NO.DE48 PSR 2003 dated 07.10.2004. BESCOM being successor entity to the erstwhile KEB / KPTCL formed on 01.06.2002 vide G.O. no. DE48 PSR 2003 dated 31.05.2003 / No. DE48 PSR 2003 dated 07.10.2004, prudently following the Policies / Practices specified in the Manuals / Volumes / Regulations of KEB / KPTCL in relation to the financial controls and administrative controls till rescinded or amended.

The financial statements of the company for the year ended 31st March, 2025 were approved for issue by the Board of Directors on 28th August, 2025.

B. Basis of Preparation

1. Basis of preparation of Financial Statements

The financial statements are prepared on going concern basis following accrual system of accounting under historical cost convention except as otherwise provided in the policy and in accordance with Indian Accounting Standards (Ind AS) as notified by Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015 and subsequent amendments thereof as well as with the additional requirements applicable to financial statements as set forth in Companies Act, 2013, the provisions of the Electricity Act, 2003 and considering the principles determined / applied by the Karnataka Electricity Regulatory Commission (KEREC) while determining tariff, to the extent applicable for accounting.

All items having a material bearing on the financial statements are recognised on accrual basis except the following, which are accounted on receipt basis:

- Grants and subsidies from Government in respect of capital assets as there is no commitment of quantum to account on accrual basis;
- Insurance claims.
- Income from sale of Renewable Energy Certificates (REC) which is accounted as income on realisation
- Other income towards rebate earned or incentives received on prompt payment of power purchase costs, are recognised as and when dues are settled.
- Back Billing Charges (BBC) towards theft / misuse of electricity recognised on receipt basis

2. Functional and presentation currency

These financial statements are presented in Indian Rupees (₹) which is the company's functional currency. All financial information presented in (₹) has been rounded to the nearest crore (up to two decimals), except when indicated otherwise.

3. Current and non-current classification

The assets and liabilities are classified as current / non-current in the balance sheet in accordance with Ind AS 1 and considering 12 months' period as normal operating cycle.

4. Statement of Compliance

In accordance with the notification dated 16th February 2015, issued by the Ministry of Corporate Affairs, the Company has adopted Indian Accounting Standards (referred to as "Ind AS") notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) with effect from FY 2016-17. The date of transition to IND AS is April 01, 2015.

C. Material Accounting Policy Information

1. Property, plant and equipment

Property, plant and equipment are stated at cost, net of accumulated depreciation and impairment loss, if any. Such costs comprise of purchase price and any directly attributable cost of bringing the assets to its working condition for intended use and include estimate of the costs of dismantling and removing the item and restoring the site on which it is located. Cost includes cost of land, material, labour and other appropriate overheads.

Expenditure on renovation and modernization of fixed assets resulting in increased life and / or efficiency of an existing asset is added to the cost of related assets.

Advance paid towards the acquisition of property, plant & equipment outstanding at each balance sheet date is classified as capital advance under other non-current assets.

Depreciation:

Property, plant & equipment are depreciated using the straight-line method at the rates prescribed & notified by Central Electricity Regulatory Commission (CERC). The residual value of all the assets is 10% as per CERC guidelines, against 5% as per Companies Act, 2013. The company does not charge depreciation as per the rates prescribed under the Schedule II of the Companies Act, 2013.

In case there is a revision in the rates prescribed and notified by the CERC, the company applies the revised rates prospectively from the date of change notified by the CERC.

Any addition to the asset base or deletion to the asset base, depreciation is charged in proportion to month of addition or deletion.

Released assets intended for reuse

Released assets intended for reuse are continued to be depreciated in accordance with depreciation percentage of their classification i.e., line, cables, networks, plant & machinery and vehicles etc., to which they pertain to, and are stated at Written Down Value.

Scrapped assets

The carrying amount of assets that are scrapped is derecognised from property, plant and equipment as no future economic benefits are expected from their use. The scrapped assets are valued using Scheduled Standard Rates, and any gain or loss on valuation is immediately recognised in profit or loss.

The scrapped assets are derecognised on disposal. Any gain / loss from disposal is recognised in profit or loss at the time of disposal.

2. Capital work in progress

Materials issued to capital work-in-progress are accounted at Scheduled Standard Rates, which are determined on the basis of previous purchases and prevailing market rates, except when Scheduled Standard Rates are not available, materials issued are accounted at cost of purchase.

Administrative and general overhead expenses accounted under designated Project Sections which are attributable to construction of fixed assets till they are ready for their intended use are identified and allocated on a systematic basis to the cost of the related assets.

Capital works in progress are capitalised on receipt of final completion report or technical commissioning reports.

3. Leases:

The company assesses at contract inception whether a contract is, or contains, a lease. A contract is recognised as lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Initial recognition and measurement

At the commencement date, a right-of-use asset and a lease liability is recognised.

At the commencement date, right-of-use asset is measured at cost. The cost of the right-of-use asset comprises:

- The amount of the initial measurement of the lease liability;
- Any lease payments made at or before the commencement date, less any lease incentives received;
- Any initial direct costs incurred by the company; and
- An estimate of costs to be incurred by the company in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories.

Lease liability is recognised at present value of the lease payments that are not paid at the lease commencement date.

Subsequent measurement

The right-of-use asset is measured by applying cost model and is depreciated in accordance with Ind AS 16 "Property, Plant and Equipment". The right-of-use asset is stated at cost less any accumulated depreciation and accumulated impairment losses if any.

Lease recognition exemption

The company applies exemption for recognising short-term leases and leases where the underlying asset is of low-value. Lease payments in respect of short-term leases and leases of low value assets are recognised as expense in profit or loss on a straight-line basis over the lease term.

4. Investment properties

Investment properties comprise portions of land and/or buildings that are held for long term rental yields and/or for capital appreciation.

Where properties comprise portions that are both held for long term rental yields and/or for capital appreciation, and for use in the production or supply of goods or services or for administrative purposes, the portions held for long term rental yields and/or for capital appreciation are recognised as investment properties only if both the portions could be sold separately (or leased out separately under a finance lease). If these portions could not be sold separately (or leased out separately under a finance lease), both the portions are recognised as investment properties only if an insignificant portion is held for use in production or supply of goods or services or for administrative purposes.

Investment properties are initially measured at cost, including transaction costs. Subsequent to initial recognition, investment properties are carried at cost less accumulated depreciation and accumulated impairment loss, if any.

Transfers to or from investment properties are made when there is a change in use i.e. an asset meets or ceases to meet the definition of investment property and there is evidence of the change in use.

Investment properties are derecognised either when they have been disposed off or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised as profit or loss in the period of derecognition.

5. Intangible assets

Intangible assets are measured at the consideration paid / incurred for acquisition of such assets and are stated at cost less accumulated amortisation and impairment in proportion to period of agreement or licensee term and in the absence of license period, the cost is amortised over four years.

6. Impairment of assets

The carrying amounts of assets are reviewed by management whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Further, an intangible asset with an indefinite useful life or an intangible asset not yet available for use is tested for impairment annually by comparing its carrying amount

with its recoverable amount, irrespective of whether there is any indication of impairment.

An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. Impairment losses, if any, are recognised in profit or loss as a component of depreciation and amortisation expense.

An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined net of depreciation or amortization, if no impairment loss had previously been recognised.

7. Non-current Assets (or disposal groups) held for sale

Non-current assets (or disposal groups) are classified as assets held for sale when their carrying amount is to be recovered principally through a sale transaction and a sale is considered highly probable. The sale is considered highly probable only when the non-current asset (or disposal group) is available for immediate sale in its present condition, it is unlikely that the sale will be withdrawn and sale is expected within one year from the date of the classification.

Non-current assets (or disposal groups) classified as held for sale are stated at lower of carrying amount and fair value less costs to sell. Depreciation on such assets is ceased once classified as held for sale. Non-current assets (or disposal group) are presented separately in the balance sheet.

8. Inventories

Stores, spares and loose tools are valued at Scheduled Standard Rates (Standard Rates are determined on the basis of previous purchases and prevailing market rates). The difference between realisable value (purchase cost) and Scheduled Standard Rates is recognised in profit or loss under Material Cost Variance account (both debit and credit).

Obsolete stores

The provision for obsolete stores is maintained at 3% of value of inventories as at end of the reporting period.

9. Grants, subsidies and consumer contribution / deposit contribution works

Grants

Grants / subsidies received from the government or other authorities towards capital expenditure are recognised as deferred income under non-current liabilities and recognised in profit or loss on a systematic basis over the periods in which depreciation on such assets is recognised as an expense.

The proportion equivalent to % of depreciation charged for Plant & Machinery / Line & cables are reckoned as basis for arriving at depreciation write back against such quantum received over the year including current FY under Grants / subsidy / Consumer contribution and the same is charged back as income and shown distinctively in depreciation schedule in the Statement of Profit & Loss.

Revenue grants

Revenue grants / tariff subsidies from the government and other agencies are recognised as income only when there is reasonable assurance that the conditions attached to them shall be complied with, and the grants will be received and accounted on accrual basis.

Consumer contribution / deposit contribution works

Consumer contribution / deposit contribution works are recognised as deferred income under non-current liabilities when the underlying assets are handed over to the company by the consumers or when assets are ready for intended use, and subsequently recognised in profit or loss at the proportion equivalent to % of depreciation charged for Plant & Machinery / Line & cables on closing balance of such contribution before such transfer as at the end of the financial year.

Loan at below-market rate or interest-free loan from government

All government loan which are received at below-market rate or interest free loans and recognised as financial liability. The benefit of a government loan at a below-market rate of interest is treated as a government grant considering MCLR as at the date of receipt of loan from the government.

10. Financial instruments

Non-derivative financial instruments are classified as financial assets and financial liabilities.

10.1. Financial asset

Initial recognition and measurement

All financial assets are recognised when the company becomes a party to the contractual provisions of the instrument. The company determines the classification of its financial assets at initial recognition.

All financial assets are initially recognised at fair value plus directly attributable transaction costs except for those financial assets measured at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value and transaction costs are recognised in profit or loss.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as follows:

a. Financial assets carried at amortized cost

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

b. Financial assets at fair value through other comprehensive income

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

c. Financial assets at fair value through profit or loss

A financial asset which is not classified in any of the above categories is subsequently measured at fair value through profit or loss.

Derecognition

The company derecognises a financial asset only when the contractual rights to the cash flows from the asset expires or it transfers the financial asset and substantially all the risks and rewards of ownership of the asset.

10.2. Financial liability

Financial liabilities of the company are the contractual obligations to deliver cash or another financial asset to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the company.

Initial recognition and measurement

All financial liabilities are recognised when the company becomes a party to the contractual provisions of the instrument. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are initially recognised at fair value minus directly attributable transaction costs except for those financial liabilities measured at fair value through profit or loss. Financial liabilities carried at fair value through profit or loss are initially recognised at fair value and transaction costs are recognised in profit or loss.

Subsequent measurement

All financial liabilities are subsequently measured at amortised cost except for those measured at fair value through profit or loss, as applicable.

Derecognition

A financial liability is derecognised when the obligation under the contract is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability is substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

11. Regulatory deferral account balances

Regulatory asset is recognised when it is probable that the future economic benefits associated with it will flow to the entity as a result of the actual or expected actions of the regulator (KERC) under the applicable regulatory framework and the amount can be measured reliably.

The probable quantum of deferred asset / liability for the current financial year which is expected to flow to the entity as a result of the actual or expected actions passed by KERC while assessing annual performance review of the concerned financial year filed along with annual revenue requirement of different years is recognised as Regulatory asset / liability on accrual basis but limiting the quantum of Regulatory asset recognition to the extent of Return on Equity conservatively which in all probability KERC will admit in true up order (annual performance review).

A separate line item is presented in the balance sheet for

- The total of all Regulatory Deferral Account Debit Balances; and
- The total of all Regulatory Deferral Account Credit Balances

wherever debit and credit balances are separately provided by the regulator.

A separate line item is presented in the Statement of Profit and Loss for the net movement in all Regulatory Deferral Account Balances during the reporting period.

12. Revenue from operations

Revenue from sale of energy

Sale of power is accounted on accrual basis at the tariff rates approved by the Karnataka Electricity Regulatory Commission (KERC). Revenue dues from consumers whose ledger accounts are yet to be opened are accounted on an estimated basis.

For each reporting period, revenue from sale of energy includes an accrual for sales delivered to customers but not yet billed i.e., unbilled revenue. Unbilled revenue for HT & IP category is measured on actual basis and for LT category is measured at 75% of demand for the last month of the reporting period.

Sale of power under Irrigation Pump sets below 10 HP are on estimation. Estimation is based on the quantum recorded under exclusive Agri Feeders provided

for the purpose and extrapolated across all the Irrigation pump sets of below 10 HP. Per HP consumption on each Agri feeder is arrived on deducting 10% energy loss on the input of that feeder and dividing it by total connected load. Revenue corresponding to estimated sales is recognised as per Commission Determined Tariff.

Fuel & Power Purchase Cost Adjustment (FPPCA)

Revenue from operations includes Fuel & Power Purchase Cost Adjustment (FPPCA) computed as per the applicable orders from the regulator (KERC).

Renewable Energy Certificates (RECs)

Renewable Energy Certificates (RECs) are not valued in the books but accounted as income on realization.

13. Other income

Income from services rendered is accounted based on the agreements / arrangements with the concerned parties.

Rebate earned / incentives received on prompt payments of power purchase dues are recognised as and when the related dues are settled.

Interest income is recognised on a time proportion basis taking into account the amount outstanding and rate applicable.

14. Purchase of Power

The power purchase cost is recognised based on the Government of Karnataka Order No. EN 131 PSR 2003 Dated 10.05.2005 and subsequent orders issued from time to time for accounting the cost of power based on the billings made by Power Generators Pool allocated to the company by Government of Karnataka. The company recognises the quantum of power exported at the generating plant as per allocation given by Government of Karnataka as per order dated 24.03.2010.

The transmission cost on power purchase is recognised on the basis of total generating capacity allocated to the company as per Government of Karnataka order dated 24.03.2010.

The company has recognised the following as interface points for transmission of power:

- For EHT consumers, consumption recorded at EHT consumer installations (66KV and above).
- Readings recorded at 11 KV banks (interface points) existing in various sub-stations.

As per policy decision of the Government and in terms of Power Purchase Agreement, KERC and CERC tariff orders, the related power purchase cost figures including interest on belated payments, publication charges and income tax paid are shown on the basis of billing on "Delivered Energy" basis.

The supply of energy to the company includes EHT supply at more than 66 KV voltages at the interconnection points for transfer of power for billing by the Company. The company does not recognize any transmission loss on EHT power in its books on purchase from Karnataka Power Transmission Company Ltd. (KPTCL).

The company accounts the power purchase from 10.06.2005 directly from Power Generators Pool Account as per the energy allocation / assignment by the Government of Karnataka as per the Government order No. EN 131 PSR 2003 dated 10.05.2005 and subsequent orders issued from time to time. The rates followed for the allocated/assigned power purchases are based on the commercial rates/predetermined rates as approved by PPA / CERC / KERC / Government of Karnataka.

The transmission losses arising on account of Power Purchase from Generation Point till interface point of transmission are accounted by the Company as per the information provided by Power Company of Karnataka Ltd. (PCKL) / State Load Dispatch Centre (SLDC), KPTCL based on the proportionate energy consumed. This is as per the said Government order.

15. Employee Benefits

15.1. Short term employee benefits

Short-term employee benefits viz., salaries, wages, ex-gratia and other benefits are recognised as expenses in profit or loss for the year in which the related service is rendered as per contractual terms.

15.2. Defined Contribution Plans

New Defined Contributory Pension Scheme (NDCPS)

Employees who have joined the services on or after 01.04.2006 are covered under "New Defined Contribution Pension Scheme (NDCPS)" and company's contribution at fixed percentage of salary is ascertained and contributed to KPTCL & ESCOMs Newly Defined Contributory Pension Scheme Family Pension & Gratuity Trust (KENFPGT). There is no further liability on the Company to contribute for the Scheme.

15.3. Defined Benefit Plans

a. Pension and Gratuity

The Company contributes to "KPTCL & ESCOMs Pension & Gratuity Trust" (KEPGT) towards pension and gratuity of employees joined on or before 31.03.2006.

As per the scheme, Government of Karnataka (GoK) funds the proportionate liability up to 31.05.2002 in respect of the pension and gratuity for the employees who were in service prior to 31.05.2002. Subsequent to that date, liability is borne by the Company.

KEPGT gets done actuarial valuation from an independent actuary as per Ind AS 19 towards liability as at the end of each financial year. The trust arrives at a percentage for contribution for the subsequent financial year based on actuarial valuation report as at the end of March of the previous financial year which is contributed to the KEPGT by the Company.

b. Gratuity in respect of employees covered under NDCPS

The company is liable for gratuity for the employees who joined the service on or after 01.04.2006. Provision for liability is ascertained based on actuarial valuation obtained from an independent actuary using Projected Unit Credit Method (PUCM). The liability is contributed to KPTCL & ESCOMs Newly Defined Contributory Pension Scheme Family Pension & Gratuity Trust (KENFPGT).

c. NDCPS Family Pension

The Company is liable for family pension to the legal heir of the employees /retired employees covered under NDCPS who died on or after 01.04.2018. Provision for liability is ascertained based on actuarial valuation obtained from an independent actuary using Projected Unit Credit Method (PUCM). The liability is contributed to KPTCL & ESCOMs Newly Defined Contributory Pension Scheme Family Pension & Gratuity Trust (KENFPGT).

15.4. Other long term employee benefits

Leave Encashment

Leave encashment is provided on the basis of estimates made by the company and not on the basis of actuarial valuation.

15.5. Other termination benefits

Family Benefit Fund

Employees Family Benefit Fund' Scheme has been introduced with effect from 01.07.1978. ₹ 200/- is deducted from each employee and paid to this Fund. In case of death of an employee while in service, ₹ 2,00,000/- is being paid to the legal heir of the employee if contribution of ₹ 2,400/- has been made by the employee for a minimum period of 12 months. As per the Scheme, the Company contributes to this Fund as per the terms of the scheme in case of death of the employees.

16. Borrowing cost

Borrowing costs consist of interest and other costs that the company incurs in connection with the borrowing of funds. Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period in which they occur.

Borrowing cost are capitalized using effective interest rate after adjustment of transaction costs, premiums/discounts, to be made while capitalizing borrowing costs.

17. Foreign currency transactions and translations

Transactions in foreign currencies are recorded at the exchange rate prevailing on the date of transaction. Foreign currency denominated monetary assets and liabilities are translated into the functional currency at exchange rate as at the end of each reporting period. The gain or loss resulting from such transactions or settlement are recognised in profit or loss.

Non-monetary assets and liabilities denominated in foreign currency and measured at historical cost are translated at the exchange rate prevailing at the date of transaction.

18. Impairment of trade receivables, other receivables and write-back of other payables

Impairment of trade receivables

The company recognises Expected Credit Loss (ECL) at 4% on the balance of trade receivables (exclusive of receivables from BJ/KJ installations, IP sets and unbilled revenue) for sale of power of LT category outstanding as at the year-end and on HT consumers specifically identified on a case-to-case basis.

The expected credit loss in respect of arrears of IP sets and BJ/KJ installations is maintained in the following pattern:

- Dues outstanding for 2 years and above: 75%
- Dues outstanding between 1 year and 2 years: 50%
- Dues outstanding less than 1 year: Nil

Impairment of other receivables

The Expected Credit Loss (ECL) is maintained at 3% on receivables other than trade receivables and receivables from GOK / GOI / Statutory bodies. Other receivables include the following:

- Supplier / Employee related accounts
- Inter ESCOM activity relating to material transfer, personnel transfer and other transactions excluding energy balancing and PP related

Write-back of other payables

Write-back provision is maintained at 2% on payables belonging to Supplier / Vendors and Inter-ESCOM excluding Energy balancing and any Power purchase related activity related to Inter-ESCOM / IPPs/ GENCOs / TRANSCOs etc., It does not include Payables to from GOK / GOI / Statutory bodies.

19. Provisions and Contingencies

Provisions

A provision is recognised when the company has a present obligation as a result of past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, in respect of which a reliable estimate of the amount of obligation can be made based on technical valuation and past experience. Where the effect of time value of money is material, the provision is determined and maintained by discounting the expected future cash outflows, wherever applicable. Where discounting is used, the increase in the provision due to the passage of time is recognised as finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingencies

Contingent liabilities are disclosed, on the basis of judgment of management, when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. These are reviewed at each balance sheet date and adjusted to reflect current estimate of the management.

Contingent assets are possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company. Contingent assets are disclosed in the financial statements when inflow of economic benefits is probable on the basis of judgment of management. These are assessed continually to ensure that developments are appropriately reflected in the financial statements.

20. Taxes on income

Income tax expense comprises current tax and deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised in Other Equity through Other Comprehensive Income.

Current tax

Current tax is the expected tax payable on the taxable income for the year, using the tax rates enacted or substantively enacted and as applicable at the end of the reporting period and includes adjustment to tax payable in respect of previous years.

Deferred tax

Deferred tax is recognised using the balance sheet method, providing for temporary difference between the carrying amount of an asset or liability in the balance sheet and its tax base.

Deferred tax is measured at the tax rates that are expected to apply when the temporary differences are either realized or settled, based on the laws that have been enacted or substantively enacted by the end of reporting period.

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the temporary difference can be utilized.

The carrying amount of deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

21. Dividend

Dividend paid / payable are recognised in the year in which the related dividends are approved by the shareholders or Board of Directors as appropriate.

22. Earnings Per Share

The earnings considered in ascertaining the company's Earnings Per Share ('EPS') comprise the net profit after tax attributable to equity shareholders. The number of shares used in computing basic EPS is the weighted average number of shares outstanding during the year. The weighted average number of equity shares outstanding during the year are adjusted for events of bonus issue; bonus element in a

rights issue to existing shareholders; share split; and reverse share split (consolidation of shares). The diluted EPS is calculated on the same basis as basic EPS, after adjusting for the effects of potential dilutive equity shares unless impact is anti-dilutive.

23. Statement of Cash Flows

Cash flows are reported using indirect method, whereby profit / (loss) before tax is adjusted for the effect of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the company are segregated.

24. Prior period items

Material prior period errors or omissions are corrected retrospectively, by restating the comparative amounts for the prior periods presented in which such errors or omissions have occurred. If the errors or omissions occurred before the earliest period presented, the opening balances of assets, liabilities and equity for the earliest period presented, are restated. However, prior period errors or omissions below the threshold of 1% of turnover of the company for the year are corrected in the current year financial statements only and no restatements are carried out.

D. Use of Estimates and Judgement

The preparation of financial statements requires management to make judgments, estimates and assumptions that may impact the application of accounting policies and the reported value of assets, liabilities, revenue expenses and related disclosures concerning the items involved as well as contingent assets and liabilities at the balance sheet date. The estimates and management's judgments are based on previous experience & other factors considered reasonable and prudent in the circumstances. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

This note provides an overview of the areas that involved a higher degree of judgment or complexity, and of items which are more likely to be materially adjusted due to estimates and assumptions turning out to be different than those originally assessed:

1. Useful life of property, plant & equipment and intangible assets

The estimated useful life of property, plant and equipment and intangible assets is based on a number of factors including the effects of obsolescence, demand, competition and other economic factors (such as the stability of the industry and known technological advances) and the level of maintenance expenditures required to obtain the expected future cash flows from the asset.

The estimated useful life of property, plant & equipment is determined by CERC and the estimated useful life of intangible assets is determined by the management in accordance with Ind AS 38 "Intangible Assets".

2. Lease of low value assets

The assessment of whether an underlying asset is of low value is performed on an absolute basis and requires significant judgement by the management. Low value assets are not recognised as right-of-use assets regardless of whether those leases are material to these financial statements. The management's assessment is not affected by the size, nature or circumstances of the company.

3. Provisions and contingencies

The assessments undertaken in recognising provisions and contingencies have been made in accordance with Ind AS 37 "Provisions, contingent liabilities and contingent assets". The evaluation of the likelihood of the contingent events requires best judgment by management regarding the probability of exposure to potential loss. Should circumstances change following unforeseeable developments, this likelihood could alter.

4. Income taxes

Significant estimates are involved in determining the provision for current and deferred tax, including amount expected to be paid / recovered for uncertain tax positions.

Bangalore Electricity Supply Company Limited
Corporate Office, 4th floor, K.R. Circle, Bangalore-560001
(CIN:U04010KA2002SGC030438)
Balance Sheet As at 31st March 2025

Amount (Rs. in Crs.)

	Particulars	Note No.	As at 31st March 2025	As at 31st March 2024
I	ASSETS			
1	Non-current assets			
(a)	Property, plant and equipment	2	21,002.24	19,631.81
(b)	Capital work-in-progress	4	489.14	650.21
(c)	Other Intangible assets	3	7.31	5.26
(d)	Intangible assets under Development	5	69.03	52.26
(e)	Financial Assets			-
i.	Investment	6	0.01	0.01
ii.	Loans	7	290.28	152.04
iii.	Other Non Current Financial Assets	9	316.15	200.38
	Total (1)		22,174.16	20,691.96
2	Current assets			
(a)	Inventory	10	336.31	296.57
(b)	Financial Assets			-
i.	Trade receivables	11	8,188.56	7,383.08
ii.	Cash and Cash equivalents	12	67.85	66.76
iii.	Other balances with Bank	13	227.69	194.50
iv.	Others Current Financial Assets	14	4,603.10	9,713.27
(c)	Other Current Assets	15	2,907.67	2,161.76
	Total (2)		16,331.20	19,815.94
3	Total Assets (1+2)		38,505.36	40,507.90
4	Regulatory Deferral account debit balance	16	-	202.23
	Total Assets and Regulatory Account Balance (3+4)		38,505.36	40,710.13
II	EQUITY AND LIABILITIES			
1)	Equity			
(a)	Equity Share capital	17	1,979.26	1,952.21
(b)	Other Equity	17A	(13,736.91)	(8,294.80)
	Total (1)		(11,757.65)	(6,342.59)
2)	Non-current liabilities			
(a)	Financial Liabilities			
i.	Long Term Borrowings	18	14,693.28	11,027.43
ii.	Trade Payables	19	606.96	2,221.93
a)	Total Outstanding Dues to MSME		-	-
b)	Total Outstanding Dues to other than MSME		606.96	2,221.93
iii.	Other Non- Current Financial Liabilities	20	6,789.64	6,045.69
(b)	Long Term Provisions	21	46.05	44.34
(c)	Deferred Income	22	6,124.23	5,486.49
(d)	Deferred Tax Liability (Net)	8	-	263.22
(e)	Other Non-Current liabilities	23	885.78	651.10
	Total (2)		29,145.93	25,740.19
3)	Current liabilities			
(a)	Financial Liabilities			
i.	Short Term Borrowings	24	7,917.57	7,068.40
ii.	Trade Payables	19A	10,132.91	11,693.55
a)	Total Outstanding Dues to MSME		74.82	263.39
b)	Total Outstanding Dues to other than MSME		10,058.09	11,430.16
iii.	Other Current Financial Liabilities	25	1,746.25	2,134.31
(b)	Short Term Provisions	26	8.05	20.04
(c)	Current Tax Liabilities	27	20.91	15.11
(d)	Other Current Liabilities	28	1,291.38	381.12
	Total (3)		21,117.08	21,312.53
4)	Total Liabilities (2+3)		50,263.00	47,052.72
5)	Regulatory Deferral account Credit balance	16	-	-
6)	Total Equity, Liabilities and Regulatory Account Balance (1+4+5)		38,505.36	40,710.13

The accompanying notes 1 to 39 form an integral part of these Financial Statements.

Vide our report of even date
For M/s Manian and Rao
Chartered Accountants
FRN 001983S

Srikanth R.
Partner
(M.No. 203138)

Place:
Date:

Dr. Shiva Shankara N
Managing Director
DIN: 08223112

K.E. Pradeep
Chief General Manager (Accounts)

For and on behalf of the Board of Directors

Mahadeva
Director (Finance)
DIN: 06914707

Suma.G.P
Company Secretary

Place:
Date:

Bangalore Electricity Supply Company Limited
Corporate Office, 4th floor, K.R. Circle, Bangalore-560001
(CIN:U04010KA2002SGC030438)

Statement of Profit and Loss for the year ended 31st March 2025

Amount (Rs. in Crs.)

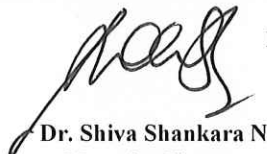
	Particulars	Note No.	For the year ended 31st March 2025	For the year ended 31st March 2024
I	Income			
	Revenue from operations	29	32,893.97	33,874.83
	Other Income	30	154.27	160.51
	Total Income		33,048.24	34,035.33
II	Expenses			
	Purchase of Power	31	29,167.03	28,963.28
	Other Operating expenses	32	419.55	369.63
	Employee benefits expense	33	2,233.84	2,064.86
	Finance costs	34	2,288.51	1,720.93
	Depreciation and amortisation expense	35	1,251.49	1,130.12
	Other Expenses	36	1,853.49	465.96
	Total Expenses		37,213.92	34,714.78
III	Profit/loss before exceptional items		(4,165.68)	(679.44)
	Exceptional Items	37	(1,371.44)	(969.02)
IV	Profit/loss before tax		(5,537.12)	(1,648.46)
V	Tax expenses			
	Current Tax		-	-
	Deferred Tax.	39.16	(263.22)	(167.71)
VI	Profit / (loss) for the period before movement in Regulatory deferral account balance		(5,273.91)	(1,480.75)
	Net Movement in Regulatory deferral account balances related to profit or loss	38	(202.23)	(2,382.41)
	Profit / (loss) for the period and movement in Regulatory deferral account balance		(5,476.14)	(3,863.16)
VI	Other comprehensive income:			
	Items that will not be reclassified subsequently to profit or loss :		-	-
	Remeasurement of the net defined benefit liability		-	-
VIII	Total Other comprehensive income / (loss) for the period, net of tax		-	-
IX	Total Comprehensive income for the period		(5,476.14)	(3,863.16)
X	Earnings per share excluding net movement of Regulatory (In Rupees)			
	Basic/Diluted		(26.71)	(8.23)
XI	Earnings per share including net movement of Regulatory (In Rupees)			
	Basic/ Diluted		(27.73)	(21.46)

The accompanying notes 1 to 39 form an integral part of these Financial Statements.

Vide our report of even date
For M/s Manian and Rao
Chartered Accountants
FRN 001983S

Srikanth R.
Partner
(M.No. 203138)

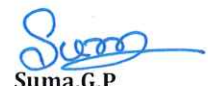
Place:
Date:


Dr. Shiva Shankara N
Managing Director
DIN: 08223112


K.E. Pradeep
Chief General Manager (Accounts)

For and on behalf of the Board of Directors


Mahadeva
Director (Finance)
DIN: 06914707


Suma.G.P
Company Secretary

Place:
Date:

Bangalore Electricity Supply Company Limited
Corporate Office, 4th floor, K.R. Circle, Bangalore-560001
(CIN:U04010KA2002SGC030438)

Statement of Cash flows for the year ended 31st March 2025

Particulars	Amount (Rs. in Crs.)	
	For the year ended 31st March 2025	For the year ended 31st March 2024
Cash Flow from Operating Activities		
Net Profit/(Loss) before Tax and before regulatory deferral account balances	(5,537.12)	(1,648.46)
Add: Net movement in regulatory deferral account balance	(202.23)	(2,382.41)
Net Profit/(Loss) before Tax including Regulatory Deferral Account balances	(5,739.35)	(4,030.87)
Adjustments for:		
Depreciation, Amortisation and Impairment	1,251.49	1,130.12
Finance cost	2,288.51	1,720.93
Bad debts written off - dues from consumers	1,371.44	969.02
Allowance for Credit Impaired Trade Receivables	25.12	(97.84)
Allowance for Impairment of Other Receivables	18.16	28.22
Write-back of Other Payables	5.54	1.14
Regulatory Deferral Account Balances	202.23	2,382.41
Loss / (Profit) on Sale of Fixed Assets [Net]	0.00	0.89
Loss on Scrapping of Written Down Value of Assets	1.60	1.64
Incentives & Subsidies Earned on Loan Repayments	(41.10)	(55.08)
Interest Earned on Bank Balances Other than Cash & Cash Equivalents	(13.57)	(14.50)
Operating Profit Before Working Capital Changes	(629.93)	2,036.08
Adjustments for		
(Increase) / Decrease in Inventories	(39.75)	40.83
(Increase) / Decrease in Trade Receivables	(2,202.04)	(150.52)
(Increase) / Decrease in Other Current Receivables	5,092.08	(1,423.32)
(Increase) / Decrease in Other Current Assets	(745.91)	(5,082.69)
(Increase) / Decrease in Loans	(138.24)	(139.24)
(Increase) / Decrease in Non-current Assets	(115.77)	94.10
Increase / (Decrease) in Trade Payable - Current & Non-current	(3,175.61)	4,090.11
Increase / (Decrease) in Other Current Financial Liabilities	(369.53)	(196.57)
Increase / (Decrease) in Other Current Liabilities	862.28	84.06
Increase / (Decrease) in Other Non-current Liabilities	234.68	88.31
Increase / (Decrease) in Short Term Provisions	(11.99)	(36.76)
Increase / (Decrease) in Long Term Provisions	1.71	1.53
Increase / (Decrease) in Other Long Term Financial Liabilities	743.94	530.02
Cash Generated from Operations	(494.06)	(64.06)
Income Taxes (Paid) / Refunded	5.80	81.76
Net Cash From / (Used in) Operating Activities [A]	(488.26)	17.70
Cash Flow from Investment Activities		
Capital Expenditures on Property, Plant & Equipment & Intangible Assets [Net of disposals / adjustments]	(2,791.09)	(2,040.64)
Bank balances other than cash & cash equivalents	(33.20)	32.25
Interest received on bank balances other than cash & cash equivalent	13.50	13.99
Net Cash From / (Used in) Investment Activities [B]	(2,810.78)	(1,994.41)
Cash Flow from Financing Activities		
Share Application Money Received	61.08	48.30
Increase / (Decrease) in Long Term Borrowings	3,665.85	1,428.08
Increase / (Decrease) in Short Term Borrowings	849.17	1,285.64
Interest on borrowings paid	(2,245.51)	(1,550.92)
Increase / (Decrease) in Contributions from Consumer Assets	969.54	779.83
Net Cash From / (Used in) Financing Activities [C]	3,300.13	1,990.93
Net Increase / (Decrease) in Cash & Cash Equivalents [A + B + C]	1.09	14.22
Add: Cash & Cash Equivalents at the Beginning of the Year	66.76	52.54
Cash and Cash Equivalent as at the end of the period	67.85	66.76
Notes:		
1) The accompanying notes 1 to 39 form an integral part of these Financial Statements.		
2) Statement of Cash Flows is prepared in accordance with indirect method prescribed in Ind AS 7 - Statement of Cash		
3) Reconciliation of Cash and Cash Equivalents:		
Cash and Cash Equivalents per Note 12	67.85	66.76

Vide our report of even date
For M/s Manian and Rao
Chartered Accountants
FRN 001983S

Srikanth R.
Partner
(M.No. 203138)

Dr. Shiva Shankara N
Managing Director
DIN: 08223112

K.E. Pradeep
Chief General Manager (Accounts)

For and on behalf of the Board of Directors

Mahadeva
Director (Finance)
DIN: 06914707

Suma.G.P
Company Secretary

Place:
Date:

Place:
Date:

Statement of Changes in Equity for the year ended on 31st March 2025

A . Equity Share Capital

1) Current Reporting Period:

	Amount (Rs. in Crs.)		
FY 2024-25	Opening Balance as at 1st April 2024	Changes in equity share capital during the year	Closing Balance as at 31st March 2025
Equity Share Capital	1,952.21	27.05	1,979.26

2) Previous Reporting Period:

	Amount (Rs. in Crs.)		
FY 2023-24	Opening Balance as at 1st April 2023	Changes in equity share capital during the year	Closing Balance as at 31st March 2024
Equity Share Capital	1,343.54	608.68	1,952.21

B. Other Equity

1) Current Reporting Period:

	Amount (Rs. in Crs.)		
FY 2024-25	Reserve & Surplus Retained Earnings	Share Application Money pending allotment	Total
Opening balance at the beginning of the year	(8,343.10)	48.30	(8,294.80)
Total Comprehensive Income for the year	(5,476.14)	-	(5,476.14)
Share Application Money Received	-	61.08	61.08
Equity Share Capital Issued	-	(27.05)	(27.05)
Dividends	-	-	-
Receivable from government	-	-	-
Transfer to General Reserve	-	-	-
Balance as on 31st March, 2025	(13,819.24)	82.33	(13,736.91)

2) Previous Reporting Period:

	Amount (Rs. in Crs.)		
FY 2023-24	Reserve & Surplus Retained Earnings	Share Application Money pending allotment	Total
Opening balance at the beginning of the year	(4,479.94)	608.68	(3,871.27)
Total Comprehensive Income for the year	(3,863.16)	-	(3,863.16)
Share Application Money Received	-	48.30	48.30
Equity Share Capital Issued	-	(608.68)	(608.68)
Dividends	-	-	-
Receivable from government	-	-	-
Transfer to General Reserve	-	-	-
Balance as on 31st March, 2024	(8,343.10)	48.30	(8,294.80)

The accompanying notes 1 to 39 form an integral part of these Financial Statements.

Vide our report of even date
For M/s Manian and Rao
Chartered Accountants
FRN 001983S

Srikanth R.
Partner
(M.No. 203138)

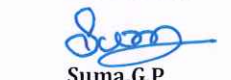
Place:
Date:


Dr. Shiva Shankara N
Managing Director
DIN: 08223112


K.E. Pradeep
Chief General Manager (Accounts)

For and on behalf of the Board of Directors


Mahadeva
Director (Finance)
DIN: 06914707


Suma.G.P
Company Secretary

Place:
Date:

Note 2 : Property, Plant & Equipment

For FY 2024-25													Amount (Rs. in Crs.)	
Particulars	Asset Group	Land	Land & Rights(Lesse)	Buildings	Civil Works Pipeline Storage Drainage Water supply	Other Civil Works	Plant & Machinery	Lines Cable Networks	Vehicles	Furniture & Fixtures	Office Equipments	Total	Released assets Intended for use	Total
1	2	3	13	4	5	6	7	8	9	10	11	12	13	14
A/c Code		10.1	10.1	10.2	10.3	10.4	10.5	10.6	10.7	10.8	10.9		16.20	
Opening Balance		18.21	9.70	516.47	8.70	11.01	5065.49	22806.32	51.70	31.01	37.19	28535.80	96.44	28652.24
As at 1-4-2024														
Additions		0.00	0.53	56.70	1.19	10.60	926.07	2195.32	16.07	4.55	5.90	3216.92	0.00	3216.92
Deductions		0.53	0.01	0.37	0.00	0.00	337.54	102.57	0.10	0.32	0.20	442.65	3.81	446.45
Closing Balance		17.69	10.22	572.19	9.88	21.61	5653.62	24899.07	67.66	35.23	42.89	31330.07	92.63	31422.70
As at 31-3-2025														

For FY 2023-24													Amount (Rs. in Crs.)	
Particulars	Asset Group	Dep-Land	Dep-Land & Rights(Lesse)	Dep- Buildings	Dep- Civil works	Dep- Other Civil works	Dep- Plant & Machinery	Dep- Line & Cable	Dep- Vehicles	Dep- Furniture & Fixtures	Dep- Office Equipments	Total	Depreciation charged on released material intended to re use	Total
A/c Code		12.1	12.10	12.2	12.3	12.4	12.5	12.6	12.7	12.8	12.9			
Opening Balance		0.00	4.11	102.09	4.14	1.80	1624.76	7215.24	29.48	13.66	13.08	9008.38	12.05	9020.43
As at 1-4-2024														
Additions		0.00	0.11	18.76	0.38	0.65	284.20	1252.19	4.55	1.75	2.35	1564.74	3.61	1568.35
Deductions		0.00	0.01	0.03	0.00	0.00	89.57	78.24	0.09	0.25	0.14	168.32	0.00	168.32
Closing Balance		0.00	3.99	120.83	4.53	2.45	1819.39	8399.20	33.94	15.17	15.31	10404.80	15.66	10420.46
As at 31-3-2025														

Net Block	At 31st March, 2023	17.69	6.23	451.36	5.36	19.16	3834.23	16509.87	38.72	20.07	27.68	28925.37	76.97	21002.24
	At 31st March, 2024	18.21	8.59	414.38	4.56	9.22	3440.73	15991.07	22.21	17.35	24.11	19547.42	84.39	19631.81

NOTE:

- Buildings includes shared assets as per KPCL's intimation
- Addition includes released assets after reconditioning
- Deduction includes transfer of assets for reconditioning
- Additions / deletions of assets and depreciation thereon include:
 - Items pending reconciliation relating to inter unit transfers

For FY 2023-24													Amount (Rs. in Crs.)	
Particulars	Asset Group	Land	Land & Rights(Lesse)	Buildings	Civil Works Pipeline Storage Drainage Water supply	Other Civil Works	Plant & Machinery	Lines Cable Networks	Vehicles	Furniture & Fixtures	Office Equipments	Total	Released assets Intended for use	Total
1	2	3	15	4	5	6	7	8	9	10	11	12	13	14
A/c Code		10.1	10.1	10.2	10.3	10.4	10.5	10.6	10.7	10.8	10.9		16.2	
Opening Balance		18.21	5.68	458.97	8.58	9.69	4,943.76	21,152.75	51.11	27.16	28.04	26,703.94	84.66	26,788.59
As at 1-4-2023														
Additions		-	4.02	57.52	0.12	1.32	462.38	1,756.65	0.92	3.93	9.52	2,296.37	11.79	2,308.16
Deductions		-	-	0.02	-	-	-	340.64	103.07	0.33	0.08	444.52	-	444.52
Closing Balance		18.21	9.70	516.47	8.70	11.01	5,065.49	22,806.32	51.70	31.01	37.19	28,535.80	96.44	28,632.24
As at 31-03-2024														

Net Block	At 31st March, 2024	18.21	5.69	414.38	4.56	9.22	3,440.73	15,991.07	22.21	17.35	24.11	19,547.42	84.39	19,631.81
	At 31st March, 2023	18.21	1.93	373.25	4.82	8.53	3,472.76	15,042.76	24.52	14.95	16.62	18,978.06	76.03	19,054.09

NOTE:

- Buildings includes shared assets as per KPCL's intimation
- Addition includes released assets after reconditioning
- Deduction includes transfer of assets for reconditioning
- Additions / deletions of assets and depreciation thereon include:
 - Items pending reconciliation relating to inter unit transfers

Bangalore Electricity Supply Company Limited

Note 3 :Other Intangible Assets

For FY 2024-25

Amount (Rs. in Crs.)		
Particulars	Asset Group	Software & Software Rights
1	2	3
Gross Carrying Value	A/c Code	18.101
	Opening Balance As at 1-4-2024	242.83
	Additions	17.00
	Deductions	-
	Closing Balance As at 31-03-2025	259.83

Particulars		Amortisation - Software & Software rights
Amortisation	A/c Code	12.101
	Opening Balance As at 1-4-2024	237.57
	Additions	14.94
	Deductions	-
	Closing Balance As at 31-03-2025	252.52

Net Block	At March 31st 2025	7.31
	At March 31st 2024	5.26

For FY 2023-24

Amount (Rs. in Crs.)		
Particulars	Asset Group	Software & Software Rights
1	2	3
Gross Carrying Value	A/c Code	18.101
	Opening Balance As at 1-4-2023	249.10
	Additions	6.31
	Deductions	12.58
	Closing Balance As at 31-03-2024	242.83

Particulars		Amortisation -Software & software rights
Amortisation	A/c Code	12.101
	Opening Balance As at 1-4-2023	243.01
	Additions	7.14
	Deductions	12.58
	Closing Balance As at 31-03-2024	237.57

Bangalore Electricity Supply Company Limited

Note 4: Capital Work-in-Progress

SL. No.	Particulars	Amount (Rs. in Crs.)	
		As at 31st March 2025	As at 31st March 2024
1	Capital Works In Progress	489.14	649.75
2	Contracts in Progress	-	0.46
	TOTAL	489.14	650.21

Age-wise CWIP for the following periods as at the end of March, 2025

FY 2024-25	CWIP	Amount (Rs. in Crs.)				
		less than 1 year	1-2 years	2-3 years	More than 3 years	Total
	Projects in progress	253.46	50.64	120.53	64.50	489.14
	Projects temporarily suspended					

Age-wise CWIP for the following periods as at the end of March, 2024

FY 2023-24	CWIP	Amount (Rs. in Crs.)				
		less than 1 year	1-2 years	2-3 years	More than 3 years	Total
	Projects in progress	231.33	73.61	266.45	78.82	650.21
	Projects temporarily suspended	-	-	-	-	-

Note 5 :-Intangible assets under Development

Amount (Rs. in Crs.)

SL. No.	Particulars	As at 31st March 2025	As at 31st March 2024
1	Intangible assets under Development	69.03	52.26
	TOTAL	69.03	52.26

Age-wise Intangible assets under development for the following periods as at the end of March, 2025

Amount (Rs. in Crs.)

FY	Intangible assets under development	less than 1 year	1-2 years	2-3 years	More than 3 years	Total
2024-25	Projects in progress	22.90	-	-	46.13	69.03
	Projects temporarily suspended	-	-	-	-	-

Age-wise Intangible asset under development for the following periods as at the end of March, 2024

Amount (Rs. in Crs.)

FY	Intangible assets under development	less than 1 year	1-2 years	2-3 years	More than 3 years	Total
2023-24	Projects in progress	-	-	52.26	-	52.26
	Projects temporarily suspended	-	-	-	-	-

Note 6 Investment*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Non-Trade Investments-Investment in equity share (Company is having a share of 100 No of 1000 Rupees face value as investment made to PCKL)	0.01	0.01
Total	0.01	0.01
Aggregate amount of Unquoted Investments	0.01	0.01

Note 7 Loan*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Unsecured, Considered Good		
a)Loans and Advances - Others	290.28	152.04
Total	290.28	152.04

Note 8 Deferred Taxes (Net)*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Deferred Tax Liability (Net)	-	263.22
Total	-	263.22

Note 9 Other Non Current Financial Assets*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
a)Advances to Suppliers	27.10	1.89
b) Capital Advance	223.81	139.61
c) Amount paid to IT under protest	15.96	10.32
d) Deposit with Jurala Hydro Electric Project	-	-
e) Security Deposits with Railways and Others	49.28	48.56
Total	316.15	200.38

Note 10 Inventories*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Stores, spares and loose tools		
(Stocks are valued at standard cost)		
a) Material Stock Account	307.87	270.55
Add/Less :Excess /(Shortage)	3.47	1.57
b) Mateterial imprest Account	23.54	20.04
c) Other Material Account	1.42	4.41
Total	336.31	296.57

Note 11 Trade Receivables*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Secured, considered good.	6,002.24	5,369.97
Unsecured, considered good	449.01	457.08
Unbilled Considered good	2,971.62	2,766.79
Gross Total	9,422.87	8,593.84
Less : Allowance for Expected Credit Loss	1,311.77	1,286.65
Net Total	8,111.10	7,307.19
Other receivables considered good	77.46	75.89
Total	8,188.56	7,383.08

Note 12 Cash and Cash Equivalents*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Cash and Cash Equivalents		
i) Balance with banks		
On current Account	48.09	37.21
ii) Cash on Hand	19.74	29.54
iii) Stamp on hand	0.02	0.02
Total (i) + (ii) + (iii)	67.85	66.76

Note 13 Other balances with Bank*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Deposits with maturity period of more than three months	227.69	194.50
Total	227.69	194.50

Note 14 Others Current Financial Assets*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Cash found short due theft etc., Pending Investigation.	1.09	1.09
Cash Receivables from Associates - KPTCL / ESCOMS	285.50	266.34
Interest accrued but not due on deposits (including Bank Deposits)	28.84	28.77
Remittance Head Office In Transit Account	0.10	0.10
Other Receivables	229.20	240.91
Inter ESCOMs Energy balancing & Energy charges at IF point	1,441.72	2,754.37
Receivables from Pension / Gratuity Trust.	5.74	29.95
Receivables from various Development Corporations towards Ganga Kalyana Scheme works	1,316.90	1,077.89
Subsidy Receivables	1,357.92	2,342.16
Excess Credit afforded by Bank (Dr)	0.88	0.88
Sub total- I	4,667.89	6,742.45
Less: Allowance for Expected Credit Loss (ECL)	(64.79)	(46.64)
Sub total- II	4,603.10	6,695.82
Receivables from PCKL (Securitisation of dues from RLB towards Water supply and Street light installations (LT6).	0.00	3,017.45
Total	4,603.10	9,713.27

Note 15 Other Current Assets*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Short term loan and Advance(Unsecured considered good)		
Loans and advances staff - Travel advance.	0.07	0.15
Loans and advances staff - Medical advance.	4.52	5.33
Advances staff against expenses.	1.06	1.81
Loans and advances staff - Festival advance.	12.78	3.09
Transformers / Meters etc. issued for repairs the Corporation personnel.	0.90	0.90
Amount Recoverable from Current Employees	2.84	2.38
Amounts recoverable from ex-employees	3.34	3.34
Amount recoverable from employees - unused materails not returned/excess materials drawn	14.04	14.92
Sub total	39.56	31.93
Deferment of Principal and Interest Expenditure related to Power purchase dues to M/s. KPCL.	2,769.72	2,043.65
Prepaid expenses.	0.15	0.18
Scrapped Assets (at Scheduled Standard rates)	98.24	86.00
Total	2,907.67	2,161.76

Note 16 Regulatory Deferral account balances*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Regulatory Deferral account debit balance	-	202.23
Regulatory Deferral account credit balance	-	-
Total	-	202.23

Trade Receivables Ageing Schedule
Outstanding for following periods from the due date of payment as at the end of Mar-25

Amount (Rs. in Crs.)						
Particulars	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	1681.67	684.49	1164.02	1083.59	603.17	5216.94
Unbilled Dues	2971.62	-	-	-	-	2,971.62
(ii) Undisputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
(iii) Undisputed Trade Receivables – credit impaired	-	-	-	-	-	-
(iv) Disputed Trade Receivables- considered good	-	-	-	-	-	-
(v) Disputed Trade Receivables- which have significant increase in credit risk	-	-	-	-	-	-
(vi) Disputed Trade Receivables- credit impaired	-	-	-	-	-	-
Grand Total	4653.29	684.49	1164.02	1083.59	603.17	8188.56

Outstanding for following periods from the due date of payment as at the end of Mar-24

Amount (Rs. in Crs.)						
Particulars	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	2756.06	1290.46	374.27	26.03	169.46	4616.29
Unbilled Dues	2766.79	-	-	-	-	2,766.79
(ii) Undisputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
(iii) Undisputed Trade Receivables – credit impaired	-	-	-	-	-	-
(iv) Disputed Trade Receivables- considered good	-	-	-	-	-	-
(v) Disputed Trade Receivables- which have significant increase in credit risk	-	-	-	-	-	-
(vi) Disputed Trade Receivables- credit impaired	-	-	-	-	-	-
Grand Total	5522.85	1290.46	374.27	26.03	169.46	7383.08

Note 17 Equity Share Capital

Particulars	Amount (Rs. in Crs.)	
	As at 31st March 2025	As at 31st March 2024
Authorized Share Capital		
Equity Shares		
250,00,00,000 (Previous Year - 200,00,00,000) equity shares of Rs 10 each	2,500.00	2,000.00
Issued, Subscribed and fully paid-up shares		
195,22,12,300 (As on 31st March, 2024- Equity shares of Rs.10/- each Fully paid up)	1,979.26	1,952.21
Total	1,979.26	1,952.21

Further Notes:

1. Terms/ rights attached to equity shares: There is no specific terms and rights attached to equity shares
2. Details of shareholders holding more than 5% shares in the Company

Particulars	As at	
	31st March 2025	31st March 2024
	No. of shares	No. of shares
	% of holding	% of holding
Equity shares of Rs.10/- each fully paid		
Hon'ble Governor, state of Karnataka(GoK)	1,97,92,62,300.00	1,95,22,12,300.00
	99.99%	99.99%

3. Reconciliation of Number and amount of share capital outstanding at the beginning and at the end of the reporting period.

Particulars	As at 31st March 2025		As at 31st March 2024	
	No. of Shares	Amount (Rs.)	No. of Shares	Amount (Rs.)
Shares outstanding at the beginning of the year	1,95,22,12,300.00	19,52,21,23,000.00	1,34,35,35,100.00	13,43,53,51,000.00
Shares Alloted during the year	2,70,50,000.00	27,05,00,000.00	60,86,77,200.00	6,08,67,72,000.00
Shares outstanding at the end of the year	1,97,92,62,300.00	19,79,26,23,000.00	1,95,22,12,300.00	19,52,21,23,000.00

Note 17A: Other Equity

Particulars	Amount (Rs. In Crores)	
	As at 31st March 2025	As at 31st March 2024
Retained earnings	(8,343.10)	(4,479.94)
Total comprehensive income / (loss) for the period	(5,476.14)	(3,863.16)
Share Application Money Received Pending Allotment	82.33	48.30
Total	(13,736.91)	(8,294.80)

Note 18 Long Term Borrowings

Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Secured Loans		
Term Loans From		
-Banks (Refer Note 18A below)	4,762.37	5,179.75
-Others (Refer Note 18A below)	5,842.75	3,186.54
Sub-Total	10,605.12	8,366.29
Unsecured Loans		
Term Loans From		
-Banks (Refer Note 18B below)	999.91	999.94
-Others (Refer Note 18B below)	3,088.24	1,661.19
Sub-Total	4,088.15	2,661.13
Total	14,693.28	11,027.43

18A: Secured Loans
Term Loans from Banks

		Amount (Rs. in Crs.)
State Bank of India (Term Loan - Capex)	1,061.31	1,200.37
Repayment within 13 years (including moratorium period of three years) payable in 40 quarterly instalment of Rs. 2.50 Crore each. Interest to be paid as and when due. Present ROI is 9.40% p.a. . First instalment paid on 30.06.2018.Exclusive charge on fixed asset of Bescom @ 110% of T.L (TL 100 Crs)	22.46	32.46
Repayment within 10 years (including moratorium period of two years) repayable in 32 quarterly instalment of Rs.6.25 Crore. First quarterly instalment paid on 30.06.2017. Interest to be paid as & when due. Present ROI is 9.40% p.a. Exclusive charge on fixed asset of Bescom @ 135% of T.L (TL 200 Crs)	-	6.16
Repayment within 10 years (including moratorium period of two years) repayable in 32 quarterly instalment of Rs.14.0625 Crore each. Interest to be paid as & when due.First instalment paid on 31.03.2018. Present ROI is @ 9.40%. P.a Exclusive charge on fixed asset of Bescom @ 135% of T.L (TL 450 Crs)	-	56.02
Repayment within 10 years (including moratorium period of 26 months) payable in 31 quarterly installments of Rs.4.92 Crs each & last installment of Rs,4.98 crs. Interest to be paid as & when due. Present ROI is 9.45% p.a. . First installment paid on November 2021.Exclusive charge on the project specific assets created out of above loan (TL 157.50 Crs)	36.54	56.23
Repayment within 15 years in 47 Quarterly installments of Rs.32.84 Cr each with last installment of Rs.32.52 Cr after a moratorium period of 38 months from the date of first disbursement. First installment paid on May 2024. Present ROI is 9.70% p.a. Exclusive charge of project specific assets with total value of Rs.2102.28 Crs created out of term loan.(TL 1576 Crs)	1,002.31	1,049.50
State Bank of India (Term Loan Working Capital)	593.61	718.63
The special long term transition loan for COVID-19 under liquidity injection package is utilized for clearance of power purchase dues of BESCOM towards CPSU Gencos , TRANSCOs , IPPs and RE Generators as on 31.03.2020 with an unconditional and irrevocable state Government Guarantee before disbursement. Repayment with in 10 years in 28 quarterly installments of Rs.31.25 Cr after a moratorium period of 38 month from the date of disbursement. First installment paid on Jan 2024. Present ROI is 9.40% p.a. Charge on the current Assets of the company with an unconditional and irrevocable Guarantee of Government of Karnataka for the exposure of the loan till the closure of the loan. (TL-WC 875 Crs)	593.61	718.63
Bank of India (Term loan Capex)	62.43	73.25
Bank of India - Repayment within 11 years including one year moratorium in 120 monthly installment of Rs. 0.90 Cr from the date of first disbursement . First installment paid on March 2022. Present ROI is 9.90% p.a. Exclusive charge on project specific assets of Rs.119.90 Crs	62.43	73.25

Canara Bank (Term Loan - Capex)	381.40	506.57
Repayment within 13 years (including moratorium period of three years) payable in 40 quarterly instalment of Rs. 9.25 Crore each. Interest to be paid as & when due. ROI is @ 9.45% with annual reset. First Instalment paid on 24.01.2017. Hypothecation of fixed assets of the company project Assets at Rs.417.09 Crs	45.58	82.58
Repayment within 10 years (including moratorium period of two years) payable in 31 quarterly instalment of Rs. 4.56 Crore each and last installment of Rs.2.28 Crores. Interest to be paid as & when due. ROI is @ 9.45% p.a. First installment paid on Oct 2020. Hypothecation of assets created out of the proposed Term Loan of Rs.159.60 Crs.	43.20	61.44
Repayment within 10 years (no moratorium period) payable in 120 monthly instalment of Rs. 2.50 Crore each. Interest to be paid as & when due. ROI i.e 9.80% p.a. First installment paid on Nov 2018. Hypothecation of assets created out of the Project of Rs.350.00 crores.	89.50	119.50
Repayment within 13 years (including moratorium period of three years) payable in 119 monthly instalment of Rs.2.22 Crore each & last installment of Rs.2.18 crores. Interest to be paid as & when due. ROI is @ 9.60% p.a. First installment paid on April 2022. Hypothecation of assets created out of the Project 299.75 Crores.	158.74	184.85
Repayment within 10 years (without moratorium period) payable in 119 equal monthly instalment of Rs. 1.15 Crore each and last installment of Rs.1.12 Crores. Interest to be paid as & when due. Present ROI is 9.85% p. a. First Instalment paid on Sept 2020. Hypothecation of project assets created out of proposed term loan.	44.39	58.19
Canara Bank (Term Loan Working Capital)	2,029.01	1,945.73
The special long term transition loan for COVID-19 under liquidity injection package is utilized for clearance of power purchase dues of BESCOM towards CPSU Gencos, TRANSCOs, IPPs and RE Generators as on 31.03.2020 with an unconditional and irrevocable state Government Guarantee before disbursement. Repayment within 10 years (including moratorium period of 3 years) in 28 equal quarterly installment of Rs.37.50 Cr. Interest to be paid as & when due. Present ROI is 9.10% p.a. (TL WC 1050 Crs) First installment paid on Feb 2024 Security charge on current Assets of the Company along with Guarantee by Karnataka Government of the exposure till tenure of the loan.	712.50	862.50
Repayment within 3 years (no moratorium) Principal instalment is payable in equal 36 monthly installments of Rs.5.56 Crs. The rate of interest @ 9.25%. First installment paid on July 2023. (MTL 200 Crs) Secured by way of hypothecation of receivables of the company on paripassue basis with other lenders.	16.51	83.23
The tenure of loan will be 12 years (including 2 year moratorium period). The term of repayment in 40 quarterly installment of Rs.25 crs each. Interest to be paid as and when due. Present ROI is 9.25% p.a. First installment will be paid on April 2026 Secured by specified fixed assets with security coverage of 1X. along with Guarantee by Karnataka Government of the exposure till tenure of the loan	1,000.00	1,000.00
The tenure of loan will be 11 years 6 months including a Moratorium Period of 1 year 6 months. Present ROI is 9.15% p.a. Entire loan will be repaid in 10 years 40 quarterly installment of Rs. 7.50 crore each (after initial moratorium period of 1 year 6 months). First installment will be paid on September 2026 Security 1st pari-passu hypothecation charge on receivables of the company. Collateral: Nil Others: Unconditional and Irrevocable State Govt Guarantee for entire tenor of the loan	300.00	-
Bank of Maharashtra (Capex)	139.65	173.57
The tenure of loan will be 11 years (including 1 year moratorium period). The term of repayment in 40 quarterly installment of Rs.4.975 crs each. Interest to be paid as and when due. Present ROI is 9.60% p.a. First installment paid on September 2020 Securities : Exclusive 1st charge on all fixed assets to be purchased out of the loan	84.43	104.35
The tenure of loan will be 11 years (including 1 year moratorium period). The term of repayment in 40 quarterly installment of Rs.3.50 crs each. Interest to be paid as and when due. Present ROI is 9.60% p.a. First installment paid on September 2020. Securities : Exclusive 1st charge on all fixed assets to be purchased out of the loan	55.22	69.23

Bank of Baroda (Term loan-Capex)	60.67	83.27
The term of repayment in 36 quarter, 35 quarterly instalment of Rs.3.36Crs per quarter and Rs.3.30Crs in 36th quarter after initial moratorium period of 24 months first instalment paid on July 2020. Present ROI is @ 9.00% p.a. (TL 120.90 Crs) Hypothecation of project assets.	36.77	50.23
The tenure of loan is 13 years including 3 year moratorium period. The term of repayment in 40 equal quarterly installment of Rs. 2.2865 Crores. First instalment paid on Nov 2021. Interest to be serviced as & when due. Present ROI is @ 8.85% p.a. First charge on the assets to be created out of the project cost of Rs.101.63 Crore with margin of 10%	23.89	33.04
Indian Bank (Term loan Capex)	434.30	478.35
Indian Bank : Repayment within 15 years in 144 equal monthly installments commencing after an initial period of 3 years. Interest to be serviced monthly. First installment of Rs. 4.64 Crs paid on April 2024. Present ROI is 10.10% p.a. Hypothecation of project assets of Rs.742.34 Crs	434.30	478.35
Sub-Total	4,762.37	5,179.75
Term Loans from Others		
Karnataka Urban Infrastructure Development and Finance Corporation Limited (KUIDFC)	163.87	213.87
Karnataka Urban Infrastructure Development and Finance Corporation Limited (KUIDFC) The term of repayment in 10 years including moratorium period of 2 years in 32 equal quarterly installment of Rs. 12.50 Crs each. First installment paid on June 2022. Interest to be paid as and when due. Rate of Interest @ 6.50% p.a Security - Hypothecate of project assets of Rs.830.45 Crs	163.87	213.87
RAPDRP PFC (B)	58.73	58.73
PFC-RAPDRP (Part-B) The tenure of loan will be 20 years including moratorium period of 5 years. The interest and interest tax on the said loan shall be borne by the Utility and shall begin to accrue from the date of release of loan by Ministry of Power to PFC.If the distribution utilities achieve the target of 15% AT&C loss on a sustained basis for a period of 5 years in the project area and the projected is completed with in time schedule fixed by the steering comitee loan will be convertible into grant Secured by way of hypothecation on the newly finance assets under the project as securities for loan.	58.73	58.73
RAPDRP PFC (B) (Counter part Funding)	53.92	65.91
The loan shall be repaid in 60(SIXTY) equal quarterly instalments .The first instalment of Rs.2.60 crore was paid on 15.10.2015 and current installment amounts to Rs.2.99 crs. ROI @ 10.85% p.a Secured by way of hypothecation on the newly finance assets under the project as securities for loan.	53.92	65.91
REC (TL) NJY Phase 2	28.64	57.29
Repayment with in 13 years (including moratorium period of 3 years) principal instalment is repayable in annual instalments. First instalment of Rs.25.61 crores was paid on 15.03.2018.The rate of interest @ 10.00% p.a - 10.86% p.a Secured by way of hypothecation of all assets created under the loan.	28.64	57.29
REC (TL) DTC Metering	15.39	30.78
Repayment with in 13years (including moratorium period of 3 years) principal instalment is payable in annual instalments and on 15 th of the month in which the first disbursement was made. First installment of Rs.15.39 crores was paid on 15.03.2018. The rate of interest @ 10.10% p.a - 10.86% p.a Secured by way of hypothecation of all assets created under the loan.	15.39	30.78
REC (TL) HVDS Phase 1	45.64	68.47
Repayment with in 13years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. First instalment of Rs.7.87 crores paid on April 2018. The rate of interest @ 10.00 % p.a - 10.61% p.a Secured by way of hypothecation of all assets created under the loan.	45.64	68.47
REC (TL)JUAIP	50.56	75.84
Repayment within 13years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. First instalment of Rs.23.80 crores paid on Sept 2018. The rate of interest @ 10.00% p.a - 10.86 % p.a 'Secured by way of hypothecation of all assets created under the loan.	50.56	75.84

REC (TL) General Capex	2,660.71	776.88
Repayment within 13years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments First instalment of Rs.29.76 crores paid on Nov 2018.The rate of interest @ 10.10% p.a -10.86 % p.a Secured by way of hypothecation of all assets created under the loan.	64.78	97.17
Repayment within 10 years (no moratorium).Principle instalment is payable in equal 120 monthly instalments. The rate of interest @ 10.25% p.a - 10.51% p.a. First installment paid on September 2021. Secured by way of hypothecation of all assets created under the loan.	218.27	258.56
Repayment within 10 Years (no moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 10.25% p.a First installment of Rs. 1.45 Crs paid on April-2023. Secured by way of hypothecation of all assets created under the loan.	123.19	140.58
Repayment with in 10 Years (no moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 10.25% p.a First installment of Rs. 2.89 Crs paid on April-2023. Secured by way of hypothecation of all assets created under the loan.	245.86	280.57
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.78% p.a First installment of Rs. 2.41 Crs will be paid on Feb 2027. Secured by way of charge on capital assets	289.08	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.78% p.a First installment of Rs. 3.75 Crs will be paid on Feb 2027. Secured by way of charge on capital assets	449.86	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.78% p.a First installment of Rs. 3.37 Crs will be paid on Mar 2027. Secured by way of charge on capital assets	404.07	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.78% p.a First installment of Rs. 3.15 Crs will be paid on Mar 2027. Secured by way of charge on capital assets	377.35	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.75% p.a First installment of Rs. 3.15 Crs will be paid on Oct 2026. Secured by way of hypothecation of all assets created under the loan.	214.61	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.75% p.a First installment of Rs. 3.15 Crs will be paid on Nov 2026. Secured by way of hypothecation of all assets created under the loan.	136.95	-
Repayment within 12 Years (including 02 moratorium). Principal instalment is payable in equal 120 monthly instalments . The rate of interest @ 9.75% p.a -9.78% p.a First installment of Rs. 3.15 Crs will be paid on Nov 2026. Secured by way of hypothecation of all assets created under the loan.	136.68	-
REC (TL) Static meter	31.75	42.33
Repayment within 13years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments.First instalment paid in December 2019. The rate of interest @ 10.00 % p.a- 10.86% p.a Secured by way of hypothecation of all assets created under the loan.	31.75	42.33
REC RGGVY 12th Plan	3.05	3.41
Repayment with in 20 years (including moratorium period of 5 years) principal instalment is payable in equal annual instalments First instalment paid on October 2021. The rate of interest @ 10.08% p.a - 10.59% p.a Secured by way of hypothecation of all assets created under the loan.	3.05	3.41
REC-(TL) NJY Phase 3	305.01	380.93
Repayment within 13 years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. First instalment paid on December 2020. The rate of interest @ 10.00 % . p.a -11.10% p.a Secured by way of hypothecation of all assets created under the loan.	305.01	380.93
REC-(TL) HVDS Phase 2	67.29	84.11
Repayment within 13 years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments and on 15 th of the month in which the first disbursement was made. First instalment paid on December 2020. The rate of interest @ 9.84 % p.a Secured by way of hypothecation of all assets created under the loan.	67.29	84.11
REC-(TL) IPDS Project	90.00	103.74
Repayment within 13 years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. The rate of interest @ 9.25% p.a - 10.35% p.a First instllment due on March 2023. Secured by way of hypothecation of all assets created under the loan.	90.00	103.74

REC-(TL) UNIP Project	726.40	583.40
Repayment within 13 years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. The rate of interest @ 9.84 % p.a. First installment due on Jan 2023. Secured by way of hypothecation of all assets created under the loan.	500.06	583.40
Repayment with in 12 years (including moratorium period of 2 years) principal instalment is payable in equal annual instalments. The rate of interest @ 10.25 % p.a. First installment due on June 2026.(UNIP 270 Crs) Secured by way of hypothecation of all assets created under the loan.	226.35	-
REC-(TL) DDUGJY Project	42.78	49.84
Repayment within 13 years (including moratorium period of 3 years) principal instalment is payable in equal annual instalments. The rate of interest @ 9.25% p.a - 9.63 % p.a. First installment due on Dec 2022. Secured by way of hypothecation of all assets created under the loan.	42.78	49.84
REC- Smart City	126.98	150.07
REC Smart City Repayment within 10 years (no moratorium) Principal instalment is payable in equal 120 monthly installments. The rate of interest @ 10.51% p.a. First installment paid on Oct 2021. Secured by way of hypothecation of all assets created under the loan.	126.98	150.07
REC- IT Phase II & ERP	32.95	44.94
RECIPDS / IT-Phase II and ERP works Repayment within 7 years including 2 Years moratorium. Principal instalment is payable in equal 60 monthly installments. The rate of interest @ 10.25% p.a -10.51% p.a. First installment due on Nov 2024. Secured by way of hypothecation of all assets created under the loan.	32.95	44.94
REC-Metering Works (Capex)	237.90	187.65
REC Metering Works (Capex) -BMAZ Area Repayment within 12 years (2 years moratorium period) Principal instalment is payable in equal 120 monthly installments. The rate of interest @ 11.25% p.a. First installment due on Jan-2026. Secured by way of hypothecation of all assets created under the loan.	237.90	187.65
REC- CapEx works- DAS Upgradation.	7.05	-
Repayment with in 12 years (including moratorium period of 2 years) principal instalment is payable in equal annual instalments. The rate of interest @ 9.78 % p.a. First installment due on Oct 2026. Secured by way of hypothecation of all assets created under the loan.	7.05	-
Loan from REC towards CapEx works- Industrial Feeder.	35.79	-
Repayment with in 12 years (including moratorium period of 2 years) principal instalment is payable in equal annual instalments. The rate of interest @ 9.75 % p.a. First installment due on March 2027. Secured by way of hypothecation of all assets created under the loan.	35.79	-
Loan from REC (Long term Working Capital loan)	1,058.33	708.37
Repayment within 3 years (no moratorium) Principal instalment is payable in equal 36 monthly installments of Rs.8.33 Crs. The rate of interest @ 10.50%. First installment paid on June 2023. (MTL 300 Crs) Secured by way of charge on capital assets	16.67	116.71
Repayment within 3 years (no moratorium) Principal instalment is payable in equal 36 monthly installments of Rs.4.17 Crs. The rate of interest @ 10.00%. First installment paid on Feb 2024. (MTL 150 Crs) Secured by way of charge on capital assets	41.67	91.67
Repayment within 10 years (2 Years moratorium) Principal instalment is payable in equal 96 monthly installments of Rs.5.21 Crs. The rate of interest @ 9.87%. First installment due on Jan 2027. (Special Term Loan 500 Crs) Secured by way of charge on capital assets	500.00	-
Repayment within 10 years (2 Years moratorium) Principal instalment is payable in equal 96 monthly installments of Rs.5.21 Crs. The rate of interest @ 9.87%. First installment due on Jan 2027. (Special Term Loan 500 Crs) Secured by way of charge on capital assets	500.00	-
Sub-Total	5,842.75	3,686.54
Total	10,605.12	8,366.29

18B : Unsecured Loans		Amount (Rs. in Crs.)	
Term Loans From Bank			
Bank of Maharastra (Term Loan Working Capital)	999.91	999.94	
The tenure of loan will be 14 years (including 4 year moratorium period). The term of repayment in 120 monthly installment of Rs.8.334 crs each. Interest to be paid as and when due. Present ROI is 9.60% p.a. First installment paid on January 2027 Secured by Guarantee from Government of Karnataka.	999.91	999.94	
Sub-Total	999.91	999.94	
Term Loans From Government			
Sovereign loan from Asian Development Bank (ADB).	834.37	660.25	
ADB Soveriegn Loan : Loan for implementation of Bengaluru Smart Energy Efficient Power Distribution Project. To repay the loan of One hundred Million Dollar to the State Government to enable the State Government to repay the same to ADB through GOI. The loan to be recovered in 18 years in installments after moratorium period of initial nine years. Government Guarantee provided for \$100 M USD. BESCOM has recieved Rs.777.02 Crores from Government of Karnataka towards ADB Sovereign Loan . The loan amount has been subsequently raised by Rs.57.35 Crores to account for Forex variation. Hence the total outstanding loan as on 31.03.2025 is Rs.834.37 Crores.	834.37	660.25	
Interest free loan from Govt(Long term Working Capital loan)	0.94	0.94	
Government of Karnataka has released interest free loan to BESCOM towards payment to power suppliers for supply of power to State Grid during 2008-09. Repayment :No terms & Condition given	0.94	0.94	
Term Loans From Others			
Loan from HUDCO under LPS- 2022 Scheme	974.60	500.00	
Housing and Urban Development Corporation Limited (HUDCO) The term of repayment in 11 years 11 months including 3 months moratorium period of 20 months 120 monthly installments Interest to be paid as and when due. Rate of Interest @ 9.75% p.a -10.20% p.a First installment will be paid on Jan-2026 Security - Government Guarantee	974.60	500.00	
Loan from REC (Long term Working Capital loan)	1,278.33	500.00	
Repayment within 14 years (4 Years moratorium) Principal instalment is payable in equal 120 monthly installments of Rs.4.17 Crs. The rate of interest @ 10.25%. First installment due on Jan 2026. (LPS 500 Crs) Secured GOK Guarantee	491.67	500.00	
Repayment within 14 years (4 Years moratorium) Principal instalment is payable in equal 120 monthly installments of Rs.4.17 Crs. The rate of interest @ 9.50%. First installment due on Jan 2026. (LPS 500 Crs) Secured GOK Guarantee	491.67	-	
Repayment within 14 years (4 Years moratorium) Principal instalment is payable in equal 120 monthly installments of Rs.2.50 Crs. The rate of interest @ 9.50%. First installment due on Jan 2026. (LPS 300 Crs) Secured GOK Guarantee	295.00	-	
Sub-Total	3,088.24	1,661.19	

Note 19 Trade Payables

Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Sundry Creditors for Purchase of Power	606.96	2,221.93
Total	606.96	2,221.93

Note 20 Other Non- Current Financial Liabilities

Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Other Deposits from Consumers	328.27	316.89
Security Deposit from consumers:	6,002.24	5,369.97
Advance Power charges	428.27	328.05
Deposit for new service connections.	30.86	30.78
Total	6,789.64	6,045.69

Note 21 Long Term Provisions

Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Provision for Employee Benefits		
Provision for Family Benefit Fund (FBF)	46.05	44.34
Total	46.05	44.34

Note 22 Deferred Income

Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Contributions and grants towards cost of Capital assets		
Opening Balance	4,947.83	4,463.20
Add: Additions during the year	963.87	779.83
	5,911.70	5,243.03
Less: Reversal of depreciation	(301.26)	(295.20)
Closing Balance	5,610.44	4,947.83
Subsidies received from REC towards RGGVY scheme		
Opening Balance	71.94	75.95
Add: Additions during the year	-	-
	71.94	75.95
Less: Reversal of depreciation	(3.80)	(4.01)
Closing Balance	68.14	71.94
Grants towards cost of Capital Assets/regularisation of unauthorised IP set installations received from Government		
Opening Balance	82.51	87.14
Add: Additions during the year	-	-
	82.51	87.14
Less: Reversal of depreciation	(4.36)	(4.63)
Closing Balance	78.15	82.51
Subsidies / Grants released by GOI through REC for executing RGGVY scheme (12th Plan)		
Opening Balance	36.06	38.07
Add: Additions during the year	-	-
	36.06	38.07
Less: Reversal of depreciation	(1.90)	(2.01)
Closing Balance	34.16	36.06

Grants received towards IPDS Project.

Opening Balance	210.70	222.44
Add: Additions during the year	-	-
	210.70	222.44
Less: Reversal of depreciation	(11.12)	(11.75)
Closing Balance	199.57	210.70

Grants received towards IPDS Project Phase-II

Opening Balance	23.99	38.94
Add: Additions during the year	-	-
	23.99	38.94
Less: Reversal of depreciation	(3.36)	(14.95)
Closing Balance	20.63	23.99
Grants received towards DDUGJY.		
Opening Balance	113.47	119.79
Add: Additions during the year	-	-
	113.47	119.79
Less: Reversal of depreciation	(5.99)	(6.33)
Closing Balance	107.48	113.47
Grants received from Small Irrigation and Underground Water Development Department towards Agriculture Feeder Separation (Segregation) under Atal Bhujal Yojana		
Opening Balance	-	-
Add: Additions during the year	5.67	-
	5.67	-
Less: Reversal of depreciation	-	-
Closing Balance	5.67	-
Total Deferred Income	6,124.23	5,486.49
Total Deferred Income	6,124.23	5,486.49

Note 23 Other Non Current Liabilities
Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Deposit Contribution Work		
i) Deposit Contribution Work (Local bodies, Various development Corporations)	780.22	547.13
ii) Deposit Works (Consumers)	105.56	103.97
Total	885.78	651.10

Note 24 Short Term Borrowings
Amount (Rs. in Crs.)

Particulars	As at 31st March 2025	As at 31st March 2024
Secured		
Bank of Baroda	1,500.00	1,500.00
Overdraft converted to Working capital demand loan for 3 months . Rollover/repayable at the end of every 3 months. Interest to be serviced monthly. Present ROI is 9.45% p.a. (OD to WCDL 500 Crs)	500.00	500.00
Floating charge on Receivables/ Book debts of the Company		
Overdraft converted to Working capital demand loan for 6 months . Rollover/repayable at the end of every 6 months. Interest to be serviced monthly. Present ROI is 9.45% p.a. (OD to WCDL 1000 Crs).	1,000.00	1,000.00
Floating charge on Receivables/ Book debts of the Company		
Union Bank of India (erstwhile Corporation Bank).	250.00	250.00
Union Bank of India (Line of Credit)-250 Crs		
To meet the temporary mismatch in cash flow operational requirements. Interest to be serviced monthly. Tenure of the loan is 6 months from the date of availment. Present ROI is 9.05% p.a	250.00	250.00
Securities: Charge on Company's receivables to the extent of 110% of the limit sanctioned.		

State Bank of India(STL)	400.00	400.00
State Bank of India (OD to WCDL 400 Crs) Overdraft converted to Working capital demand loan for 3 months. Rollover/repayable at the end of every 3 months. Interest to be serviced monthly and present ROI is 9.20% p.a. Charge on Current Assets/ Company's receivables to the extent with a margin of 10%. Floating charges on Book debts to be registered to the extent of 110% of the limit sanctioned.	400.00	400.00
Loan from State Canara Bank- STL.	810.00	810.00
Canara Bank (OD to WCDL 810 Crs) Overdraft converted to Working capital demand loan for 3 months . Rollover/repayable at the end of every 3 months. Interest to be serviced monthly. Present ROI is 9.20% p.a. Securities : Floating charge on Current Assets of the Company	810.00	810.00
Loan from REC (STL)	119.99	120.00
Line of credit by way of Short term loan for working capital requirement to fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.75% p.a (120 Crs) Security: Assets hypothecated to the extent of Rs. 161.24 crs.	119.99	120.00
Sub-Total (i)	3,079.99	3,080.00
Un-Secured		
Bank of India-STL	300.00	299.98
Bank of India (Line of Credit)-300 Crs Line of credit by way of Short term loan for working capital requirement to fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.05% p.a Security : Nil	300.00	299.98
Loan from REC (STL)	1,449.99	700.00
Line of credit by way of Short term loan for working capital requirement to fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.75% p.a (600 Crs)	600.00	600.00
Line of credit by way of Short term loan for working capital requirement to fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.75% p.a (400 Crs)	400.00	50.00
Line of credit by way of Short term loan for working capital requirement to fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.75% p.a (450 Crs)	449.99	50.00
Loan from PFC under RBPF- STL	499.99	500.00
PFC RBPF -STL 500 Crs Revolving Bill payment facility by way of Short term loan for fund mismatch in cash flow. Tenor of the loan is 6 months and to be repaid within a maximum period of 6 months. Present ROI is 9.75% p.a (500 Crs)	499.99	500.00
Sub-Total (ii)	2,249.98	1,499.98
Overdrafts		
Bank of Baroda - OD limit Rs 300 crore	211.35	286.94
Canara Bank - OD limit Rs 540 crore	354.65	379.59
Bank of India - OD limit Rs 200 crore	99.59	180.94
State Bank of India - OD limit Rs 100 crore	34.09	62.20
Sub-Total (iii)	699.68	909.68
Current maturities of long term debts		
REC	637.90	609.77
KUIDFC	50.00	50.00
PFC	11.98	11.98
HUDCO	25.00	-
KREDL	100.00	-
KRIDL	250.00	-
Bank of Maharashtra	33.90	108.72
Canara Bank	341.88	341.92
Bank of Baroda	22.59	22.59
Indian Bank	55.68	55.68
State Bank of India	348.18	367.29
Bank of India	10.80	10.80
Current maturities of long term debts	1,687.92	1,578.75
Total	7,917.57	7,068.40

Note 19A Trade Payables

Particulars	Amount (Rs. in Crs.)	
	As at 31st March 2025	As at 31st March 2024
Sundry Creditors for Purchase of Power	10,132.91	11,693.55
Total	10,132.91	11,693.55

Note 19 Trade Payables (Non-current)

FY 2024-25

Amount (Rs. in Crs.)

Trade Payables ageing schedule-Sundry creditors outstanding for following periods from due date of payment					
Particulars	Less than 1 year	1-2 Year	2-3 Years	More than 3 years	Total
a) MSME	-	-	-	-	-
b) Others	606.96	-	-	-	606.96
c) Disputed dues-MSME	-	-	-	-	-
d) Disputed dues -others	-	-	-	-	-
Total FY 2023-24	606.96	-	-	-	606.96

Note 19 Trade Payables (Non-current)

FY 2023-24

Amount (Rs. in Crs.)

Trade Payables ageing schedule-Sundry creditors outstanding for following periods from due date of payment					
Particulars	Less than 1 year	1-2 Year	2-3 Years	More than 3 years	Total
a) MSME	-	-	-	-	-
b) Others	2,221.93	-	-	-	2,221.93
c) Disputed dues-MSME	-	-	-	-	-
d) Disputed dues -others	-	-	-	-	-
Total FY 2022-23	2,221.93	-	-	-	2,221.93

Note 19A Trade Payables (Current)

FY 2024-25

Amount (Rs. in Crs.)

Trade Payables ageing schedule-Sundry creditors outstanding for following periods from due date of payment					
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
a) MSME	74.82	-	-	-	74.82
b) Others	9,184.16	-	873.93	-	10,058.09
c) Disputed dues-MSME	-	-	-	-	-
d) Disputed dues -others	-	-	-	-	-
Total FY 2024-25	9,258.98	-	873.93	-	10,132.91

Note 19A Trade Payables (Current)

FY 2023-24

Amount (Rs. in Crs.)

Trade Payables ageing schedule-Sundry creditors outstanding for following periods from due date of payment					
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
a) MSME	263.39	-	-	-	263.39
b) Others	10,876.07	-	443.10	110.99	11,430.16
c) Disputed dues-MSME	-	-	-	-	-
d) Disputed dues -others	-	-	-	-	-
Total FY 2023-24	11,139.46	-	443.10	110.99	11,693.55

Note 25 Other Current Financial Liabilities**Amount (Rs. in Crs.)**

Particulars	As at 31st March 2025	As at 31st March 2024
Interest due on loans from commercial banks	0.00	49.70
Interest accrued but not due on loans	80.73	55.09
Deposits from Suppliers, Contractors Etc.		
Security Deposits in cash from Suppliers / Contractors	29.22	27.92
Security deposit other than in cash from suppliers / contractors	0.27	0.19
Advance consumption charges LT & HT	127.55	132.55
Other Payables		
Stale Cheques	0.53	1.14
Retention Money - Bill amount retained	185.66	297.21
Draught relief fund	0.92	0.92
Miscellaneous Deposits/Other liabilities	56.27	35.53
Contribution received by BESCOM against compensation to the victims of Electrical accidents	0.07	0.07
(a) Interest amount earned from unutilised portion of RGGVY 12th plan funds - payable to REC	-	0.01
(b) Interest amount earned from unutilised portion of IPDS funds -payable to PFC	-	0.14
(c) Interest Earned From unutilised portion of DDUGJY fund -Payable to REC	-	0.00
Creditors/Liabilities for supplies / works	876.55	959.19
Outstanding Liability- for Expenses	126.30	313.32
Statutory Payables	107.92	202.80
Payable to other ESCOMs	63.49	56.21
Payable to other ESCOMs related to Power Purchase dues- Pending Reconciliation.	79.24	-
Unpaid Salaries.	0.00	0.00
Unpaid Bonus.	0.00	0.00
Salary payable.	12.32	8.52
Bonus payable.	0.11	0.13
Ex-gratia payable.	9.89	10.03
Sub-total	1,757.06	2,150.66
Less: Write-back of doubtful payables	(10.81)	(16.35)
Total	1,746.25	2,134.31

Note 26 Short Term Provisions*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Provision for Leave Encashment.	8.05	20.04
Total	8.05	20.04

Note 27 Current Tax Liabilities*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Provision for Income-Tax.	152.09	152.09
Less: Advance Tax (Various Years)	114.79	119.92
Less: TDS and TCS Receivables	16.39	17.06
Net Current Tax Liability	20.91	15.11

Note 28 Other Current Liabilities*Amount (Rs. in Crs.)*

Particulars	As at 31st March 2025	As at 31st March 2024
Levies / fees payable to GoK	937.29	75.44
Interest on consumer security deposits	312.52	264.54
Inter Unit Accounts (Net)	41.03	40.62
Excess Credit afforded by Bank (Cr)	0.54	0.52
Total	1,291.38	381.12

Note 29 Revenue from operations

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Sale of Power LT category	21,064.25	20,575.82
Sale of Power HT category	10,673.51	10,805.47
Less : Provision for withdrawal of Revenue Demand	58.08	37.09
Less : Withdrawal of revenue demand as credit adjustment.	83.36	85.19
Less :Credit Adjustment through Balance Transfer system	46.03	5.98
Total (A)	31,550.30	31,253.02
Other Operating Income		
Reconnection Fee (D & R)	0.00	0.01
Public Lighting Maintenance Charges.	-	-
Service Connection	131.86	133.36
Other Receipts from consumers.	51.32	36.85
Delayed payment charges from consumers	634.07	611.20
Registration fee towards SRTPV connection (Solar rooftop PV system.	2.42	1.36
Facilitation fee towards SRTPV connection (Solar rooftop PV system).	0.01	0.00
Fuel and Power Purchase Cost Adjustments.	465.49	1,745.56
Recoveries for theft of power.	16.93	(3.24)
Meter Rent Collected from Prepaid Consumer.	10.06	14.81
Income from sale of Renewable Energy Certificates/ ECERTS by Energy Exchanges.	1.25	3.62
Income received on REC Sale proceeds.	30.26	76.77
Revenue from sale of power through Indian Energy Exchange (IEX).	-	1.51
Total (B)	1,343.67	2,621.81
Total (A)+(B)	32,893.97	33,874.83
Grand Total	32,893.97	33,874.83

Note 30 Other Income

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Interest Income :	15.14	16.81
Profit/(Loss) on sale of stores	0.33	0.00
Gain on sale of Property, Plant & Equipments	31.43	19.76
Rent.	5.38	3.74
Incentives received.	29.82	21.73
Value of materials found excess during physical verification	0.01	0.01
Miscellaneous	32.20	36.84
Interest received from Income Tax department on Income tax refund	0.26	6.52
Interest subsidy received under National Electricity Fund Scheme	39.69	55.08
Rental income from cable operators : One time charges	0.00	0.01
Total	154.27	160.51

Note 31 Purchase of Power

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Power Purchase Cost	29,833.43	30,244.23
Less:- Energy balancing between ESCOMs		
Revenue from sale of power - HESCOM -Energy balancing at IF point and above 33KV.	299.85	936.76
Revenue from sale of power - GESCOM -Energy balancing at IF point and above 33KV.	77.90	-
Revenue from sale of power - MESCOM -Energy balancing at IF point and above 33KV.	288.65	134.78
Revenue from sale of power - CESC -Energy balancing at IF point and above 33KV.	-	202.47
Revenue from Inter-ESCOM exchange of energy cahrges 11KV & LT - CESC	-	4.67
Total	666.40	1,278.68
Less:Incentives received under Phase- II of Rooftop Solar Programme to Solar Energy Corporation of India (SECI)	-	(2.27)
Grand Total	29,167.03	28,963.28

Note 32 Other Operating Expenses

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Repairs and maintenance - plant and machinery	214.92	140.18
Buildings.	7.14	9.85
Civil works (Pipeline, Sewage, drainage and water supply)	3.21	5.76
Repairs and maintenance - buildings	10.35	15.61
Lines, Cable Net Work Etc.	186.27	175.55
Vehicles.	0.72	0.82
Furniture and Fixtures	0.00	0.01
Office Equipments.	2.59	6.98
R & M charged to Capital Works (Credit account)	0.00	-
Repairs and maintenance - others	189.59	183.36
Vehicle running expenses	4.69	4.79
Freight charges	-	-
Expenditure incurred towards BESCO portion of cost for replacement / creation of asset in KPTCL transmission infrastructure.	-	25.69
Total	419.55	369.63

Note 33 Employee Benefits Expenses

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
A) Salaries and Wages		
Salaries	1,087.93	887.27
Over Time	17.04	12.46
Dearness Allowance	220.93	334.67
Other Allowances	197.94	179.15
Payment to helpers/employees of Mazdur gang.	0.85	0.83
Sub Total	1,524.70	1,414.38
B) Bonus/ Exgratia	10.01	10.15
C) Terminal Benefits	560.72	550.40
D) Other Employee benefits		
Medical Expenses reimbursement	22.51	18.06
Leave travel assistance.	0.00	0.00
Earned Leave Encashment - For employees covered under Contributory Pension Scheme	65.02	33.94
Earned leave encashment.	28.75	11.03
E.L. Encashment - Retirement / Deceased Employees	17.79	23.87
Sub Total	134.07	86.91
E) Staff Welfare expenses	3.93	2.45
F) Workmen compensation		
Payment under workmens' compensation Act	0.40	0.57
Total	2,233.83	2,064.86
Add:-Employees cost charged to capital works (Debit Account)	0.01	-
Total	2,233.84	2,064.86

Note 34 Finance Cost

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Interest on Loans	1,826.48	1,451.65
Guarantee Commission to GoK	59.85	38.53
Interest capitalised on capital borrowings	(22.01)	(6.13)
Interest to Consumers	367.93	238.57
Loss on Exchange Rate Variation.	57.67	-
Less: Prompt Payment incentive received for payment within due date.	(1.41)	(1.69)
Total	2,288.51	1,720.93

Note 35 Depreciation and Amortization Expense

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Depreciation on Buildings.	18.76	16.39
Depreciation on Civil works (pipeline, sewerage, drainage, water supply etc.,)	0.38	0.38
Depreciation on Other Civil Works	0.65	0.34
Depreciation on Plant and Machinery.	284.20	270.28
Depreciation on lines, cable, network etc.	1,252.19	1,164.00
Depreciation on Vehicles.	4.55	3.19
Depreciation on furniture, fixtures.	1.75	1.52
Depreciation on Office equipments.	2.36	1.95
Amortisation on intangible assets.	14.94	7.14
Depreciation charged on released material intended to re use.	3.61	3.44
Amortisation of Lease Hold Assets.	(0.11)	0.36
Total	1,583.30	1,468.99
Less: Depreciation Withdrawn from contributions / subsidies as per Ind AS 20	(331.80)	(338.87)
Total Depreciation and Amortization for the year	1,251.49	1,130.12

Note 36 Other Expenses

Amount (Rs. in Crs.)

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Rent expense	29.00	30.97
Postage stamps & Telephone charges	7.41	7.53
Remuneration to contract agencies	360.73	335.98
Professional, legal and consultancy	11.93	8.04
Conveyance & Travel expenses	74.51	69.35
Fees & Subscriptions.	36.63	7.11
Printing & Stationery.	7.21	6.06
Advertisement Expenses.	7.88	19.88
Computer stationary	1.04	1.15
Contributions.	2.61	0.54
Electricity Charges.	7.41	7.17
Miscellaneous including provisions		
Rates & Taxes.	10.81	2.99
Water Charges	0.93	1.52
DSM Expenses	0.29	0.64
Miscellaneous expenses.	21.03	12.61
Details of Payments to Auditors (including legal & Professional charges)		
a) Audit Fees		
- Statutory Audit Fees	0.43	0.16
- Tax Audit Fees	-	-
- GST	-	-
Expenses towards CSR- (Corporate Social Responsibilities)	-	-
Less:-Other Expenses charged to capital works (Credit Account)	(2.01)	(1.15)
Sub total -1	577.86	510.57
Small & Low value items Written off.	0.19	0.47
Asset decommissioning cost.	(0.19)	0.11
Losses on sale of Property, Plant & Equipments	1.60	1.64
Sub total -2	1.60	2.21
Bank charges	10.23	19.24
Sub total -3	10.23	19.24
Provision against receivables	5.54	29.37
Miscellaneous losses and Write offs including provisions	10.09	(33.04)
Amount paid to Contractor/ Vendor as compensation.	-	0.28
Provision made against infructuous capital expenditure for Project abandoned	-	3.59
Material cost variance	48.50	(20.86)
Sub total -4	64.13	(20.67)
Interest on belated payment for power Purchase	1,156.39	24.22
Bad & Doubtful Debts provided for - Dues from consumers	25.12	(97.84)
Bad & Doubtful Debts provided for - Others	18.16	28.22
Sub total -5	1,199.67	(45.40)
Total (Sub total 1+2+3+4+5)	1,853.49	465.96

Note 37 Exceptional Item*Amount (Rs. in Crs.)*

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Bad Debts Written off - Dues from consumers.	1,371.44	969.02
TOTAL	1,371.44	969.02

Note 38 Net Movement in Regulatory deferral account balances related to profit or loss*Amount (Rs. in Crs.)*

Particulars	For the Year Ended 31st March 2025	For the Year Ended 31st March 2024
Regulatory deferral account	(202.23)	(2,382.41)
TOTAL	(202.23)	(2,382.41)

Bangalore Electricity Supply Company Limited

Note 39: General Notes to Financial Statements for FY 2024-25

39.1.1 Share Capital

Government of Karnataka has disbursed **Rs. 1,979.27** crores since the incorporation of the company towards Share Capital: (Refer 'Statement of Changes in Equity' "A" and Note no. 17)

Year	Amount (Rs. in crores)	Reference
2002-03	205.95	Equity transferred through Opening Balance sheet vide G.O. DE 14 PSR 2002 dated 31.05.2002
2004-05	0.01	GO DE48 PSR 2003/424 dated 15/06/2004
2009-10	32.00	GO EN95 PSR 2008 Dated 01/09/2009
2009-10	118.00	GO EN67 PSR 2009 Dated 01/03/2010
2009-10	60.00	GO EN 67 PSR 2009 Dated 31/03/2010
2010-11	25.00	GO EN 13 PSR 2010 Dated 22/12/2010
2010-11	63.46	GO EN 13 PSR 2010 Dated 30/03/2011
2011-12	22.50	GO EN 20 PSR 2011 Dated 21/09/2011 (P3 Part I)
2011-12	20.00	GO EN 20 PSR 2011 Dated 21/09/2011(P3 Part II)
2012-13	37.50	GO EN 30 PSR 2012 Dated 16/07/2012
	20.00	GO EN 22 PSR 2012 Dated 29/01/2013
2013-14	40.00	GO EN 17 PSR 2012 Dated 30/03/2013
2014-15	21.58	GO EN 10 PSR 2013 Dated 06/09/2013
	14.00	GO EN PSR 2013 Dated 23/09/2013
	10.00	GO EN 56 PSR 2014 Dated 27/12/2014
	8.00	GO EN 56 PSR 2014 Dated 07/03/2015
2015-16	94.82	Released under various G.O. FY2015-16
2016-17	218.68	Released under various G.O. FY2016-17
2017-18	191.84	Released under various G.O. FY2017-18
2018-19	140.20	Released under various G.O. FY2018-19
2019-20	273.44	Released under various G.O. FY2019-20
2020-21	155.59	Released under various G.O. FY2020-21
2021-22	53.18	Released under various G.O. FY2021-22
2022-23	126.47	Released under various G.O. FY2022-23
2023-24	27.05	Released under various G.O. FY2023-24
Total	1,979.27	

39.2 Share Application Money:

39.2.1 Government of Karnataka has disbursed certain amount towards equity investment and accounted as Share application money which will be converted to Share Capital on completion of the procedure. The details of Share application money pending allotment as on 31st March 2025 is as under: (Refer Statement of Changes in Equity "B" - Share Application Money Pending Allotment)

Year	Amount (in crores)	Reference
2023-24	21.25	Released under various G.O. FY2023-24
2024-25	61.08	Released under various G.O. FY2024-25
Total	82.33	

Note: Out of the ₹48.30 Crores share application money received in FY 2023-24, ₹27.05 Crores has been converted into share capital in FY 2024-25, while ₹21.25 Crores remains pending for conversion.

39.3 Loans:

39.3.1 Government of Karnataka released Interest free loan of Rs.118.94 Crores in Financial Year 2008-2009 towards High-Cost Energy purchase to BESCOM of which Government of Karnataka converted Rs.118.00 Crores as Equity in the Financial Year 2009-10 balance of Rs.0.94 crores had been kept as loan from Government of Karnataka.

39.3.2 All the charges are registered with ROC and there is no instance of delayed creation beyond Statutory period except for a delay of 1 day in filing the CHG-1 i.e., Creation of Charge for a loan of Rs.300 Crores from Canara Bank (Loan Agreement dated 29.03.2025)

39.4 Property, Plant & Equipment: (Refer Note.no. 2):

39.4.1 The initial values of Property, Plant and Equipment are accounted vide Government of Karnataka order DE 48 PSR 2003 dated 31.05.2002 under the second transfer scheme which approved and issued Final Opening Balance Sheet as on 01.06.2002 (Refer Company overview). Accounting is at cost of assets in Gross Block and accumulated depreciation on such assets till the date of transfer from KPTCL.

39.4.2 The company has considered the period of Property, Plant & Equipment utilized by KPTCL for computing the remaining useful life of the assets transferred from KPTCL.

39.4.3 The company has not reassessed the revised useful life of the Property, Plant & Equipment. Based on the notification of CERC (Notification no. L-7/145/160/2008-CERC dt.19.01.2009) stipulating the revised depreciation rates, the company charges depreciation at the rates notified by the CERC prospectively.

39.4.4 The company is still in the process of obtaining details of the identification, location, situation, description and the extent of transfer of titles in its favour in respect of movable, immovable and leased assets transferred from Govt. of Karnataka/KPTCL.

39.4.5 Out of the assets that have been recorded as assigned specifically by KPTCL by transfer order, certain land and buildings are notified but title deeds relating to land (including Lease Hold) are not available/ transferred in favour of the company. Further, the related costs that the company may incur with regard to such transfer of titles are not ascertainable and not provided for by the company.

39.4.6 During the year an amount of Rs. 331.80 crores representing the amount of depreciation computed on the cost of assets funded through government grants and from Consumer's contribution is arrived by taking 5.28% on the opening balance and 4.22% on additions during FY 2024-25 and adjusted from grants shown under Deferred Income – Refer **Note no. 22**.

39.4.7 Depreciation is provided on straight line method on the gross carrying amount at rates notified by CERC.

39.4.8 Property, Plant & Equipment are hypothecated to various financial institution as mentioned in **Note no. 18**.

39.4.9 Depreciation rates as issued by CERC vide notification No. L-1/268/2022/CERC Dated 15-03-2024) are mentioned below against each Asset group:

Particulars	Depreciation rates for Assets Commissioned before 01-04-2024 (in %)	Depreciation rates for Assets Commissioned on or after 01-04-2024 (in %)
Land	NIL	NIL
Buildings		
a) Hydro Electric/ Stream Electric/Diesel /Dams/Cooling towers.	5.28	4.22
b) Offices & Show Rooms.	3.34	3.34
c) Temporary erections such as wooden structures	100.00	100.00
d) Roads other than Kutcha roads	3.34	3.34
Civil Works (Pipeline, Sewage, Drainage, Water supply)	3.34	3.34
Other Civil Works	5.28	3.34
Plant & Machinery		
a) Transformers	5.28	4.22
b) Communication Equipment	6.33	15.00
c) Computers	15.00	15.00
Overhead Lines including Cable Support	5.28	4.22
Vehicles	9.5	9.5
Furniture & Fixtures	6.33	6.33
Office Equipment	6.33	6.33
Switchgear including cable connections	5.28	4.22
Underground cable including joint boxes and disconnected boxes	5.28	4.22
Cable Duct Systems	5.28	4.22
Meters	5.28	4.22
I.T Equipment	15.00	15.00

39.4.10 Land held under lease (Refer. Note no. 2):

Accounting units	Amount in Rs.
West Circle, Bangalore	4,04,911.00
Indiranagar Division, Bangalore	3,26,530.00
Tumkur Division	52,51,572.00
KGF Division	22,17,075.00
Ramanagara Division, Ramanagara	14,38,557.00
Malleshwaram Division, Bangalore	1,71,40,030.00
Chandapura Division	16,22,000.00
Hosakote Division	3,01,86,300.00
Shivajinagar Division, Bangalore	2,50,663.00
Koramangala Division, Bangalore	9,22,106.00
Magadi Division	61,63,865.00
Total	6,59,23,609.00

39.5 Trade Receivables (Refer Note no. 11):

39.5.1 The break-up of the Expected Credit Loss of trade receivables as on 31-03-2025 is as under:

39.5.2

Rs. in Crores			
Sl. No.	Particulars	2024-25	2023-24
1	Provision against permanently disconnected installations	145.08	146.95
2	On account of 4% provisioning as per Material Accounting Policy – LT category and others.	193.13	166.14
3	Provision on account of identified HT -consumers. - Long disconnected installations	-	-
4	On account of arrears of IP set installations.	973.56	973.56
	Total	1311.77	1286.65

39.5.3 As per Material Accounting Policy No. 18, Company is required to make provision of 3% of Receivables outstanding and 2% of Payables outstanding at the end of respective year (write off / write back). However, the Company in addition to the above, has created provision for identified cases on actual basis.

39.6 Inventories, Stores and Spares (Refer Note no. 10):

39.6.1 Schedule of rates are basis for accounting receipts and issues of materials in the stores. Net differences between the purchase rates and standard rates of materials debited or credited to material cost variance account taken to Statement of Profit and Loss as at the end of the year this was Debit Rs. 48.50 crores (Previous year Credit Rs. 20.86 crores). This amount comprises both the nature of expenses, as such the expenses towards Capital or Revenue is not ascertainable.

39.6.2 On physical verification of inventories, the balance under store excess is Rs. 1.80 crores (P.Y Rs. 1.76 crores) and shortage of Rs. 5.27 crores (P.Y Rs. 3.33 crores) are accounted and depicted distinctively. In Current year shortage is increased by Rs. 1.94 crores and Rs. 0.04 Crores has increased in current year store excess.

39.6.3 The amount spent beyond Rs 50,000/ Rs 75,000 as applicable (as per GOK norms) for providing infrastructure to beneficiary is treated as receivables under various Corporations (Existing 16 Corporations) controlled by GOK for catering to the welfare purposes.

39.7 Indian Accounting Standard (IND AS)-19 'Employee Benefits':

39.7.1 Deputation from KPTCL: All the employees of the company are on deputation from KPTCL except appointments made by the BESCOM. For the purpose of terminal benefits, all the employees are members of KPTCL and ESCOM's Pension & Gratuity Trusts.

39.7.2 A) Defined Benefit Plan: - Gratuity: All employees of BESCOM are covered under KPTCL & ESCOMs' Pension and Gratuity Trust rules, by investing the gratuity funds with identified fund manager and contributions, in respect of such scheme are recognized as part of employee cost. The liability as at the Balance Sheet date is provided for based on the actuarial valuation carried out by an independent actuary as per Order No. KPTCL & ESCOMs P&G TRUSTS/KCO123/P7/2023-24/CYS-08 dated 03-10-2024. The rate of contribution is 87.42% of basic and D.A. in the case of pension and 11.28% of basic in the case of Gratuity with effect from 01/04/2023 and onwards.

B) Further, employees who were appointed on or after 01.04.2006 are covered under New Defined Contributory Pension Scheme (NDCPS). Under this scheme, 10 percent of basic pay, dearness pay and dearness allowance shall be deducted from the pay which is

remitted to the Trust along with matching contribution by the employer which was increased to 14 percent w.e.f. 01.04.2019.

The GoK vide order dt. 23.06.2018 extended the benefit of gratuity and family pension to the employees covered under NDCPS. The maximum amount of gratuity was fixed at Rs. 20.00 lakh. As on 31.03.2025, the Company had 11,843 employees covered under the above scheme. In the absence of rate of contribution or actuarial valuation by KPTCL & ECSOM's Pension and Gratuity trust for NDPCS employees as on 31.03.2025, no provision has been made and this will be provided on communication from Trust.

C) A balance of Rs 5.96 Crores liability towards NDCPS contribution is carried in HO since FY 2014 (earlier to formation of exclusive BESCOM Pension section) which needs reconciling of transactions among the accounting units and H.O of BESCOM.

D) As per DPE Circular dated 02.12.2020, payment of Ex-gratia can be made by a State Public Sector Enterprises only if it has paid dividend, not raised any loans from banks / Financial institutions backed by Government Guarantee, there should be no default in repayment of loan instalment and interest thereon payable to Government. Further, as per circular dated 19.08.2022, Finance Department is required to be consulted for disbursement of Ex-gratia to the employees. However, as approved by Finance Department and Energy Department vide their letters dated 26.08.2025, the Company has made provision towards Ex-gratia amounting to Rs.9.89 crs for the employees in the Books of Account for FY 2024-25.

39.7.3 Other Long Term Employee Benefits

Leave Encashment: Provision for Leave Encashment has been made on the basis of average expenditure of last 3 years and it amounts to Rs. 8.05 crores for FY 2024-25 (Previous year Rs. 20.04 crores) (Refer.Note.no. 26).

39.7.4 Description of Risk Exposures:

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks as follows:

- a) Salary Increase:** Actual salary increase will increase the plan's liability. Increase in salary increase rate assumption in future valuations will also increase the liability.
- b) Investment Risk-** If the plan is funded, then assets – liabilities mismatch & actual investment return on assets lower than the discount rate assumed at the last valuation date can impact the liability.
- c) Discount Rate-** Reduction in discount rate in subsequent valuations can increase the plan's liability.
- d) Mortality & Disability-** Deaths & disability cases proving lower or higher than assumed in the valuation can impact the liabilities.
- e) Withdrawals-** Actual withdrawals proving higher or lower than assumed withdrawals and change of withdrawal rates at subsequent valuations can impact plan's liability.
- f) Financial & Demographic Assumptions-** The financial & demographic assumption on annual basis used for valuation has been made up to 2023-24 based on Certified Actuarial

report. Actuarial valuation report for the year 2024-25 is not available, thereby the present value of defined benefit obligation as at the date is not available.

g) Provision for Gratuity and Family Pension Scheme for employees covered under NDCPS Scheme is done based on Actuarial valuation rate communicated by trust including FY 2024-25 also, for other employee benefits like:

1. Provision for Earned leave encashment for all the employees is accounted on the basis of average expenditure of 3 years.
2. Provision for Pension and Gratuity contribution to non NDPCS employees are accounted on the basis of Actuarial report for FY 2023-24.

h) The amounts provided in respect of Pension, Gratuity and leave encashment have not been fully funded.

39.8 Contingent Liability / Contingent Asset / Claims against the Company not acknowledged as debt:

39.8.1 Estimated amounts of contracts remaining to be executed on capital works as on 31st March, 2025 is Rs. 1,551.87 crores

39.8.2 Income tax demand and Goods and Service Tax demand disputed in appeals amounting to Rs. 94.04 crores and Rs. 3.64 crores respectively not remitted/adjusted is as shown under: (Previous year Rs. 99.58 crores for Income Tax demand and Rs.3.03 crs for Goods and Service Tax demand):

Sl No	Financial Year	Assessment Year	Case/Appel Number	Name of the court where the appeal is pending	Filed On	Issue	Petitioner/Assessee	Respondents	Tax on disputed amount (in Crs)	Tax Remitted /adjusted in refunds (in Crs)	Balance Tax yet to be remitted (in Crs)
1	2002-03	2003-04	SLP No 31797/2014 Dairy No-33008/2014	Supreme Court	09.10.2014	Provision for bad & doubtful Debts to Computation of Income u/s 115JB	The Bangalore Electricity Supply Company Limited	The Commissioner of Income Tax Bangalore	0.43	0.43	0
2	2004-05	2005-06	SLP No-11583/2021 Dairy No-16390/2021	Supreme Court	20.07.2021	Deduction claimed U/S 80IA	The Deputy Commissioner of Income Tax	The Bangalore Electricity Supply Company Limited	61.07	61.07	0
3	2007-08	2008-09	ITA No-260/2018	Income Tax Appellate Tribunal	31.01.2018	Provision for bad & doubtful Debts to Computation of Income u/s 115JB	The Bangalore Electricity Supply Company Limited	The Deputy Commissioner of Income Tax	39.01	39.01	0
4	2011-12	2012-13	Case No-21/2020	High Court	24.10.2019	Provision estimated/possible erosion in value of faulty and dismantled asset	The Bangalore Electricity Supply Company Limited	The Deputy Commissioner of Income Tax	0.75	0.75	0
5	2016-17	2017-18	ITA No-426/2023	Income Tax Appellate Tribunal	26.05.2023	Appeal against the additions made in the assessment order	The Bangalore Electricity Supply Company Limited	The Deputy Commissioner of Income Tax	51.61	15.86	35.75
6	2017-18	2018-19	WP/19350/2021	High Court	21.10.2021	Disallowance of excess depreciation, addition on short claim	The Bangalore Electricity Supply Company Limited	The Deputy Commissioner of Income Tax	58.29	0	58.29

						of revenue, disallowance of expenses u/s 37, disallowance of provisions						
										211.16	117.12	94.04

GST CASES			
Sl No	Particulars	Pending Before	Payable Status
1	OIO No. 11 / 2023-2024 CGST ND- 1 dated 21.03.2024 issued for Difference in GSTR 1 & 3B for FY 2018-19 for total tax liability of Rs.99,61,479/- (Tax liability 90,55,890 + penalty 90,55,89) for which Pre deposit of 10% amounting Rs. 9,05,589/- paid to GST Department	GST Appellate Authority	Pre deposit of 10% amounting to Rs. 9,05,589/- has been remitted
2	Reverse charge Mechanism (RCM) (Security Services) OIO No 12/2023-2024 CGST ND-1 dated 21.03.2024 for total tax liability of Rs.2,03,53,404/- (GST demand 18503094+ penalty 1850310)	Case quashed by High court Vide order dated: 03/09/2024	Total Tax Liability-2.03 Crs Remittance NIL
3	OIO NO -43/2024-25 dated 13-01-2025 issued for non-payment of GST under RCM for the loan guarantee services from GOK for the period from july 2017 to july 2018 Tax Liability - 30,46,490/- and Penalty-30,46,490/-	GST Appellate Authority	Pre deposit of 10% amounting to Rs. 3,04,650/- has been remitted

39.8.3 As against 449 No. of cases pending under Hon'ble Supreme court, Hon'ble High court & lower courts, an amount of Rs. 33.54 Crores is not recognised in the books against cases pending at various appellate tribunals. For other cases amount is not crystallised or ascertainable.

Pending Legal Cases in respect of Smart Meter Implementation Policy / Tender floated for Supply of Smart Meters including installation and maintenance:

- Three writ petitions filed by consumers in the Hon'ble High Court of Karnataka (WP Nos. 12987, 12535 and 18656 of 2025) against the mandatory Smart Meter Policy have been rejected and disposed-off.
- Three Public Interest Litigations (PILs) have been filed against the policy for implementation of smart meters/ Awarding of Contract are in the Hearing Stage and are yet to be disposed-off.
- A private complaint (PCR No. 24/2025) has been filed against the Energy Minister and some BESCOM officials. As per available information, proceedings have been stayed by the Hon'ble High Court of Karnataka.

39.8.4 Letter of Credits given in favour of power generators during FY 2024-25 is Rs.1228.96 crores to avail eligible rebate as per PPA/Regulations (FY 2023-24: Rs.1220 Crores).

39.8.5 BESCOM was having a short-term contract for procurement of 75 MW – 110 MW power at Rs 4.85 per unit through 220 Kv Chikkodi – Kholapur line initially for the period July-2014 to December-2014 with M/s Global Energy Pvt Limited. Later the quantity had enhanced/reduced through Supplemental Power Purchase Agreements (SPPA) for the period up to August-2016. As per the contract, the payments were made for scheduled energy certified by SLDC. The difference between scheduled energy and actual energy is to be settled through "Final Balancing Settlement Mechanism (FBSM) of Maharashtra" as per PCKL's letter dated 19.11.2014. The applicability of (FBSM) to M/s Global Energy Pvt Limited is under dispute in the Appeals filed by PCKL before Appellate Tribunal for Electricity and Petition filed by BESCOM before KERC. As such, the amount for overdraft

of 47 Mu and under draw of 141 Mu is not quantified and provision is not made in Books of Accounts of BESCOM.

39.8.6 Vigilance cases are pending in respect of customer's installations in various forums and the amount is not ascertainable at this stage.

39.8.7 Interest liability including penal interest on borrowing on RAPDRP Part B to the extent of Rs. 117.83 Crores is not provided for the reasons that is convertible to Grant and extension is awarded and this apart, BESCOM has corresponded with PFC Limited vide letter CGM (Projects)/DGM-3-BC-14/2019-20/189-91 dated 19/02/2021 for consideration of conversion of loan account to Grant account including waiver of accrued interest. RAPDRP Part A loan has been converted to grant as per MOP Minutes of the meeting dated 18.06.18 with regards to interest against RAPDRP Part A loan, decision is not received from GOI. Hence interest is not recognised.

39.8.8 The tariff difference in Rate/Kwh between BESCOM and SECI had been pending before Hon'ble Supreme Court vide Civil Appeal No 9502/2019. Hon'ble Supreme Court had granted stay on APTEL order. The amount of Rs. 5,82,98,507/- due to above rate difference is not provided.

39.8.9 At the time of formation of ESCOMS, GoK vide its order notified BESCOM Store building as shared asset (among ESCOMS and KPTCL) and value formed as a part of opening balance sheet under Fixed Assets in the BESCOM books. Subsequently claim amounting to Rs. 13.05 crores was made by KPTCL towards rental for Store Building up to March 2023. Since the Asset was existing in the books of BESCOM since inception, the amount of Rs.13.05 crores is not provided.

39.8.10 The Details of Zone-wise Consumer appeal cases pending as at 31-03-2025 are as follows:

Name of the Office	Current year		Previous year	
	No. of Appeal cases pending as on 31-03-2025	Amount involved (Rs. in Lakhs)	No. of Appeal cases pending as on 31-03-2024	Amount involved (Rs. in Lakhs)
BMAZ North	41	457.67	71	597.00
BMAZ South	25	989.92	23	396.00
BRAZ	10	34.64	8	55.00
CZ	3	1.06	4	7.51
Total	79	1483.29	106	1055.51

39.8.11 The Company was levying electricity tax based on the normal values and not on the actual lower value of energy charges levied on the consumer who have availed Time of Day metering. Based on the instruction of Chief Electrical Inspectorate of Government, the refund of excess tax collected need to be revised to net basis. The details pertaining to refund / adjustment against excess electricity tax collected duly Audited by Internal Audit from Zones is under process.

39.8.12 KPTCL on behalf of ESCOMs has carried out work relating to replacement of existing 11KV feeder meters by DLMS meters at sub-stations in KPTCL & ESCOMs jurisdictions under IPDS/DDUGJY scheme. BESCOM has accounted Rs. 15.23 Crores in FY 2023-24 and remaining claim of Rs.2.57 Crores pertaining to GST and interest on delayed payment of GST is still under reconciliation with KPTCL and not accounted.

39.8.13 KPTCL has carried out the work relating to providing new 11KV Switch gear along with accessories in the respective MUSS of BESCOM jurisdiction under IPDS & DDUGJY.

BESCOM has accounted Rs. 10.45 Crores in FY 2023-24 and for remaining claim of Rs.4.99 crores, BESCOM needs certain documents to admit the claim and reconciliation of balance with KPTCL for which correspondence is made and will be dealt suitably during FY 2025-26.

39.8.14 GOK vide order dated 16.09.2015 had invoked Section 11 for the period 16.09.2015 to 31.05.2016 in which it was ordered that all generators existing and operating in Karnataka State to operate, maintain generating stations to their maximum exportable capacity. In this order the provisional tariff fixed is Rs 5.08 per unit which is subject to determination of final tariff by KERC. KERC, in common order dt 18.08.2016 determined the tariff for the energy supplied under Section 11 at Rs 4.67 per unit. As such, BESCOM had raised demand notice for Rs 68 Crore. Against Hon'ble KERC order, M/s BMM Ispat Limited and M/s Star Metalics Pvt Limited had filed Writ Petition before Hon'ble High Court of Karnataka and Hon'ble High Court of Karnataka quashed the KERC order dated 18.08.2016 and reverted the case back to KERC for fresh consideration. KERC vide order dt 18.08.2016 fixed the tariff at Rs 5.08/unit against which ESCOMs have filed appeal before APTEL. APTEL, vide interim order dt 01.04.2024 has directed generators to file an Affidavit before the Hon'ble KERC stating that in the event of the appeal being allowed later, they would refund the amount as directed by the Tribunal in the final order passed in the main appeal. Final Orders is awaited.

GOK, vide order dated 16.10.2023 invoked Section 11 in which it was ordered that all generators existing and operating in Karnataka to operate and maintain the generating stations to the maximum exportable capacity. The provisional tariff fixed by GOK was Rs 4.86 per unit subject to determination of final tariff by KERC. ESCOMs filed petition before KERC for determination of tariff. KERC vide order dated 26.11.2024 determined the tariff at Rs 4.75 per unit. The generators vide W.P no 101105/2025 filed petition before Hon'ble High Court of Karnataka against the KERC order. Hon'ble High Court, vide order dated 13.2.2025 has stayed the KERC order dated 26.11.2024 and directed ESCOMs to not to initiate action for recovery of tariff difference until further orders.

39.9 Reconciliation of KPCL Dues:

- a. M/s Ramraj & Co, Chartered Accountants submitted final Reconciliation report regarding the billing issues of KPCL power purchase. As per the report, the power purchase dues accountable by BESCOM upto FY 2019-20 is Rs 8,854.27 crores. Out of the said amount, BESCOM had already accounted Rs 3919.03 crores in earlier years and the balance amount to be accounted was Rs 4,935.24 crore. GOK vide order dt 03.09.2024 has directed the accounting procedure for accounting the dues.

As per that order, principal amount of Rs 3,065.48 Cr is accounted under GL Code 28.855 (Deferment of expenditure). Out of that amount, 1st instalment of Rs 1,021.83 Crore is accounted as expenditure for FY 2023-24. Second instalment of 1021.83 Crore is accounted in FY 2024-25. The balance amount of Rs 1021.80 Crore will be accounted in FY 2025-26 as per GOK order.

Interest expenses payable to KPCL of Rs. 1,869.76 Crores (up-to 2019-20) is accounted under GL Code 28.855 (Deferment of expenditure). Out of that, first instalment of 623.25

crores is accounted in FY 2024-25. The balance amount of 1246.51 crores will be accounted in FY 2025-26 and 2026-27 as per the G.O.

- b. Reconciliation of KPCL dues (2020-21 to 2023-24): The difference between KPCL Claim and BESCOM admittance for the period 2020-21 to 2023-24 amounting to Rs. 752.06 crores towards principal (including Rs. 483.14 crores on account of difference in Gross Station Heat rate (SHR) claim) and interest amounting to Rs. 1,494.44 crores is approved to be accounted in staged accounting for three year vide G.O.no. Energy/217/PSR/2025 dated 28.08.2025.

As per GOK order, principal amount of Rs. 752.06 crores is accounted under GL head 28.855 (Deferment of expenditure). Out of that amount, 1st instalment of Rs. 250.68 crores is accounted as expenditure for FY 2024-25. The balance amount will be accounted in FY 2025-26 and FY 2026-27.

Interest expenses payable to KPCL of Rs. 1,494.44 Crores will be accounted in a period of three years starting from FY 2025-26 to FY 2027-28 and no interest has been accounted during the current financial year as per the G.O.

- c. A meeting was held on 07.07.2025 under the chairmanship of Additional Chief Secretary to Govt, Energy department to discuss on energy charge claim of KPCL/RPCL on the basis of actual station heat rate basis for the FY 2024-25. It was directed that the energy charges bills of KPCL/RPCL on the basis of actual station heat shall be appropriately accounted in books of KPCL/RPCL/ESCOMs until a final order on the truing up petition is issued by KERC. KPCL and RPCL vide debit notes dated 15.07.2025 have claimed energy charges difference amount of Rs 357.47 crores and Rs 94.25 crores respectively. As directed in the meeting held on 07.07.2025, the difference between the actual station heat rate and as per norms for 2024-25 amounting to Rs. 357.47 crores in respect of KPCL and Rs. 94.25 crores in respect of RPCL is accounted during FY 2024-25 pending final order in true up petition filed by KPCL/RPCL before KERC.

39.10 Write-Off of Subsidy Dues receivable from Govt. of Karnataka:

Govt. of Karnataka vide GO No Energy/123/ PSR/2022 dated 11.03.2022 has directed the company to write off the subsidy arrears from 2002-03 to 2015-16 amounting to Rs.1,938.04 crores after approval from the Board. The Board has approved to write-off the same in a phased manner vide Board Resolution No. CR-01/2023-24 as mentioned in the table below:

Phase	Financial Year	Amount (Rs. in Crores)	Percent to total
1	FY 2023-24	969.02	50%
2	FY 2024-25	581.41	30%
3	FY 2025-26	387.61	20%
	Total	1938.04	100%

Consequently, Rs. 581.41 Crores has been written off in FY 2024-25.

39.11 Going Concern Assumption:

The Company has incurred a loss during the year, accumulated losses of the Company as at 31st March 2025 are Rs. 13,819.24 crores (PY Rs 8,343.10 crores). The current liabilities as at 31st March 2025 (PY- 31st March 2024) are in excess of its current assets.

The KERC vide letter dated 30th Sep 2008 has intimated that as per first provision of section 14 of the Electricity Act 2003, BESCOM has become Deemed Licensee valid for a period of 25 years from 10th June 2004. BESCOM is the only power distribution licensee which caters to the requirements of all consumers covering 8 Districts including prime Bangalore Urban district in the state of Karnataka, being essential service, needs to be supplied to the consumers on continuous (24 X 7) basis. BESCOM recovers energy bills from various categories of consumers at the tariff determined by KERC on the Cost-plus Tariff basis i.e. cost plus return on equity. The revenue gap, if any, is adjusted in the tariff of subsequent years after due diligence by KERC. The tariff is fixed for current control period up to FY 2024-25 and accordingly the projected cash flow shows that the revenue generated is reasonably sufficient to meet out the operating expenses.

The Company has entered into long term power purchase agreements with various power generators for a period from 15 – 35 years and has been procuring power as per requirements from time to time. The Company has been consistent in meeting its day-to-day liabilities.

The Company has also been regular in debt servicing of long term & short-term loans and there are no defaults in debt servicing. Further, BESCOM is fully owned by Government of Karnataka and various projects/ schemes are being implemented by GoK for improvement in distribution network & consumer service, considering the interest of the public at large. Such projects are funded by the GoK either in the form of equity or grant.

The Company's objective of capital management is to safeguard its ability to continue as a going concern and to maintain an appropriate capital structure. The company endeavours to maintain a strong capital base and reduce the cost of capital through prudent management in deployment of funds and availing loans at reasonable rates from financial institutions. For the purpose of the company's capital management, equity capital includes issued equity capital and all other reserves attributable to the equity holders of the company. The company manages its capital structure and makes adjustments in light of changes in economic conditions, regulatory framework and requirements of financial covenants with lenders.

Considering the above, the company expects that additional funds will be infused by Government of Karnataka, as and when required. Hence, the financial statements have been drawn up on going concern basis and no adjustment is considered necessary to the carrying value of assets and liabilities.

39.12 Inter Unit Accounts (IUA):

Inter unit accounts are subject to reconciliation/adjustments to the extent of Rs. **41.03** crores (Credit), (Previous year Rs. **40.62 crores** (Credit)). The exact impact distinctively on the Statement of Profit and Loss and Balance Sheet is not readily ascertainable.

39.13 Rebate:

Rebate on Electricity Tax collected from consumer towards income of the company is not applicable as per GOK Order Energy/294/PSR/2023 dated 09.08.2023 and Rs. 29.04 crores accounted as receivable from FY 2019-20 to FY 2022-23 has been provided for. The same will be written off after approval from the Board.

39.14 Managerial Remuneration (Refer Note no. 32):

Managerial remuneration is included in employee costs and other expenses and the details are as follows:

Expenses	For the year 2024-25			For the year 2023-24		
	Managing Director	Director (Tech)	Director (Finance)	Managing Director	Director (Tech)	Director (Finance)
Salaries and allowances	29,84,624	43,61,104	19,36,013	28,87,402	45,08,961	30,03,218
Ex-Gratia	7,000	7,000	7,000	4,874	7,000	7,000
Others (House Orderly Allowances)	-	-	-	-	-	-
Medical & Other Allowances	-	-	-	-	-	81,000
TOTAL	29,91,624	43,68,104	19,43,013	28,92,276	45,15,961	30,91,218

Payments to Key Management Personnel:

Sl. No.	Particulars	Amount in Rs.	
		2024-25	2023-24
1	Salaries & Allowances	92,81,741	1,03,99,581
2	Other Benefits	21,000	99,874
	Total	93,02,741	1,04,99,455

39.15 Related Party Transactions:

The Company is a state-controlled enterprise (as defined in clause 19 of the IND AS 24). Other disclosures are as follows:

Controlling Entity: State Government of Karnataka

The Company is a State PSU controlled by Govt. of Karnataka holding 100% of the equity shares. Pursuant to paragraph 25 of IND AS 24 "Related Party Disclosures," a reporting entity is exempt from the disclosure requirements in relation to related party transactions, including commitments, with the Government that has control or joint control of, or significant influence over the reporting entity and other entity that is related party because the same government has control or joint control of, or significant influence over, both the reporting entity and other entity. The Company has applied the exemption available for Government related entities and have made limited disclosures that are significant in the financial statements.

Disclosure on Related party transaction is limited to transactions occurred among ESCOMs, KPTCL, KPCL, RPCL & PCKL as they are also owned by GoK and having significant bearing on BESCOM. Company cannot ascertain or assess the quantum of transactions for any other GoK owned establishment. Consequent to disinvestment PCKL accounts is not consolidated with BESCOM and the transactions are disclosed in Related Party Transactions.

Balances with related parties are disclosed as under: (Refer Note no. 14 & 25):

Sl. No.	Name of the Related Party	Particulars	Rs. in Crores	
			FY 2024-25	FY 2023-24
1	KPTCL	Transmission charges & others	1,595.02	2,056.53
2	HESCOM	Energy balancing & Others	1,148.67	2,220.46
3	GESCOM	Energy balancing & Others	133.98	332.69

4	MESCOM	Energy balancing & Others	336.49	252.53
5	CESCOM	Energy balancing & Others	65.86	115.85
6	KPCL	Power purchase & Others	3,412.30	6,501.30
7	RPCL	Power purchase & Others	2,042.27	1,953.17
8	PCKL	Equity Investment	0.01	0.01
9	PCKL	(Receivable towards securitisation of dues from RLB towards water supply and Street light installations (LT6))	-	3017.45

Controlling entity (Government of Karnataka):

As there are numerous transactions pertaining to revenue items entered into with GOK, GOK entities in the ordinary course of business, details have not been furnished.

There are no loans and advances to related parties or amount due by Directors or Other officers of the Company or any of them either severally or jointly with any other person or amount due by firms or private companies respectively in which any Director is a partner or a Director or a member except as disclosed.

Note: Related party relationship is as identified by the Company and relied upon by the Auditors.

39.16 Disclosure under IND AS 12 "Income taxes":

1. No provision has been made towards income tax, as in the opinion of the Company there is no taxable income for the year ended 31.03.2025.
2. The tax deducted at source is not in reconciliation with the 26 AS statement of the Income tax Department.
3. The Company has recognised net deferred tax liability of Rs. Nil as at 31.03.2025 (Up to Previous Year – Rs. 263.22 crores).

Particulars	Rs. in Crores	
	FY 2024-25	FY 2023-24
Deferred Tax Liability		
Difference in book depreciation and tax depreciations	1,255.20	1,206.78
Total	1,255.20	1,206.78
Deferred Tax Asset		
Provision for Leave encashment & Others	2.05	5.21
Unabsorbed depreciation	2,239.38	938.35
Provisions	330.15	
Total	2,571.58	943.56
Net Deferred Tax Asset/ (Liability)	1,316.37	(263.22)
Net Deferred Tax Asset/ (Liability) recognized	*0.00	(263.22)

*Based on prudence, the management has restricted recognition of deferred tax asset to the extent of Deferred Tax Liability.

39.17 Balance Confirmations:

The company has not obtained confirmation of balances as on 31.03.2025 from other ESCOMS, KPCL, sundry debtors, sundry creditors, deposits from suppliers/contractors/government authorities, etc, advances to contractors/suppliers, deposits and advances from consumers, loans and advances to employees (past and current employees),

and other receivables / payable from / to various parties and balances are subject to reconciliation/adjustments, if any. Further the Company is not in a position to settle the KPTCL and Inter-ESCOMS Receivables/Payables for want of completion of reconciliation process among co- companies and also nod from government in such matter.

39.18 Disclosure in respect of IND AS-116 “Leases”

Lease payments are recognized as an expense in the Statement of Profit and Loss and Right of Use asset is recognised in their respective class under Property, Plant and Equipment. Rental expenditure on buildings are charged to Statement of Profit or Loss as the value of such transactions are not significant in the opinion of the company. Details regarding the same are detailed below:

Particulars	Amount (Rs. in Crores)
Class of Asset	Land
a. Value of Right of Use Asset	6.59
b. Depreciation Charge	0.07
c. Interest expense on lease liabilities	Nil
d. Short-Term Leases	Nil
e. Low Value Assets	Nil
f. Other Expenses relating to variable lease payments	Nil
g. Income from Sub-Leasing	Nil
h. Total Cash Outflow of Leases	6.59
i. Additions to Right of Use	0.52
j. Sale and Leaseback	Nil

39.19 Disclosure in respect of IND AS-21 “The effects of change in Foreign Exchange rates”.

ADB Sovereign Loan of 100M US\$ (Rs.750 crs) passed to GoK on back-to-back arrangement from GOI and from GoK to BESCOM in INR. As on 31st March 2025, BESCOM has availed Sovereign Loan of Rs. 777.02 crs (US\$.97.49M). As per the conditions of Agreement between the State of Karnataka and BESCOM, BESCOM is liable to bear exchange rate fluctuation. Hence, Foreign Exchange rate variation expenditure of Rs.57.35 crs on the loan outstanding of Rs.777.02 crs is accounted during the year and an amount of Rs. 0.32 crs is accounted as the Foreign Exchange rate variation expenditure towards disbursal of liability booked in FY 2024-25 in GM (DAS) Smart Grid section.

Particulars	Amount in Crores	
	For the year ended 31.03.2025	For the year ended 31.03.2024
Foreign Exchange Earnings	Nil	Nil
Foreign Exchange Expenditure	57.67	Nil

39.20 Disclosure in respect of IND AS-23 “Borrowing Cost”:

The amount of borrowing costs capitalised during the year Rs. 22.01 Crores with regards to loan taken for creation of ERP Software & other capital works. (Previous year Rs. 6.13 Crores)

39.21 Disclosure in respect of IND AS - 33: Earning per Share

Particulars	Amount in Rs.	
	As at 31.03.2025	As at 31.03.2024
Profit / (loss) for the period before net movement in Regulatory Deferral Account Balance (Used as Numerator)	(52,73,90,57,482.04)	(14,80,74,90,974.39)

Profit / (loss) after tax and net movement in Regulatory Deferral Account Balance (Used as Numerator) as per Statement of Profit and Loss	(54,76,13,57,482.04)	(38,63,15,90,974.39)
Nominal Value of Each Equity Share	1,000.00	1,000.00
-Number of Equity Shares (Face value of `10/- each)	1,97,92,62,300	1,95,22,12,300
-Weighted Average number of equity shares for calculating Earnings Per Share	1,97,47,53,967	1,80,00,43,000
Basic Earnings per share excluding net movement of Regulatory Assets (In Rupees)	(26.71)	(8.23)
Basic Earnings Per Share including net movement of Regulatory Assets (In Rupees)	(27.73)	(21.46)
Diluted Earnings Per Share excluding net movement of Regulatory Assets (In Rupees)	(26.71)	(8.23)
Diluted Earnings Per Share including net movement of Regulatory Assets (In Rupees)	(27.73)	(21.46)

39.22 Disclosure in respect of IND AS - 38: Intangible Assets:

The company has disclosed the details of Intangible Assets to the extent possible under Note No. 3 distinctively. Amortisation is done as stated in significant accounting policy.

39.23 Operating segment (Ind AS 108):

- The Company is engaged in power distribution in eight districts of Karnataka, namely Bangalore Urban, Bangalore Rural, Ramanagara, Chikkaballapura, Kolar, Tumkur, Chitradurga and Davanagere. The Company is operating in only one business and geographical segment and hence there are no identifiable segments for reporting.
- Information about major customers: - No single customer contributed 10% or more to the company's revenue for both years ended on 31-03-2025 and year ended on 31-03-2024.

39.24 Accounting of Government Grants and Disclosure of Government Assistance (Ind AS 20):

a. Monetary Grant (Government grant/consumer contribution grant):

Depreciation and Amortization Expense includes Rs. 331.8 crores (Previous Year Rs.338.87 crores) being the amount transferred from Grants-in-aid received.

b. Non-Monetary Grant (Land):

List of land with nominal value are given below: The reason for not measuring them at fair value was that the value of these lands has been recorded as assigned specifically by KPTCL by transfer order and certain Lands are notified but title deeds relating to land (Including Lease Hold) are not available / transferred in favour of the company.

Name of the Accounting unit	Amount (in Rs.)
Harihara	7.00
Hiriyur	10.00
Koramangala	3.00
Hebbal	2.00
HSR Layout	6.00
Jalahalli	1.00

Jayanagar	3.00
Chikkaballapura	14.00
Total	46.00

39.25 Fair Value Measurement:

A number of the Company's accounting policies and disclosures require the determination of fair value, for both financial as well as non-financial assets and liabilities. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal market or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use while pricing the asset or liability, assuming that market participants act in their economic best interest.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy based on the lowest level input that is significant to the fair value measurement as a whole. The fair value hierarchy is described as below:

Level 1: unadjusted quoted prices in active markets for identical assets and liabilities.

Level 2: Inputs other than prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Unobservable inputs for the asset or liability.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of fair value hierarchy.

39.26 Security Deposits & Retention Money:

The fair value of security deposits & retention money has not been carried out as expected realization date is not available

39.27 Financial Instruments by Category:

The carrying value and fair value of financial instruments by each category as at March 31, 2025 are as follows:

Particulars	Rs. in Crores				
	Financial assets / liabilities at amortised cost	Financial assets / liabilities at FVTPL	Financial assets / liabilities at FVTOCI	Total carrying value	Total fair value
Assets					
Investment-In PCKL	0.01	-	-	0.01	0.01
Loans	290.28	-	-	290.28	290.28
Trade receivables	8,188.56	-	-	8,188.56	8,188.56

Others Receivables	4,603.10	-	-	4,603.10	4,603.10
Liabilities					
Long Term Loans	14,693.28	-	-	14,693.28	14,693.28
Short Term Loans	7,917.57	-	-	7,917.57	7,917.57
Current Trade payables	10,132.91	-	-	10,132.91	10,132.91
Non-Current Trade payables	606.96	-	-	606.96	606.96
Other financial liabilities	8,535.89	-	-	8,535.89	8,535.89

The carrying value and fair value of financial instruments by each category as at March 31, 2024 are as follows:

Rs. in Crores					
Particulars	Financial assets / liabilities at amortised cost	Financial assets / liabilities at FVTPL	Financial assets / liabilities at FVTOCI	Total carrying value	Total fair value
Assets					
Investment-In PCKL	0.01	-	-	0.01	0.01
Loans	152.04	-	-	152.04	152.04
Trade receivables	7,383.08	-	-	7,383.08	10,400.53
Others Receivables	9,713.27	-	-	9,713.27	9,713.27
Liabilities					
Long Term Loans	11,027.43	-	-	11,027.43	11,027.43
Short Term Loans	7,068.40	-	-	7,068.40	7,068.40
Current Trade payables	11,693.55	-	-	11,693.55	11,693.55
Non-Current Trade payables	2,221.93	-	-	2,221.93	2,221.93
Other financial liabilities	8,180.00	-	-	8,180.00	8,180.00

Interest Income/ (expenses) recognized on financial assets and liabilities:

Rs. in Crores			
Particulars	As at March 31, 2025	As at March 31, 2024	As at March 31, 2023
Interest income on bank deposits	13.57	14.50	9.03
Interest income on other financial assets	1.57	2.31	2.31
Interest expenses on other financial liabilities	367.93	238.57	188.53
Financial assets at Fair Value through Profit or Loss (FVTPL)	-	-	-
Financial assets at Fair Value through Other Comprehensive Income (FVTOCI)	-	-	-

39.28 Financial Risk Management:

BESCOM, a GoK owned organisation functions under the ambit of various statutory acts and regulations. As per Electricity Act 2003, tariff filing for each year is carried by the Company for Annual Performance Review (APR) and revision in Annual Revenue Requirement (ARR) with KERC.

Each of its activity attributable to Credit risk, Liquidity risk and Market risk undergoes consistent monitoring by a Regulator (KERC) annually.

Trade receivable majorly comprises sundry debtors for sale of power from various class of consumers and Receivable from other ESCOMs. Risk element involving sundry debtors is adequately covered by security deposit held against such consumers by way of collection of 2 MMD (as per mandatory stipulation of regulatory governance). Other major contributor of receivable is from inter-ESCOMs balancing, all being sovereign government flagship organisations risk element of turning those to NPA is not foreseen.

Loans and Trade payable is adequately covered by securitization of Assets and Receivables. Major contributor of trade payable is for KPC against power purchase.

KERC, in the course of tariff filing petition was called and each of the item involving risk factors were reviewed.

The company has exposure to the following risks from its use of financial instrument:

1. Credit Risk
2. Liquidity Risk
3. Market Risk

The board of directors have overall responsibility for the establishment & oversight of the company's risk management framework. The Board of directors have established a risk management policy to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management systems are reviewed periodically to reflect changes in market conditions and the company's activities. The audit committee oversees how management monitors compliances with the company's risk management policies and procedures, and reviews the risk management framework. The audit committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

39.29 Credit Risk

Credit risk is the risk of financial losses to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligation and arises principally from the company's trade receivables, employee loans and other activities that are in the nature of leases.

Exposure to credit risk:

The gross carrying amount of financial assets, net of any impairment losses recognized represents the maximum credit exposure. The maximum exposure to credit risk as on March 31 2025, March 31, 2024 & March 31, 2023 were as follows:

Rs. in Crores		
As at March 31,2025		
	Gross Carrying Value	Net Value after Impairment
Trade receivables	8,188.56	8,188.56
Others Receivables	4,603.10	4,603.10
As at March 31,2024		
	Gross Carrying Value	Net Value after Impairment
Trade receivables	7,383.08	7,383.08
Others Receivables	9,713.27	9,713.27
As at March 31,2023		
	Gross Carrying Value	Net Value after Impairment
Trade receivables	8,103.74	8,103.74
Others Receivables	5,300.20	5,300.20

Financial assets that are past due but not impaired

Long term loan, Trade Receivables, and other assets are neither past due nor impaired.

39.30 Liquidity Risk:

Liquidity risk is the risk that the company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under normal and stressed conditions, without incurring unacceptable losses or risking damage to the company reputation, typically the company ensures that it has sufficient cash on demand to meet expected operational expenses, servicing of financial obligations.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

As at March 31, 2025			Rs. in Crores		
	Carrying Amount (Ind AS)	Contractual Cash flows (I GAAP)	0-12 Months	1-3 Years	More than 3 Years
Non derivative financial liabilities					
Long Term Borrowings	14,693.28	14,693.28	-	-	14,693.28
Short Term Borrowings	7,917.57	7,917.57	7,917.57	-	-
Current Trade payables	10,132.91	10,132.91	10,132.91	-	-
Non-Current Trade payables	606.96	606.96	606.96	-	-
Other financial liabilities	8,535.89	8,535.89	8,535.89	-	8,535.89

As at March 31, 2024			Rs. in Crores		
	Carrying Amount (Ind AS)	Contractual Cash flows (I GAAP)	0-12 Months	1-3 Years	More than 3 Years
Non derivative financial liabilities					
Long Term Borrowings	11,027.43	11,027.43	-	-	11,027.43
Short Term Borrowings	7,068.40	7,068.40	7,068.40	-	-
Current Trade payables	11,693.55	11,693.55	11,693.55	-	-
Non-Current Trade payables	2,221.93	2,221.93	2,221.93	-	-
Other financial liabilities	8,180.00	8,180.00	2,134.31	-	6,045.69

39.31 Market Risk:

Market risk is the risk of loss of future earnings or fair values or future cash flows that may result from a change in the price of a financial instrument. The value of a financial instrument may change as a result of changes in the interest rates, foreign exchange rates and other market changes that affect market risk sensitive instruments. Figures have been rounded off to nearest crores.

39.32 Disclosure as per Ind AS 1 'Presentation of financial statements'

Material accounting policies of the company has been re-phrased with certain modifications / changes / corrections, for better disclosure requirements and for proper understanding of the accounting followed. However, there is no material impact on the financial statements because of these changes.

39.33 Other Disclosures:

- A) The revenue from retail consumers is recognized based on KERC Tariff orders in force.
- B) The variation in opening balance and closing balance to the extent of Rs. 2.43 crores due to migration/de-migration/bifurcation of consumer records are recognised in the books under trade receivables.
- C) An amount of Rs. 80.64 crores. is carried under Account code 23.898 (Pending for reconciliation of Sundry Debtors) and classified under trade receivable for the cases falling under vigilance/ BBC/Audit claims etc., not captured in the system but continued manually and pending reconciliation. **(Refer Note No. 11 of Financial Statements).**
- D) Restatement of accounts as applicable under Ind AS 8 – Vide accounting policy no. 24 of the Company, the financials are not restated for prior period income/ expenses since net impact of same is less than 1% of turnover of the entity.
- E) The figures have been rounded off to nearest crores and any decimal mismatch is due to rounding off of figures to nearest crore between Balance Sheet, Statement of Profit & Loss and other statements and corresponding notes.

- F) Previous year figures have been regrouped / reclassified wherever necessary to be compatible with the current year presentation.
- G) Interest is not charged against Inter-ESCOM receivable outstanding balance of Rs. 1,441.72 Crores (previous FY Rs 2,754.37 Crores).
- H) Under the Surya Raitha Pilot Project, out of 310 beneficiaries, tripartite agreements have been executed by 273 beneficiaries as of 15.07.2025. The remaining 37 cases are pending—32 due to heirship issues following the death of previous beneficiaries, and 5 due to land sale-related matters. Accordingly, revenue income and expenditure against power purchase under the scheme continues to be recognised based on the substantial execution of agreements.
- I) Receivable to the extent of Rs. 18.34 crores due from BBMP towards infrastructure development is notionally taken to Assets and proportionate depreciation is charged. The said amount is remaining under debit account in the Divisional books and as a Credit amount in the Head Office books to have a track of BBMP receivable.
- J) As on 31.03.2025, Rs.13.82 Crore Service Tax collected from consumers as against the amount of Rs.22.93 Crore remitted to the department and the balance of Service Tax to be collected from consumers is Rs.9.11 Crore. Identifying the consumers and recovering of balance amount is in progress.
- K) As against GST remittance of Rs.19.21 Crore, till 31.03.2025 Rs.12.04 Crore has been recovered and the balance of GST to be collected from consumers is Rs.7.16 Crore. All the accounting units Head of BESCOM are taking effective measures to recover the above tax arrears from consumers duly issuing demand notices, and GST cell is continuously pursuing the same.
- L) Impairment quantum of Asset under RLMS charged to revenue of earlier years against the portion of failed equipment built under Rural Load Management System and Niranthara Jyothi Yojana for which depreciation provision made is being continued in the books for want of reconciliation among divisions.
- M) BESCOM has RECs worth of 1534967 MWh as on 31.03.2025 which pertains to the year 2019-20 and 2020-21. The RECs of 2021-22 worth 18,73,202 MWh and RECs of 2022-23 worth 9,13,215 MWh is approved by NLDC during May 2025.
CERC vide order dated 17th June 2018 in Petition No. 05/SM/2022 had ordered Floor price (minimum price) as Rs “Zero” (0) and Forbearance price (maximum price) as Rs 1000 per REC as ceiling price to trade for both solar and non-solar RECs. Huge number of RECs from Karnataka, Andhra Pradesh, Gujarat, Rajasthan, etc are available in Energy market and market clearing price of RECs are reducing drastically. As the energy market for REC is fluctuating frequently the price and amount for RECs of BESCOM can't be assessed accurately. The quantum of RECs approved and available as on 31st March 2025 is 15,34,967 Mwh.
- N) Revenue pending allocation as on 31.03.2025 is Rs. 28.61 crores and as on 31.03.2024 is Rs. 63.60 crores.
- O) Regulatory Assets – Regulatory Assets Opening balance of Rs.202.23 crores has been reversed during FY 2024-25 and the Company has opted not to recognise any fresh regulatory asset with a view to comply with the requirements of meeting the eligibility criteria as per the Revamped Distribution Sector Scheme (RDSS) which states that DISCOMS should ensure that no Regulatory Assets recognized during the latest tariff determination cycle and also to comply guideline on the additional borrowing limit of 0.50 percent of Gross State Domestic Product (GSDP) linked to performance of the state in power sector.

39.34 Investments in M/s Power Company of Karnataka (PCKL) (Refer Note no. 6):

The Company owns 100 shares which includes 2 shares held by nominee shareholder out of the total 500 shares of M/s PCKL outstanding as at 31 March 2025 (and as at 31 March 2024).

M/s PCKL is a public sector undertaking whose shareholders are ESCOMs and nominee shareholders of ESCOMs and KPTCL. The financial and operating policy decisions of M/s PCKL are independently handled through supervision of Board of Directors nominated by Government of Karnataka. BESCOM does not directly or indirectly involve in policy making process or other decisions of the Company. Accordingly, M/s PCKL is not considered as an associate of the Company as per Ind AS 28 'Investments in Associates and Joint Ventures'.

39.35 Other Notes:

Recent accounting pronouncements and amendments:

(i) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024

Central Electricity Regulatory Commission has notified new tariff regulations 'Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024' for the next five years effective from 01 April 2024. The said Regulation has made certain changes in method & rate of depreciation, useful life, etc. of assets commissioned on or after 01 April 2024. The Company has assessed and implemented the regulations for accounting in FY 2024-25.

(ii) Amendments to Indian Accounting Standards (Ind AS):

A) Standards issued but not effective:

a) Amendment to Ind AS 21 – Lack of Exchangeability:

MCA has notified amendment to Ind AS 21 on 7 May 2025 to help entities to determine whether a currency is exchangeable into another currency, and which spot exchange rate to use when it is not. The Company will assess and implement the amendments in the FY 2025-26, as applicable.

b) On 13.08.2025, the Ministry of Corporate Affairs (MCA) has notified the Companies (Indian Accounting Standards) Amendment Rules, 2025 applicable from their publication in Official Gazette. The Company will assess and implement the amendments to Division II in the FY 2025-26, as applicable.

B) Ministry of Corporate Affairs (MCA) notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules, from time to time. Below is a summary of the new standards and key amendments that are effective for the first time for periods commencing on or after 1 April 2024 and The Company has assessed that the amendments have no material effect on the Accounts of the Company:

a) Lease liability in sale and leaseback – Amendments to Ind AS 116:

On 9 September 2024, the MCA notified the narrow-scope amendments to the requirements for sale and leaseback transactions in Ind AS 116 which explain how an entity

accounts for a sale and leaseback after the date of the transaction. The amendments specify that, in measuring the lease liability subsequent to the sale and leaseback, the seller-lessee determines 'lease payments' and 'revised lease payments' in a way that does not result in the seller-lessee recognising any amount of the gain or loss that relates to the right of use that it retains. This could particularly impact sale and leaseback transactions where the lease payments include variable payments that do not depend on an index or a rate.

b) Insurance Contracts – Ind AS 117:

The MCA notified the new accounting standard Ind AS 117, 'Insurance Contracts', on 12 August 2024 replacing Ind AS 104, 'Insurance Contracts'. The new standard requires an entity to apply Ind AS 117 for annual reporting periods beginning on or after 1 April 2024.

39.36 Additional Regulatory Information:

1. Title deeds not in the name of the Company:

Certain land / building has been transferred from KPTCL as per the directions of transfer order by GOK. However, the title deeds relating to land / building transferred from KPTCL are not available with the company.

Details of immovable properties where title deeds are not held in the name of the company are not available with the company.

2. During the year the company has not revalued any of its Property, Plant and Equipment.
3. The company has not granted any loans or advances to promoters, directors, KMP's and the related parties that are repayable on demand or without specifying any terms or period of repayment.

4. Capital Work-in-Progress

a. Ageing Schedule of Capital Work-in-Progress:

Refer note no. 04 of financial statements.

- b. Completion schedule for projects overdue or cost overruns as compared to original plan as on 31st March 2025.

Details regarding completion schedule is not available with the company.

5. Intangible Assets under Development

a. Ageing Schedule

Refer note no. 05 of financial statements.

- b. Completion schedule for projects overdue or cost overruns as compared to original as on 31 March 2025

Details regarding completion schedule is not available with the company.

6. No proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act 1988 (45 of 1988) and the rules made thereunder.
7. The Company has borrowed from banks and financial institutions on the security of current assets (Trade Receivables & Inventory). The quarterly statements of Trade Receivables & inventory filed by the Company with the banks for working capital purposes are not in agreement with the books of accounts as amounts provided in quarterly statements include subsidy receivable, true-up subsidy and other receivables from the Government. The differences are also due to provisional figures provided in the quarterly statements. However, aging analysis on trade receivables could not be provided by the company in absence of required details. The differences are detailed below:

Quarter Ended	Amount as per Quarterly returns submitted (A)	Value of Trade Receivables & Inventory as per Books of account (B)	Rs. in Crores
			Difference (C = A - B)
Jun-24	14,586.48	7,648.95	6,937.53
Sep-24	12,190.39	8,313.81	3,876.58
Dec-24	11,657.01	7,732.50	3,924.51
Mar-25	10,338.54	8,524.87	1,813.67

8. The Company has not been declared as a wilful defaulter by any Bank or Financial institutions or Government/ Government authorities or any other lender.
9. The Company, to the best of its knowledge and belief, has not entered into any transaction with Companies Struck off under Section 248 of Companies Act, 2013 or section 560 of Companies Act, 1956 and has no reportable information.
10. Registration of charges or satisfaction with Registrar of Companies

Refer Note no. 39.3 of General Notes.

11. The provisions of clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 are not applicable to the company as per Section 2(45) of the Companies Act, 2013.
12. **Ratios:** The following ratios for the year 2024-25 together with comparatives for the previous year, % of variation and explanation for variation above 25% are furnished below:

Ratios	Numerator	Denominator	FY 2024-25	FY 2023-24	% of variation	Reasons for variations of more than 25%
Current ratio	Current Assets	Current liabilities	0.77	0.94	-18%	variation is less than 25%
Debt-equity ratio	Total debt	Shareholders' funds (Total Equity)	(1.92)	(2.85)	-33%	variation is less than 25%

Debt service coverage ratio	Loss for the year + depreciation + finance cost + loss on sale of fixed assets	Interest + Principal Repayments	(0.15)	(0.10)	48%	Due to increase in loss for the year.
Return on equity ratio (%) ***	Profit / (Loss) for the year	Average Shareholder's Equity	NA	NA	NA	Due to increase in loss for the year
Inventory turnover ratio	NA	NA		-		
Trade receivable turnover ratio	Revenue from Operations	Average Trade Receivables	4.22	4.37	-3%	Variation is less than 25%
Trade payable turnover ratio	Power Purchase Cost	Average Trade Payable	2.37	2.44	-3%	Variation is less than 25%
Net capital turnover ratio*	Revenue from Operations	Current asset - Current liabilities	-	-		
Net profit ratio (%)	Profit / (Loss) for the year	Revenue from Operations	-17%	-11%	46%	Due to increase in loss for the year
Return on capital employed (%)	Earnings before Interest & tax	Tangible net worth + Total Debt + Deferred Tax Liability	-32%	-19%	66%	Due to increase in loss for the year and decrease in tangible net worth.
Return on investment (%) **	NA	NA				

* Ratios cannot be calculated for the FY 2024-25 as denominator is negative.

** Company has invested in the equity shares of M/s Power Company of Karnataka Ltd. (PCKL) as per the directions of Government of Karnataka. There is no return on such investment during the year.

*** This ratio is not applicable as the Profit & Loss and Net-worth are negative as on 31st March, 2025 and as on 31st March, 2024.

13. There were no schemes of arrangement approved by competent authority during the year under section 230 to 237 of the Companies Act, 2013 and hence there is nothing to disclose.

14. Utilisation of borrowed funds and share premium:

- The Company has not advanced or loaned or invested funds (either borrowed or share premium or any other sources or kind of funds) to any other (person)s or entities including foreign entities with the understanding that the intermediary shall lend or invest in party identified by or on behalf of the Company ("Ultimate Beneficiaries").
- The Company has not received any fund from any person(s) or Entity(ies), including foreign entities with the understanding that the Company shall whether, directly or indirectly lend or invest in other entities identified by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

15. The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.
16. The Company does not have any transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 such as search or survey or any other relevant provisions of the Income Tax Act, 1961.
17. The Company is not required to incur any expenditure under CSR activities as required under Section 135 of the Companies Act, 2013 as the Company has not made any profits in the immediately preceding three financial years.

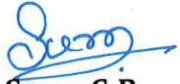
Vide our report of even date
For M/s Manian and Rao
Chartered Accountants
FRN 001983S


Dr. Shiva Shankara N
Managing Director
DIN: 08223112


Mahadeva
Director (Finance)
DIN: 06914707

Srikanth R.
Partner
(M.No. 203138)


K.E. Pradeep
CGM (Accounts)


Suma.G.P
Company Secretary

Place:
Date: